

Introduction to ascertaining a taxpayer's income [¶5-160]

[¶5-160]

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One of the first steps in determining a person's income tax liability for the income year is to ascertain the person's income. Whether an amount derived by a person is income is determined from case law ([¶15-021](#) and [¶15-031](#)) and Pt C of the IT07 ([¶15-162](#)). Income derived is then further categorised into assessable income, exempt income, excluded income and non-residents' foreign-sourced income ([¶11-055](#), [¶11-163–¶11-170](#)).

Last reviewed on 31 December 2025

Main items of income [¶5-162]

[¶5-162]

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Broadly, Pt [C](#) of the IT07 defines the concept of income for income tax purposes. In some cases, the legislation redefines the capital–revenue boundary set by case law. Amounts derived are categorised in Pt [C](#) as follows:

- # general rules (subpart [CA](#))
- # income from business or trade-like activities (subpart [CB](#))
- # income from holding property (excluding equity) (subpart [CC](#))
- # income from equity (subpart [CD](#))
- # employee or contractor income (subpart [CE](#))
- # income from living allowances, foreign superannuation, compensation and government grants (subpart [CF](#))
- # recoveries (subpart [CG](#))
- # adjustments (subpart [CH](#))
- # income from voluntary activities (subpart [CO](#))
- # income from portfolio investment entities (subpart [CP](#))
- # attributed income from foreign equity (subpart [CQ](#))
- # income from insurance (subpart [CR](#))
- # income from petroleum mining (subpart [CT](#) — [¶28-120](#))
- # income from mineral mining (subpart [CU](#) — [¶28-053](#))
- # income specific to certain entities (subpart [CV](#))
- # exempt income (subpart [CW](#))
- # excluded income (subpart [CX](#)), and
- # terminating provisions (subpart [CZ](#)).

Law: IT07 Pt [C](#)

Last reviewed on 31 December 2025

Income under ordinary concepts [¶15-167]

[¶15-167]

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An amount is income of a person if it is the person's income under ordinary concepts. This catch-all provision is intended to include in income any receipts that do not fall specifically within any of the categories set out in Pt C of the IT07. Whether an amount is income under ordinary concepts requires a review of case law ([¶15-021](#)).

Example:

Two people received interest from the Accident Compensation Corporation (ACC) on back payments of earnings-related compensation. The Commissioner of Inland Revenue considered that the payment received was interest under common law principles; therefore, it was income under ordinary concepts and subject to tax. The High Court rejected the Commissioner's argument. The payment made by the ACC was a penalty payable by the ACC for its inefficiency. Further, the payment did not fall within the definition of "interest" as defined in the Income Tax Act 1994. See *C of IR v Buis* ([2005](#)) 22 NZTC 19,278.

QWBA [QB 22/01](#), "Can a payment that compensates for the time value of money be taxable income if it is outside the statutory definition of 'interest'?" updates and clarifies the Commissioner's view on the High Court case of *C of IR v Buis* (above) as it relates to the interaction between the specific provision taxing interest and the provision taxing income under ordinary concepts. The Commissioner now considers that *C of IR v Buis* can be read consistently with their view that an amount that may be described as interest may be income under ordinary concepts or under another provision. This item replaces [QB 09/03](#) "Decisions on application of section CA 1(2) — common law interest and income under ordinary concepts" where the Commissioner did not accept the correctness of the decision in *C of IR v Buis* as a statement of the general principles for "common law interest" payments and did not agree that the definition of "interest" in [YA 1](#) is a codification of the taxation of all forms of interest.

In [QB 22/01](#) IR states that if a payment compensates for the time value of money falls outside the statutory definition of "interest" in the Act, the payment may still be income under a provision other than s [CC 4\(1\)](#). The payment may be taxable as income under the ordinary principles relating to income.

In many instances payments that might be described as akin to "interest" under common law or ordinary concepts are not connected with "money lent" and so do not fall within the definition under s [YA 1](#) ([¶15-268](#)). Transactions that do not fall within the scope of s [CC 4\(1\)](#) may well be governed by s [CA 1\(2\)](#) as a general rule.

Example:

Gains realised by sale or maturity of government stock were taxable income. The transactions were part of a finance company's business activity. It was not necessary to consider the possible application of s [65\(2\)\(l\)](#) of the Income Tax Act 1976 (s [CA 1\(2\)](#)) where a taxpayer's source of income was from business which was the subject of s [65\(2\)\(a\)](#) (s [CB 1](#)). See *AA Finance Ltd v C of IR* ([1994](#)) 16 NZTC 11,383 (CA).

See also *Duggan v C of IR* [73 ATC 6001](#) and *Reid v C of IR* ([1983](#)) 6 NZTC 61,624.

Grants made to supplement trading receipts, to assist in meeting revenue expenditure or for the purposes of carrying on a business, are also likely to be taxable under s [CA 1\(2\)](#).

However, grants are generally not taxable when they relate to specific capital expenditure, or to expenditure that is not linked to the carrying on of the person's business.

See, for example, *MacLean v C of IR* ([1985](#)) 7 NZTC 5,035, *Poulter v Gayjon Processes Ltd* [1985] BTC 112 and *Watson v Samson Bros* (1959) 38 TC 346.

Further, in some cases, the grant received may be excluded income ([¶15-760](#)).

[QB 17/05](#), “Income tax — whether YouTube receipts are taxable” briefly discusses “income under ordinary concepts” and concludes that, where a business does not exist, YouTube receipts may still be taxable under [s CA 1](#) or [CB 3](#) ([¶5-192](#)).

Interpretation statement [IS 21/08](#), “Content creators – tax issues”, responds to requests for guidance from online gamers, streamers, bloggers, influencers and other online content creators. The statement is intended to help such online content creators get their tax obligations right from the start, and it expands on [QB 17/05](#). The fact sheet which accompanies the interpretation statement, released at the same time, summarises what the statement is about:

Content creation is a dynamic and evolving industry, and content-creators may be unsure whether they need to pay tax. Income can come from a wide range of sources for content creators.

“Sometimes customers see their online activity as a “hobby” or a “side hustle” but these labels do not determine whether amounts received are income.

Instead, important factors to consider are the regularity of payments, the relationship between the recipient and the payer and the reason for the payment of the amount. In practice this means if a content creator monetises their content and regularly receives money this will suggest income. Whereas a person receiving one off or occasional payments for digital content is less likely to have income.

Payments received through online payment or donation platforms, often described as “gifts” or “donations”, can also be income. In most cases, a payment a viewer makes to a content creator will be a product of the content creator’s activity. These payments will normally arise because the content creator has included a link to a payment platform in the description of their post and the payer has viewed the content and used the link to make a payment.

Non-monetary items or “contra” can also be income. The general rule is that if a thing received as a product of a content creator’s income-earning activity can be sold, the content creator will have income.

If a content creator has an income-earning activity or business, they may be able to claim deductions for expenses and depreciation losses. These deductions will reduce their taxable income. The draft statement explains how to work out some common deductions and which expenses cannot be claimed and why (eg private expenses).

The statement also discusses when young people still at school and people earning very low amounts will not be required to pay tax.

The statement also touches upon GST, money earned overseas, withholding taxes and record-keeping.”

Law: IT07 ss [CA 1\(2\)](#), [YA 1](#) (“[income](#)”, “[interest](#)”, “[money lent](#)”)

Last reviewed on 31 December 2025

Taxation of amounts derived from a business [¶5-172]

[¶5-172]

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Any amount that a person derives from a business is income of the person, provided the amount is not of a capital nature.

Interpretation statement [IS 25/25](#), "Income tax – business activity" provides detail guidance on whether and when a taxpayer is carrying on a "business" for income tax purposes and when a business commences and ceases. This is relevant to whether a person has income from a business under s [CB 1](#) and to other provisions in the IT07 where carrying on a business is a requirement. The statement also considers the following key issues and contains a number of examples:

- # whether passive activities can be a business ([57]–[79])
- # a person's involvement in a business ([80]–[85])
- # whether a single transaction can give rise to a business ([86]–[91])
- # whether a person can carry on multiple businesses ([92]–[101])
- # the scope of a business ([102]–[116])
- # the difference between a business and a GST taxable activity ([160]–[165]), and
- # that the existence of a business will not necessarily be determinative of whether an amount is income or whether a deduction is available ([166]).

Test of business

The word "business" is defined for the purposes of the IT07 as including any profession, trade, or undertaking carried on for profit. Consequently, the fundamental notion of the concept of a business is the exercise of an activity in an organised and coherent way to attain the end result of a profit ([¶5-175](#)).

The question of whether a taxpayer is in business involves 2 aspects. These are the nature of the activities, which must amount to a profession, trade, or undertaking, and the intention with which the taxpayer engages in those activities (the venture must be carried on for profit). An intention to make a profit is sufficient, even though, when looked at realistically, there seems to be no real prospect that that goal can be attained.

Example:

Expenses were deductible where the evidence showed that the taxpayer intended to carry on a farming activity for pecuniary profit. The fact that the profit expectation is not realised is not a ground for saying that the activity is a hobby and not conducted for gaining assessable income. See Case P52 ([1992](#)) 14 NZTC 4,356.

Whether the venture is carried on with the required intention turns on the expressed intention of the person and an evaluation of the person's conduct.

Example:

The essential test as to whether a business exists is the intention of the taxpayer as evidenced by his conduct, and the various tests decided in earlier cases are merely tests to ascertain the existence of that intention. See *Grieve v C of IR* ([1984](#)) 6 NZTC 61,682.

See also *Edgewcombe v C of IR* ([1991](#)) 13 NZTC 8,140.

Intention

Matters that may be considered in ascertaining a person's intention are:

- # statements by the person as to the person's intentions
- # the nature of the activity
- # the period over which the person engages in that activity

- # the scale of operations and the volume of transactions
- # the commitment of time, money and effort, the pattern of activity, the financial results and whether the operations involved are of the same kind and are carried on in the same way as those that are characteristic of ordinary trade in the line of business in which the venture was conducted (*Grieve v C of IR* (1984) 6 NZTC 61,682).

After the *Grieve* case, subsequent decisions of the Taxation Review Authority have held that there must be a sufficient level of activity to go with the intention of making a profit. The *Grieve* case involved a somewhat liberal interpretation as to what constitutes a “business”. However, it should be noted that after *C of IR v Stockwell* (1992) 14 NZTC 9,190, the equilibrium may have been restored because in that case it was felt that a substantial structure will be needed to meet the “business” criteria.

Law: IT07 ss [CB 1](#), [YA 1](#) (“business”)

Last reviewed on 31 December 2025

Intention of making a profit [¶5-175]

[¶5-175]

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The profit, which the taxpayer must intend to gain, as determined in the definition of “business”, must be a profit in money or money’s worth as ascertained on ordinary commercial principles affecting the type of undertaking in question and is not to be equated with profits for tax purposes. Some tax benefits may be taken into account in determining whether the venture is viable. These include the incentives that, for special types of activities award greater deductions or allowances than would otherwise be available or allow revenue items to be dealt with on a special basis, as is the case with standard values and notional values of livestock. Therefore, capital expenditure and incentive deductions should be disregarded in determining whether a business is carried on for profit. Real activities carried on for profit must be present before there may be a business.

Example:

An investor who gave money to a confidence trickster in the belief that it would be invested in speculative purchases could not claim a deduction for his losses. There had been no property purchases and a business could not exist only in the mind of the taxpayer. The volume of activity necessary to establish whether a business does in fact exist depends on the nature of the business activities. See *Inglis v FC of T* [80 ATC 4001](#).

Example:

No farming business was being carried on because all the taxpayer had done was acquire land. There was insufficient farming activity. See Case G19 [\(1985\) 7 NZTC 1,079](#).

Example:

A taxpayer was in the business of renting property because he owned a number of houses, had been engaged in this activity for several years and had committed a considerable amount of money to this activity. See Case G44 [\(1985\) 7 NZTC 1,170](#).

See, also, Case Q30 [\(1993\) 15 NZTC 5,145](#) and *C of IR v Port Chalmers Waterfront Workers Union* [\(1996\) 17 NZTC 12,523](#) (CA).

Business activities may be carried on by an agent or an independent contractor who does the work. It is a matter of degree and the distinction is hard to draw.

Example:

The Court of Appeal found that a forestry business was not being carried on by an investor because he paid an agent to plant, maintain and harvest a forest and exercised no direction, control or supervision of the agent in question, and he had no right to see or obtain information about the work actually being done as contracted. See *Pukepine Sawmills Ltd v C of IR* [\(1985\) 7 NZTC 5,114](#).

Example:

In contrast to *Pukepine*, the High Court in *AM Bisley & Co Ltd v C of IR* [\(1985\) 7 NZTC 5,082](#) found that Company A (which paid Company B \$298 per acre to establish and cultivate forestry land) was in the business of forestry. Factors supporting this conclusion were that Company A had the right to direct the employment of a forester or consultant, the right to receive management reports and physical involvement by way of site visits and overall interest and concern in the venture.

An isolated transaction does not in itself stop a finding that a business has been carried on though, generally, there will be a frequency of transactions or some continuity of effort.

Intention to make a profit

Organised commercial operations may be embarked upon without any motivation of profit making, but the operations may, nonetheless, amount to the carrying on of a business.

Example:

A full-time evangelist was supported by unsolicited donations for a period of 8 years. Other than those of a personal nature given as a mark of esteem or respect, the donations were regarded as gifts and assessable as business profits. The evangelistic activities were carried on with the intention of making a profit. See *G v C of IR* [1961] NZLR 994.

See also *Land Projects Ltd v C of IR* [1964] NZLR 723.

Hobby or business

An intention to engage in activities that amount to no more than the pursuit of a hobby should not be equated with an intention to make a profit from a business.

Example:

Mr TP went deer hunting in his spare weekends. The deer that he shot were sold to cover some of the costs involved. Did Mr TP intend to make a profit from the hunting activities? The court held that the dominant motive of Mr TP was not to produce income but it was, rather, for recreational purposes. See Case D54 ([1980](#)) 4 NZTC 60,825.

A person's religious activities may amount to the carrying on of a business when accompanied by an intention that the activities should result in income. See Case H106 ([1986](#)) 8 NZTC 707.

Illegal activities

Income derived from any illegal business or activity will be treated for tax purposes as if it were derived from a legitimate business. See Case Q3 ([1993](#)) 15 NZTC 5,033. However, in *A Taxpayer v C of IR* ([1997](#)) 18 NZTC 13,350, the Court of Appeal held that money stolen by an accountant from his employer was not assessable income to the accountant. This case led to a change in the law ([15-227](#)).

Law: IT07 ss [CB 1](#), [YA 1](#) ("business")

Last reviewed on 31 December 2025

Commencement of business — preliminary expenses [¶5-178]

[¶5-178]

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In some circumstances, it has been decided that no business exists because the activities in question were undertaken before the business had begun.

Example:

A 350ha property purchased in 1977 had not been committed to a farming business 4 years later. The taxpayer had started some capital works to provide a temporary place to live and a place to store equipment, and he had done some draining and clearing work. These amounted only to preparation of the land for farming and not the commencement of farming. See Case G36 [\(1985\) 7 NZTC 1,133](#).

Example:

A naval officer purchased a farm intending to prepare it for full-time farming before retirement from the navy. Most of the land was leased to a neighbour, with some maintenance work being performed and a few stock being run on the remaining land. Losses incurred were not deductible. The taxpayer had no serious intention to achieve a profit, and his work amounted only to the preservation of a capital asset. See Case H63 [\(1986\) 8 NZTC 460](#).

See also Case S39 [\(1995\) 17 NZTC 7,264](#) and [IS 25/25](#) Examples 8 and 9.

By their nature preliminary expenses are neither incurred in carrying on a business nor in deriving assessable income. Therefore, these expenses will not satisfy the nexus test for deductibility under s [DA 1](#). Examples of preliminary expenses include costs involved in issuing share capital or legal costs for preparation of a company's constitution.

Last reviewed on 31 December 2025

Termination of business [¶5-181]

[¶5-181]

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The intention to make a profit may be negated when the income-producing activities are carried on with a view to their sale.

Example:

Taxpayers were no longer in the business of farming once they had decided to sell their farm property. See Case F31 [\(1983\) 6 NZTC 59,712](#).

Example:

A taxpayer obtained a neglected farm property. He carried out improvements to the property with a view to selling the property but also carrying on of some grazing and cropping activities. Although the dominant purpose was to sell the property, the facts were sufficient to establish that pending the sale he was carrying on a farming activity. See *Tweddle v FC of T* [\(1942\) 7 ATD 186](#).

Example:

A couple who sold several properties within a 3-year period were not liable for income tax on the gains because the sales were made to wind down their real estate portfolio, rather than to make a profit. See Case S86 [\(1996\) 17 NZTC 7,538](#).

Last reviewed on 31 December 2025

Asset sold as part of business operation [¶5-184]

[¶5-184]

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When property sold was not originally acquired for the purpose of dealing, any amount derived may, nevertheless, be income of the vendor if it is sold as part of the normal business operations being carried on. Before a sale may be made in the operation of a business, it must be a business carried on by the vendor. The question then becomes whether a particular transaction constitutes an operation in the carrying on of that business.

Example:

The sale of an investment in a finance company was not part of an insurance company's normal business. There was only a weak nexus between the realisation of the investment and the carrying on of the insurance business, particularly when the shares were not acquired with the intention of sale. The sale of the investment was the sale of a capital asset. Accordingly, the sale proceeds were not assessable under s 65(2)(a) of the Income Tax Act 1976 as profits or gains derived from any business conducted by the company. See *National Insurance Company of New Zealand Ltd v C of IR* (1997) 18 NZTC 13,489.

Example:

Transactions involving government stock were part of a finance company's business of deriving profit from borrowing and lending money. The gains made from the transactions were assessable income, being profits or gains derived from the company's business. See *AA Finance Ltd v C of IR* (1994) 16 NZTC 11,383.

See also *Californian Copper Syndicate (Limited and Reduced) v Harris (Surveyor of Taxes)* (1904) 5 TC 159.

When property is acquired as an investment and later sold, any profits may be taxable.

Example:

A bank or an insurance company realises investments as part of what is truly the carrying on of a business. See *C of IR v Auckland Savings Bank* [1971] NZLR 569, *Chamber of Manufactures Insurance Ltd v FC of T* 84 ATC 4315.

Where an insurance company can show that the long-term purpose of its share investments is not to meet claims but to provide a reserve for rebuilding purposes, then any amount received on realisations made by way of share exchanges may not be income for income tax purposes. See *State Insurance Office v C of IR* (1990) 12 NZTC 7,035 and ¶5-213.

Any amount derived from a transaction entered into otherwise than in the ordinary course of carrying on a business may be income. The Full Court of the High Court of Australia said in *FC of T v The Myer Emporium Ltd* 87 ATC 4363 at 4,366–4,367; (1987) 163 CLR 199 at 209–210:

Although it is well settled that a profit or gain made in the ordinary course of carrying on a business constitutes income, it does not follow that a profit or gain made in a transaction entered into otherwise than in the ordinary course of carrying on the taxpayer's business is not income. Because a business is carried on with a view to profit, a gain made in the ordinary course of carrying on the business is invested with the profit-making purpose, thereby stamping the profit with the character of income Nor does the fact that a profit or gain is made as the result of an isolated venture or a 'one-off' transaction preclude it from being properly characterised as income (*F.C. of T. v Whitfords Beach Pty. Ltd.* 82 ATC 4031 at pp. 4036–4037, 4042; (1982) 150 C.L.R. 355 at pp. 366–367, 376). The authorities establish that a profit or gain so made will constitute income if the property generating the profit or gain was acquired in a business operation or commercial transaction for the purpose of profit-making by the means giving rise to the profit.

A purchaser of a business may derive income from assets if the assets are later sold for a gain as part of the person's business activity.

Example:

The taxpayer company was a stock and station agent whose business included the provision of financial services to farmers. In the process of purchasing a business, the taxpayer acquired book debts that it subsequently recovered for more than their written-down value. The Court of Appeal ruled that the gains made on the debt recoveries were part of the taxpayer's business activity and therefore assessable under s [65\(2\)\(a\)](#) of the IT07. See *C of IR v Wrightson Ltd* ([1999](#)) [19 NZTC 15,176](#).

Last reviewed on 31 December 2025

Receipt received for right to trade [15-187]

[15-187]

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A distinction can be made between a person parting with some of the person's property and the use of that property as a method of trading. When a person does in fact part with an asset, such as the right to trade, the receipt is normally capital. However, a distinction is to be drawn between that type of case and the case in which a person acquires a right with the intention of reselling it.

Example:

Profits arising from the sale of motel franchises were assessable as profit derived from the carrying on of a business. The selling or promoting of the franchise system was the business carried on and accordingly the income was assessable. See *Consolidated Motels Ltd v C of IR*; *Trailways Motel Systems Ltd v C of IR* (1976) 2 NZTC 61,097.

Last reviewed on 31 December 2025

Tax treatment of gifts received by volunteer workers [¶5-189]

[¶5-189]

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IR's policy on the tax treatment of gifts received by volunteer workers in New Zealand is set out in interpretation statement, [IS 23/11](#) "Income tax: Income – when gifts are assessable income".

Generally, gifts will be income when they are a product of the person's activities. A gift will not be income if it is a personal gift made purely as a mark of affection, esteem or respect (*G v C of IR* [1961] NZLR 994). Although there are no firm rules as to whether a particular gift is income, gifts to a volunteer worker will be included in income if they are a relevant product of the volunteer's activities. In [IS 23/11](#) at [145] – [159] the Commissioner states the following factors support a conclusion that a gift is income under s [CO 1](#):

- # the amount of the gift reflects the amount of the recipient's personal exertion in undertaking the voluntary activity
- # the payer makes the gift in the hope that the recipient will undertake future activities or to encourage them to make further efforts
- # the gift has recurred or has a foreseeable element of recurrence rather than being a one-off payment
- # these sorts of gifts are expected, requested or are commonplace as a matter of practice by volunteers in the area of activity undertaken.

For commentary on voluntary activities and honoraria, see [¶3-455](#).

However, each case must be judged on its own merits. In the statement, [IS 23/11](#), at [159], the following factors are considered to support the conclusion that a gift is not assessable income:

- # the receipt is expressed in terms of being a personal gift inspired by personal goodwill rather than as consideration for the activities of the volunteer.
- # the recipient is not undertaking the voluntary activity at the time the gift is made.

Law: IT07 ss [CA 1\(2\)](#), [CB 1](#), [CE 1](#), [CO 1](#)

Last reviewed on 31 December 2025

Profit-making undertaking or scheme — s CB 3 [¶5-192]

[¶5-192]

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An amount derived from carrying on or carrying out an undertaking or scheme entered into or devised for the purpose of making a profit is income. As business profits are taxable under s [CB 1](#) ([¶5-172](#)), s [CB 3](#) catches any residual transactions that are neither a business nor the realisation of property bought for the purpose of sale. However, there must be involvement in an undertaking or scheme for profit and the attainment of profit. In principle, s [CB 3](#) applies to undertakings or schemes affecting land as well as personal property, although the taxation of land transactions will be governed by the provisions of ss [CB 6A–CB 23](#).

The words “undertaking” and “scheme” are defined according to everyday usage. They refer to a plan of action or an enterprise. Consequently, the 3 elements required to satisfy this test are that there must be:

- # an amount derived
- # the carrying on or carrying out of a profit-making undertaking or scheme, and
- # a nexus between the profit-making undertaking or scheme and the amount derived.

The purpose of the taxpayer must be the dominant purpose and must be determined at the time at which the scheme or undertaking is entered into, not at the time when the property is acquired (*Gilmour v C of IR* [1968] NZLR 136).

The scheme must produce income not a capital gain. Therefore, the realisation of a capital asset in the most advantageous manner is insufficient to fall within this category of income (*Eunson v C of IR* [1963] NZLR 278 and *C of IR v Walker* [1963] NZLR 339). The undertaking or scheme must have the character of a business deal (*McClelland v FC of T* [70 ATC 4115](#)). This case has been accepted as good law in New Zealand (*Duff v C of IR* [\(1982\) 5 NZTC 61,131 \(CA\)](#)) but not in Australia (*FC of T v Whitfords Beach Pty Ltd* [82 ATC 4031](#)).

Example:

Surplus property was acquired by the taxpayer for resale so the proceeds could be applied to develop the portion actually required. The requisite character of a profit-making scheme was found to exist. See *Buck v C of IR* [\(1982\) 5 NZTC 61,221](#).

See also Case Q39 [\(1993\) 15 NZTC 5,187](#) and *C of IR v Renouf Corporation Ltd* [\(1998\) 18 NZTC 13,914](#).

The approach to be taken in ascertaining whether an undertaking or scheme was entered into or devised for the purpose of making a profit is similar to the approach taken under s [CB 4](#) in determining whether property was acquired for the purpose of disposal ([¶5-197](#) and [¶5-200](#)).

Where a taxpayer derives income, under s [CB 3](#), from an undertaking or scheme that was entered into for the purpose of making a profit, the taxpayer will be allowed a deduction for the cost of the property as if it were acquired from a third party immediately after the commencement of the undertaking or scheme. The deduction will be for an amount equal to the market value of the property at the time of acquisition.

QWBA, [QB 17/05](#), “Income tax — whether YouTube receipts are taxable” briefly discusses a profit-making undertaking or scheme and concludes that, where a business does not exist, YouTube receipts may still be taxable under s [CB 3](#) (or s [CA 1](#): [¶5-167](#)).

Also [¶5-167](#) for discussion on interpretation statement [IS 21/08](#), “Content creators – tax issues”.

Uncompleted scheme

When a person acquires property that is the subject of an uncompleted undertaking or scheme, the person is liable under s [CB 3](#) only if the person continues with the scheme and carries it on as an undertaking or scheme in the person’s own right (*Official Receiver in Bankruptcy (trustee, estate of William Fox, known as Rankin, dec’d) v FC of T* (1956) 96 CLR 870). When a sale is made after a scheme or undertaking has been abandoned, for whatever reason, the vendor may not be taxed on the resultant profits (*Kratzmann v*

FC of T [70 ATC 4043](#)). In each case, it is a question of fact whether the scheme can be said to have been abandoned or merely redirected. There is always the possibility that any profits made after abandonment are income according to ordinary concepts ([¶15-167](#)).

Law: IT07 ss [CB 1](#), [CB 3](#)

Last reviewed on 31 December 2025

Personal property acquired for purpose of disposal — s CB 4 [15-197]

[15-197]

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An amount derived from disposing of personal property when the property was acquired for the purpose of disposing of it is income. The basic inquiry is to the purpose of the person at the date of acquiring the property ([15-200](#)). Section [CB 4](#) does not apply unless positive steps have been taken by the person in acquiring the property. It does not apply in the case of passive acquisitions such as gifts and inheritances.

Example:

A taxpayer was granted an option to buy some land by will. The option was for £20,000. It was exercised by the taxpayer and sold the same day for £47,000. The court held that the profit/gain was not assessable under the forerunner to s [65\(2\)\(e\)](#) of the Income Tax Act 1976 (s [CB 4](#) of the IT07). The taxpayer received the right to purchase the property under the will, and the exercise of the option simply provided the means to possession of the property devised. See *AG Healing & Co Ltd v C of IR* [1964] NZLR 222.

Example:

A taxpayer entered into an agreement to purchase a resort motel, including its chattels. His primary purpose in purchasing the motel was to secure its excellent site. A real estate agent approached the taxpayer before settlement with a potential lessee for the motel. The taxpayer entered into a 10-year lease and sold the motel's chattels to the lessee. The Taxation Review Authority held that the profit from the sale of the chattels was not assessable because the taxpayer did not have a sufficient intention to resell the chattels at the time he purchased them. See Case T48 ([1998](#)) 18 NZTC 8,325.

Time of acquisition

A person acquires property or an interest in property at the time of entering into a binding contract to purchase (*Beetham v C of IR* [72 ATC 6042](#)). A further refinement to that proposition is that a sale does not take place until an equitable interest has passed. In *Mills v C of IR* ([1985](#)) 7 NZTC 5,025, the making of a conditional contract for the sale of land was held not to be sufficient to amount to a sale or disposition. On the other hand, in some situations an equitable interest will pass to the purchaser before the contract becomes unconditional and property may be deemed to have been acquired at that time (eg *Bevin v Smith* ([1994](#)) 2 NZ ConvC 191,915; [1994] 3 NZLR 648 (CA)). The date of acquisition of land held under an option to purchase is the date on which the option is exercised. See *Healing's* case (in the first example above). If an interest in property such as a lease or an option is sold at a profit, the time of acquisition is the date when that interest was acquired. If a contract is rescinded and another entered into, it is the date of entering into the second contract that is relevant.

Acquired with the purpose of disposal?

The property in question must have been acquired for the purpose of disposing of it. This test of purpose is subjective, requiring consideration of the state of mind of the purchaser at the time of the acquisition of the property.

Example:

TP company derived its income from rent with any cash surplus invested in public company shares from time to time. These shares made up a small part of the overall assets of the company. During the 1977–78 income year, the company spent \$107,000 on share purchases and received \$11,600 in dividends and \$42,000 in gains on sale. The shares in question were held for anywhere between 8 months and 3 years. The Commissioner ruled that realisation of the shares was assessable. The company objected and stated that their share purchases were for long-term investment combined with the opportunity for growth. Their policy had been to sell the shares when the market rose as a hedge against inflation. Among several issues to be decided was whether the shares were acquired for the purpose of sale under the second limb of s [65\(2\)\(e\)](#) of the Income Tax Act 1976 (s [CB 4](#) of the IT07). The Court of Appeal made the following points:

- # The test of purpose is subjective, requiring the consideration of the state of mind of the purchaser at the time of acquisition of the property.
- # If there is more than one purpose, the test is whether the dominant purpose is one of sale or other disposition.
- # Motive, intention and purpose are distinguishable.
- # If there is a purpose of resale, it is irrelevant if the sale is a means to an end.
- # The nature of the asset purchased is an important consideration as is the period for which it is held.
- # It is incorrect to say that the purchase of an asset as a hedge against the depreciating value of money falls outside s 65(2)(e) (s CB 4 of the IT07). If a taxpayer's purpose is to sell in the future at a price that, allowing for inflation, is equal to or better than the price at the time of purchase, the purpose is to sell the property even though the motive is to protect savings from inflation.
- # Sales made in the course of reviewing an investment portfolio held for its potential income yield were different from sales of shares purchased with the primary aim of achieving gains from resale.
- # The fact that a taxpayer did not expect to retain the property for ever and actually contemplated the possibility of sale does not satisfy the test under the second limb.
- # A taxpayer who purchases assets with only a general expectation of achieving financial gain in some undefined way will satisfy the onus of proving that there was no purpose of sale. See *C of IR v National Distributors Ltd* (1989) 11 NZTC 6,346.

The Court of Appeal, in applying these principles, found that the dominant purpose (¶15-200) of the taxpayer was to achieve a profit on resale. A dissenting judgment by Doogue J, however, concluded that the second limb (s CB 4) did not apply to a taxpayer who acquired an asset with the clear intention of resale but without the dominant purpose of profit or gain. Ultimately, much will rest on the individual circumstances of each case, bearing in mind that the onus of proof is on the taxpayer.

In *C of IR v National Insurance Company of New Zealand Ltd* (1999) 19 NZTC 15,135, the facts indicated that the insurance company was holding the investments outside the insurance business. The Court of Appeal found that the gains made by the insurance company were not assessable as either business profits, profits on the sale of personal property acquired for the purpose of sale or income derived from any other source.

Law: IT07 s CB 4

Last reviewed on 31 December 2025

Dominant purpose of disposal of property — s CB 4 [¶15-200]

[¶15-200]

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Section [CB 4](#) will apply when the sole or, if there is more than one purpose at the time property is acquired, the dominant purpose of the person is the disposal of the property in question. This test was established in *C of IR v Walker* [1963] NZLR 339 and approved by the Privy Council in *Holden v C of IR*; *Menneer v C of IR* (1974) 1 NZTC 61,146. A refinement of the test followed in *Williams Property Developments Ltd v C of IR* (1980) 4 NZTC 61,537 when it was held that a contingent or conditional purpose may still amount to a dominant purpose.

Example:

A taxpayer acquired a property in the expectation that an adjacent property could later be acquired and both properties then transferred to a related company for integration into a development project being carried on by that related company. In these circumstances, the taxpayer's dominant purpose was the sale of the property. In coming to this view, the court accepted the notion that a conditional purpose may amount to a dominant purpose. If a person buys a piece of land because they believe that it will go up in price and that they will then be able to resell it at a profit, it seems open to regard resale at a profit as the dominant purpose, even though the ability to fulfil that purpose depends on the contingency of a rise in value. See *Williams Property Developments Ltd v C of IR* (1980) 4 NZTC 61,537.

Purpose and intention

Section [CB 4](#) will apply where the dominant purpose of the person is the disposal of the property in question. In the context of this section, there is a clear distinction between purpose and intention (see *C of IR v National Distributors Ltd* (1989) 11 NZTC 6,346, discussed at [¶15-197](#)). A person does not have a purpose of disposal at the date of acquiring shares merely because the possibility of disposal at a later date is contemplated. Moreover, the fact that a purchaser knows at the time of acquisition that the dividend yield from its shares will be small does not necessarily imply that the shares have been purchased for the purpose of disposal. See *C of IR v National Insurance Company of New Zealand Ltd* (1999) 19 NZTC 15,135 (CA).

The time at which the dominant purpose test is applied is at the date of acquisition of the property (*Duff v C of IR* (1982) 5 NZTC 61,131 (CA)). In this context, the cases that consider the time of acquisition ([¶15-197](#)) are relevant. Where part of the property is sold, the purpose attributed to the purchase of the part will correspond to the dominant purpose of the acquisition of the whole. The courts have drawn a distinction between a taxpayer's purpose and their intention, where the former is a more restricted concept referring to the overall object that the taxpayer has in mind (*Plimmer v C of IR* [1958] NZLR 147 and *Davis v C of IR* [1959] NZLR 635). In some cases, the person may adopt the purpose of another party.

Example:

A member of a landowning syndicate transferred some wharf land to a family trust. The High Court attributed the original purpose of acquisition to the trustees. The purpose was for use of the land in a stevedoring business and so the trustees were not treated as having acquired the land for the purpose of resale. See *Maritime Trust v C of IR* (1983) 6 NZTC 61,537.

The issue addressed in *C of IR v Wellington Regional Stadium Trust* (2005) 22 NZTC 19,445 was whether the trust, in holding events at the Wellington Stadium, was operating a trading undertaking for the purpose of making a profit. The trust contended that its purpose was to construct and operate the stadium and not to make profits from holding events and functions there. The Court of Appeal upheld the judgment of the High Court (*Wellington Regional Stadium Trust v C of IR (No 3)* (2004) 21 NZTC 18,648), which had held that the profits made by the trust from its inherently charitable operations were simply a means to an end, namely to enable the stadium to operate as a going concern, and not an end in themselves. The evidence submitted on behalf of the Trust to the effect that, although the stadium needed to be run in a businesslike way, it was for community benefit and for the economic benefit of the region as a whole, was accepted.

The Court of Appeal also ruled that the High Court was right to emphasise the distinction between purpose and intention, and that the case law authorities holding that the words are not synonymous is strong and extends across a number of statutes.

QWBA — proceeds from sale of gold

QWBA [QB 17/08](#), “Income tax — are proceeds from the sale of gold bullion income?”, considers whether the proceeds from the sale of gold bullion bought as an investment will be income for tax purposes. [QB 17/08](#) states that, as with any personal property, amounts derived on the disposal of gold will be income under s [CB 4](#) if the gold was acquired for the dominant purpose of disposal. However, the Commissioner considers that the very nature of the asset is a factor that strongly indicates that it was acquired for the dominant purpose of ultimately disposing of it, although there may be circumstances where the Commissioner will accept that the dominant purpose in acquiring gold bullion was to retain it for reasons other than eventual disposal. The particular circumstances of the situation need to be carefully considered, and any assertion that gold was not acquired for the dominant purpose of disposal would need to be supported by clear and compelling evidence. Where gold bullion was acquired for the dominant purpose of disposal, it will be revenue account property, and the cost of the gold will be deductible under s [DB 23](#).

Law: IT07 s [CB 4](#)

Last reviewed on 31 December 2025

Dealers in personal property — s CB 5 [¶5-211]

[¶5-211]

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Section [CB 5](#) has the effect of taxing any amount derived from disposing of personal property that would have been trading stock if sold in the conduct of the person's business. In practice, any amount that is taxable under this provision will almost invariably be taxed as a business profit under s [CB 1](#) ([¶5-172](#)).

The application of s [CB 5](#) depends on whether the person was, at the date of disposition, a dealer in the type of property disposed of and, if so, whether the property was disposed of as part of the person's business. A dealer is a person who buys or sells merchandise or who trades in some commodity in the sense that the property is sold in the same form or condition as it was in when it was acquired. The carrying on of a business as a dealer suggests the organisation of some dealing activity in the course of conduct, even if only for a short period of time.

The test of whether a person is a dealer involves application of certain principles. There must be a reasonable frequency of transactions or some continuity of effort in buying or selling property (*Bates v C of IR* ([1955](#)) [11 ATD 96](#)). Even though a number of transactions are involved, there may be some other explanation for them. Each case is decided on its own facts. A large number of trades in shares did not on its own amount to evidence of dealing in shares where the underlying nature of the taxpayer's activity was investment, and the scale and nature of the activity was not enough to amount to a business of share dealing when the transactions were analysed (*Estate of King v C of IR* ([2008](#)) [23 NZTC 21,729 \(CA\)](#)).

Example:

A superannuation fund that invested in the share market was found to be dealing in shares because of the frequency of its share-trading transactions. In this case, at least 176 share transactions took place over a 3-year period. At 12,292 Temm J said: "The frequency of share dealing transactions is often decisive in deciding whether a taxpayer's profits are liable to assessment under s [65\(2\)\(e\)](#) [of the Income Tax Act 1976, s [CB 5](#) of the Income Tax Act 2007]. The purpose or motive for this kind of business enterprise is of less relevance than the extent of it." See *Piers v C of IR* ([1995](#)) [17 NZTC 12,283](#).

The *Piers* case is notable because the ground of assessment (ie that of dealing) is seldom used to catch persons without also catching them under the business provision of s [CB 1](#). However, the High Court construed the 2 provisions as having separate spheres of operation.

The test for dealing is applied at the time at which the property is disposed of (*RO Slack v C of IR* (1970) [1 ATR 696](#)). When the occupation of a person requires dealing with property as an agent, that person is not a dealer in the person's own right.

Example:

A sharebroker is not a dealer in shares when buying them on behalf of clients. Similarly, a real estate agent when acting in that capacity is not a dealer in land.

For the purposes of s [CB 5](#), the person must be a dealer at the date of disposal. The person's occupation at the date of acquisition is not relevant. There is a distinction between a dealer and a developer. A land dealer is someone who buys and sells land in substantially the same condition. A developer is not a dealer because that person is not dealing in the same article (*Henderson v C of IR* ([1982](#)) [5 NZTC 61,279](#)). The indivisible nature of most personal property suggests that this distinction will not be of wide application under s [CB 5](#).

Business of dealing

Property held and disposed of as a capital asset (including an investment) does not come within s [CB 5](#) ([¶5-031](#) and [¶10-071](#)). The onus is on the dealer-taxpayer to establish that any transaction was not part of the dealer's usual business dealing. The onus is a heavy one when the person starts with the great disadvantage that what they assert is contrary to the reasonable inferences to be drawn from their course of

conduct as a dealer. When s [CB 5](#) is invoked, the character of the business is to be determined at the date of disposal. However, it does not follow that every disposal by a dealer is necessarily caught, for a property dealer may purchase property as an investment either before or after embarking on the business of dealing and, if its investment character does not change, its subsequent disposal will be the disposal of a capital asset and any amount derived is a capital gain.

Example:

In considering whether the onus of proof has been discharged, it is preferable to look at surrounding circumstances and contemporaneous records and dealings rather than what interested witnesses say at a later date about earlier intentions. See *Kenneth James Ltd v C of IR* ([1983](#)) [6 NZTC 61,565](#).

Law: IT07 s [CB 5](#)

Last reviewed on 31 December 2025

Profits made on the sale of shares — ss CB 3–CB 5 [¶5-213]

[¶5-213]

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Taxing provisions

Company shares are a form of personal property for the purposes of ss [CB 4](#) and [CB 5](#). Profits made on the sale of shares can be taxed primarily according to 3 situations. These are where the person is in the business of dealing in shares (s [CB 5](#)), the shares have been acquired for the purpose of resale (s [CB 4](#)) and any amount derived from the transactions has arisen from a profit-making undertaking or scheme (s [CB 3](#)). These matters are largely questions of fact.

Commissioner's approach

The Commissioner seems to accept that because shares are purchased with a view to growth in value this does not necessarily make any profit taxable on sale. The Commissioner also seems to accept that shares can be changed from time to time as part of an investment policy by a person and that shares can be purchased with more than one purpose in mind, the dominant purpose being the relevant purpose. An example of this view is reflected in rulings concerning capital gains on shares earned by passive-index funds that simply track a share market index rather than make active investment decisions. Gains on these shares are not considered to fall within s [CB 1](#) or ss [CB 3–CB 5](#). Following a review of the tax position of these types of funds in December 2000, IR advised that it will continue to rule that gains on the equity investments of passive funds are not taxable where certain general criteria are met (*Tax Information Bulletin* [¶1212-148 Vol 12, No 12](#), December 2000 at 74). Rulings on these products will be issued for 3 years only. See also *Tax Information Bulletin* [¶145-108 Vol 4, No 5](#), December 1992 at 32.

In some cases, the proceeds from the sale of shares may be taxed as a dividend to the vendor ([¶133-175](#)).

The Commissioner released 2 public rulings dealing with the treatment of a subdivision of shares and a disposal of subdivided shares (where the original shares were acquired for disposal) — [BR Pub 16/05](#), “Income tax — treatment of a subdivision of shares under section CB 4”, and [BR Pub 16/06](#), “Income tax — treatment of a disposal of subdivided shares under section CB 4”. The rulings conclude that a subdivision of shares does not result in a disposal of personal property for s [CB 4](#), but that s [CB 4](#) will apply to a disposal of the subdivided shares (where the original shares were acquired for disposal). The central technical issue considered is whether subdivided shares should be treated as the same or different property from the original shares. The conclusion reached is that they are the same. The rulings apply from 20 May 2016 for an indefinite period.

The Commissioner has also released 2 public rulings dealing which consider whether s [CB 4](#) could apply when rights attached to shares are altered, and when shares with altered rights are disposed of: [BR Pub 19/05](#), “Income tax — treatment of alteration to rights attached to shares under section CB 4”, and [BR Pub 19/06](#), “Income tax — treatment of a disposal of shares with altered rights under section CB 4”. The rulings conclude that the alteration of share rights does not result in a disposal of any shares for the purposes of s [CB 4](#). The shares continue in existence with altered rights. The rulings also conclude that when a shareholder who acquired the shares on revenue account before the alteration disposes of the shares after the alteration, s [CB 4](#) will apply to the disposal. This is because the shares with altered rights are the same property as the shares before the alteration. The Commissioner considers that the contractual doctrine of rescission is not relevant and there is no cancellation and issue of shares when share rights alter. The time of acquisition of the shares with altered rights is the time the shares were acquired before the alteration. The rulings apply from 1 April 2020 for an indefinite period. Note that they replaced [BR Pub 17/04](#) and [BR Pub 17/05](#), which applied from 1 April 2017 to 31 March 2020.

Interpretation statement [IS 24/10](#) “Income tax – Share investments”, which provides guidance to individuals who invest in shares the tax liability arising from dividends, share sales and attributing interests in FIFs.

The statement is accompanied by fact sheet [IS 24/10 FS 1](#). This statement focuses on investors who use online investment platforms, but the principles can be applied widely to other form of share investment such as through brokers and financial advisors. Note this statement does not apply to investors who invest in managed funds, KiwiSaver, PIEs, investments in controlled foreign companies or illiquid investments in closely held companies.

Part 1 of the statement explains when individual investors' tax liabilities arise under ordinary tax rules for dividend income and taxable share sales and this part applies to individual investors who hold shares in:

- # New Zealand companies
- # Australian companies that are exempt from the FIF rules, or
- # foreign companies (that are not exempt from the FIF rules) that added together with all the investor's other attributing interests cost \$50,000 or less to buy. Note rather than applying the ordinary rules, an investor may choose to apply the FIF rules instead.

Dividend income under ordinary tax rule

A dividend received by an investor from both New Zealand and foreign companies is taxable income in New Zealand. For dividends paid by New Zealand resident companies, tax would have been withheld and paid on behalf of the investors and pre-populated their tax return or [IR3](#) (investor must check if the pre-populated amounts are correct).

Where a foreign company pays a dividend, tax will not have been withheld in New Zealand unless the shares are held by a New Zealand resident custodian on behalf of investors. Investors need to check whether tax has been withheld and paid in New Zealand. The New Zealand dollar value of the dividend is to be included in an [IR3](#) and an [IR1261](#) overseas income summary must be filed to claim any available foreign tax credits.

Income from taxable share sales

Where an investor acquired the shares for the dominant purpose of disposal, has a share dealing business or the shares are part of a profit-making undertaking or scheme, the amounts received from the sale of shares are taxable ([IS 24/10](#), at [51]–[89] for detailed explanation and practical examples).

Deductibility of expenses under ordinary rules

Deductibility of expenses incurred by individual share investors depends on whether there is a relevant nexus with income and whether the expenses are capital in nature. The Commissioner emphasises that sufficient records are required to support the tax position taken. In summary:

- # Expenses incurred in acquiring, holding and selling shares (includes cost of the shares, transaction or advisory fees and any interest on borrowed funds) are generally deductible if the shares are bought for sale or as part of a share dealing business. Further, the investors can claim a loss on sale of the shares.
- # If shares are not bought for sale or as part of a business or share trading activity, but there is a reasonable expectation of dividends, deductions are permitted for interest on borrowed funds and potentially some financial planning fees ([IS 24/10](#), at [95]–[96]).
- # No deduction is permitted if the shares are not bought for sale or as part of a business or share trading activity and there is not a reasonable expectation of dividends.

Specific rules for transitional residents

Specific rules for transitional residents and they are generally only liable for their New Zealand sourced income. Transitional residents have no tax liability for any dividend income received from a foreign company, or sales of shares in foreign companies (unless the person is carrying on a business in New Zealand) ([15-700](#)).

Part 2 of [IS 24/10](#) covers the application of the FIF rules. Individual investors are subject to the FIF rules where, at any time during the income year, they hold foreign shares and other attributing interests (other than exempt interests) that cost the investor more than \$50,000 to buy ([¶26-110](#) onwards).

Case law

National Distributors

If shares have been acquired clearly for resale, any profit will be taxable and a deduction will be allowed if those shares are sold at a loss (*C of IR v Inglis* ([1992](#)) [14 NZTC 9,180 \(CA\)](#) and [¶110-660](#)). (If a person was in the business of trading or dealing in shares, any losses incurred in that business would be deductible in the usual way in terms of the second limb of the general permission.) The decision in *C of IR v National Distributors Ltd* ([1989](#)) [11 NZTC 6,346 \(CA\)](#) seems consistent with IR's view ([¶15-197](#)). The tests to apply in determining whether shares were acquired for the purpose of resale have been considered in the *National Distributors* case. In its majority decision, the court ruled that:

- # the key issue was whether the taxpayer's dominant purpose in acquiring the shares was that of resale
- # knowledge that the shares would not be owned forever did not by itself make proceeds from a subsequent sale taxable (eg a policy of share trading directed primarily at providing dividend income)
- # a taxpayer who buys shares for no specific purpose other than general financial benefit will satisfy the onus of proving resale was not the dominant purpose
- # circumstances relevant in deciding whether the intention of resale existed include the nature of the asset, the number of similar transactions, the period of ownership, and the circumstances of purchase and use, and
- # in the case of shares, the length of time they are held is of particular importance.

In this case, the court noted there was no apparent policy of retaining the shares for their dividend potential, they had not been held on a long-term basis and sales took place when the market had peaked. Excluding those shares purchased for family reasons, the dominant purpose underlying the share purchase was to make a profit on resale. Profits on the sale of investments by "banking and insurance" companies would ordinarily be treated as income under general principles, primarily because those assets are seen as part of the general circulating capital.

State Insurance Office

However, in *State Insurance Office v C of IR* ([1990](#)) [12 NZTC 7,035](#), gains from share exchange transactions were held not to be taxable. The issues were whether gains from the share transactions had been realised and whether the share swap transactions (including those with a cash element) were taxable under s [65\(2\)\(a\)](#) of the Income Tax Act 1976 (s [CB 1](#)) as profits or gains derived from any business. The High Court considered the various New Zealand, English, Australian and Canadian cases on taxation following disposal of investments by banks and insurance companies and found that State Insurance did not trade with investments, its share portfolio was fixed not circulating capital, it had never realised part of its share portfolio to pay claims and that, apart from compulsory acquisition, it had never planned to dispose of shares apart from a few minor tidying-up plans. Consequently, the court held that:

- # The transactions were all made on capital account. They were sporadic isolated dealings occurring as part of the fixed capital of the insurer.
- # The dominant purpose of State Insurance's acquisition of shares was to hold and not to sell them. The investments were a reserve for rebuilding the business should a large number of claims be made that would eliminate some part of circulating capital.
- # Even if there was a realisation, the share exchanges produced no cash that fell into revenue. There was a mere exchange of shares amounting to a variation of investment.
- # Disposal of the shares under the compulsory acquisition provisions of the Companies Act 1955 showed that there was no need to sell the securities and was consistent with the taxpayer's stated policy of holding investments for their return.

The rationale of the banking and insurance cases that held that profit on disposals was income was distinguishable (the businesses were holding investments of a particular level to conform with certain ratios or actuarial levels considered necessary for carrying on business).

The share portfolio could not be treated as trading stock. State had acquired the shares for long-term retention, with no intention of resale.

Following the decision in *State Insurance Office*, IR confirmed its policy that the sale of shares by insurance companies will be treated as being on revenue account, even where the investments are highly unlikely to be needed for business requirements.

AA Finance

In *AA Finance Ltd v C of IR* (1994) 16 NZTC 11,383, the Court of Appeal confirmed that realisations of government stock by a finance company were made on revenue account and were accordingly taxable as income of a business. Government stock holdings were mandatory for finance companies during the income years in question. However, such acquisitions were a necessary incident of the business of borrowing and lending money and could not be considered to be separate from the ordinary trading activities. (It should be noted that the facts in the *AA Finance* case would now be covered by the financial arrangements rules, which render any amount derived from holding financial instruments to be income.)

Rangatira

In *C of IR v Rangatira Ltd* (1995) 17 NZTC 12,182, an investment company's share trading activities were held by the Court of Appeal to amount to the carrying on of a business. The investment company's policy was to invest long-term to yield sufficient dividend income for its charitable trust shareholders. However, low dividend yielding shares were sold off regularly to supplement income. The Court of Appeal found that the share sales were a process directed to making gains and this was truly the carrying on of a business. The company's activity went beyond the creation of a balanced portfolio of income-producing investments. The ruling overturned the High Court's earlier decision that the company's activities did not amount to a business relating to the buying and selling of shares. Profits on a number of the company's share transactions were held to be assessable by the High Court, but on the basis that they were acquired for the purpose of selling or otherwise disposing of them. The Privy Council reversed the Court of Appeal's decision on a relatively narrow procedural issue. The Privy Council stated that the question of whether a particular business consists of buying and selling shares for profit depends entirely on the evidence produced as to the nature of the business activity. Whether a taxpayer is carrying on a business of dealing in shares is a matter of fact and degree and a court should not disturb a finding of fact unless it is wrong. The Privy Council stated that it was for the High Court Judge, Gallen J, to assess the reliability of the witnesses and that even though the decision could have gone either way it did not mean that the decision was incorrect. See *Rangatira Ltd v C of IR* (1996) 17 NZTC 12,727.

National Insurance Co

In *C of IR v National Insurance Co of New Zealand Ltd* (1999) 19 NZTC 15,135, the Court of Appeal held that an insurance company's investment in a finance company was not acquired for the purpose of selling or otherwise disposing of it. Accordingly, the profits or gains derived from the sale of its shares in the company were not taxable. The fact that the insurance company knew at the time of acquiring the shares that the dividend yield would be quite small did not necessarily imply that the shares were purchased for the purpose of resale.

King

In *King v C of IR* (2006) 22 NZTC 19,691, the taxpayers engaged a sharebroker to manage some of their offshore investments who was instructed to achieve a certain level of return. The High Court initially held that the sharebroker was the taxpayers' agent and that he was in the business of share dealing and, because the sharebroker carried out extensive share trading to achieve the required return on investment, it was a necessary inference that his subjective and dominant intention was to acquire shares for the purpose of

resale. However, the High Court decision was overturned by the Court of Appeal (*Estate of King v C of IR* (2008) 23 NZTC 21,729), which ruled that the nature of the taxpayer's activity was investment rather than the pursuit of a business, and an intention to sell could not properly be inferred simply from the large number of transactions. Each transaction should be examined individually.

Requirements

A taxpayer who has made a taxable profit (or a deductible loss) from selling shares during the year, should:

- # In the case of an individual taxpayer, use the IR3 tax return, otherwise use the appropriate tax return.
- # The following details for each share sale should be attached to the return:
 - # name of company
 - # number of shares sold
 - # date of purchase
 - # date of sale
 - # cost of shares sold (including brokerage)
 - # sale price of shares (net after brokerage)
 - # other expenses (eg interest)
 - # profit
 - # loss — if a loss is claimed, details of profits made from previous sales whether in this tax year or earlier
 - # the purpose for which the taxpayer purchased the shares.

If a taxpayer is not sure whether the profits are taxable or losses are deductible, a note should be attached to the return giving details of each share sale.

Summary — share trading

Where a person acquires shares with the dominant purpose of reselling them, then, in the year of sale:

- # the person will be taxed on any profit from the sale (ie the amount by which the sale price less any brokerage exceeds the cost price plus any brokerage)
- # the person may claim a deduction for any loss on the sale (ie the amount by which the sale price less any brokerage is exceeded by the cost price plus any brokerage) ([¶10-660](#)), and
- # expenditure incurred to acquire shares will be deductible and the amount of any difference on resale will be taxable or deductible, as the case may be.

For limitations to group loss offset, see [¶10-660](#) and [¶18-060](#).

Law: IT07 ss [CB 3–CB 5](#)

Last reviewed on 31 December 2025

Taxation of assets — hedge against inflation [¶5-215]

[¶5-215]

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If shares are acquired with the dominant purpose of resale, proceeds from the selling of the shares will be taxed. This principle also applies to shares purchased as a hedge against inflation. See the Court of Appeal decision of *C of IR v National Distributors Ltd* (1989) 11 NZTC 6,346 and ¶5-197.

Tax will not arise, however, when the purpose of acquiring shares was to obtain dividend income. The same result applies when property was acquired with no clear purpose in mind but simply to benefit the purchaser's financial position in some unformulated way and without any clear consideration as to the advantages of retention or resale. See *CMI Services Pty Ltd v FC of T* 90 ATC 4428, which seems to suggest that an investment undertaking, managed along conservative lines, will generate taxable profits when the investments are switched to protect the capital value of the fund, and *FC of T v Equitable Life and General Insurance Co Ltd* 90 ATC 4438, which seems to suggest that taxable profits are not produced where investment is not by way of trading but to protect the capital value of the portfolio.

Law: IT07 s [CB 4](#)

Last reviewed on 31 December 2025

Revenue account property [¶5-217]

[¶5-217]

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Items disposed of that give rise to income in accordance with any of s [CB 3](#) (Profit-making undertaking or scheme; see [¶5-192](#)), [CB 4](#) (Personal property acquired for purpose of disposal; see [¶5-197](#)) or [CB 5](#) (Business of dealing in personal property; see [¶5-211](#)) will constitute revenue account property. Briefly, revenue account property is a person's trading stock or property that would produce income for the person if the property was disposed of. Events that are treated as a disposal for depreciation purposes are specifically excluded from the definition of revenue account property.

Section [DB 23](#) provides for a specific deduction for the cost of revenue account property ([¶10-660](#)).

Law: IT07 ss [CB 3](#)–[CB 5](#)

Last reviewed on 31 December 2025

Cryptoassets [15-219]

[15-219]

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What are cryptoassets?

Cryptoassets are virtual assets that are a digital representation of value. They function as a medium of exchange and operate independently of banks and other financial institutions.

Cryptoassets are created and stored digitally and rely on blockchain technology. The idea behind blockchain technology is peer-to-peer transacting and cutting out the “middleman”. They are released into circulation through the mining process. This involves verification of transactions, a task that is normally undertaken by banks. Miners verify the transactions using special software and hardware and are rewarded with cryptoassets for their work.

Cryptoassets may also be known as cryptocurrencies, cryptographic assets, digital financial assets, digital tokens or virtual currencies.

The rising popularity of cryptoassets may see taxpayers involved in it in a number of ways, including:

- # receiving it as payment for the supply of goods and services
- # using it to pay for goods and services to businesses willing to accept it as payment
- # buying and selling Bitcoin (trading)
- # acquiring Bitcoin (eg from mining or from a cryptocurrency exchange) and holding on to it as a long-term investment.

Some different types of cryptoassets include:

- # Payment tokens – these are a means of payment or exchange (eg Bitcoin).
- # Security tokens – represent existing property or financial assets and mirror securities, such as shares or debt.
- # Utility tokens – are similar to traditional vouchers and used for direct access to goods or services.

From a legal perspective, cryptoassets are not legal tender (in other words, it is not like notes and coins that must be accepted as payment for goods and services).

In March 2022, definitions for “[cryptoasset](#)”, “[cryptocurrency](#)” and “[non-fungible token](#)” were added to s [YA 1](#) of the IT07 and s [2](#) of the GST Act with retrospective effect. The definitions apply from 1 April 2009.

A “cryptoasset” is very broadly defined as a digital representation of value that exists in a database that is secured cryptographically and contains ledgers that record transactions and is maintained in a decentralised form. A digital representation of value that exists in another application of the same technology performing an equivalent function is also a cryptoasset for tax purposes.

“Cryptocurrency” is a cryptoasset that is not a non-fungible token (NFT). The purpose of introducing the “cryptocurrency” definition is because cryptocurrencies are excluded from GST, but GST will continue to apply to supplies of NFTs ([132-629](#)). A “non-fungible token” is a cryptoasset that contains unique distinguishing identification codes or metadata. An NFT is unique and not directly substitutable for another equivalent asset.

For New Zealand tax purposes, cryptoassets are treated as property. This broadly follows the tax treatment in overseas jurisdictions such as Australia and the United States. The Australian Taxation Office (ATO) considers Bitcoin to be an asset (guidance paper “*Tax treatment of crypto-currencies — specifically Bitcoin*” available on the ATO website). In the United Kingdom, cryptoassets are viewed as tradeable property (CCH, *New Zealand E-Commerce Bulletin*, “UK Legal Statement on the Status of Cryptoassets and Smart Contracts”, Bulletin 2, December 2019).

IR provides guidance on the tax treatment of cryptoassets on its [website](#). Some of the reporting requirements and tax issues to consider are set out below.

Crypto-Asset Reporting Framework (CARF)

The CARF came into effect on 1 April 2026 and provides for the collection and automatic exchange of information on crypto-assets, requiring crypto-asset service providers (RCASPs) to provide tax authorities with information on crypto-asset transactions for its reportable users. The CARF also requires a crypto-asset user (CAU) to provide the necessary information to enable the RCASP to meet its requirements ([¶126-280](#)).

Receiving cryptoassets as payment for goods and services

A business is required to pay tax on the New Zealand dollar value equivalent of cryptoassets that are accepted as payment for goods and services. IR considers this to be a barter transaction. The value of the cryptoassets should be converted to New Zealand dollars on the date that it is received as payment.

Buying and selling cryptoassets for the purpose of disposal

Income tax must be paid on cryptoassets that are acquired for the purpose of disposal (s [CB 4](#)). Therefore, dealers who purchase cryptoassets with the view of selling or disposing of them at a later date will be taxable on the sale proceeds.

The person's purpose must be determined at the time the cryptoasset is acquired and the purpose of disposal must be the dominant purpose.

IR notes that a person's purpose in acquiring cryptoassets must be supported by the person's actions and the surrounding circumstances, such as:

- # the circumstances surrounding the acquisition of the cryptoasset and its disposal
- # the nature of the cryptoasset (whether it provides an income stream or any other benefits while held), and
- # the number of similar transactions and length of time the cryptoasset is held.

From the examples provided by IR on its website, it appears that the circumstances in which the disposal of cryptoassets will *not* give rise to taxable income are limited.

IR notes that the fact that there is an income stream associated with a cryptoasset does not necessarily lead to the conclusion that the cryptoasset was not acquired for the purpose of disposal. Clear and compelling evidence will be required from a taxpayer to support the claim that the cryptoasset in question was not acquired for the purpose of disposal. The issues are similar to those in respect of gold bullion. Further guidance can be found in [QB 17/08](#), "Income tax — are proceeds from the sale of gold bullion income?" ([¶15-200](#)).

Dealing in cryptoassets

Individuals and entities that are in the business of dealing (or trading) in cryptoassets must account for income tax on their trading profits (s [CB 5](#)). The trading stock rules may apply to these cryptoassets.

Profit-making scheme or undertaking

Another possibility is that cryptoassets may be part of a profit-making scheme or undertaking carried on by a person for the purpose of making a profit (s [CB 3](#)). If such a scheme is involved, an income tax liability may arise.

Mining cryptoassets

IR considers that in most scenarios mining is directed towards making a profit and will be a business activity rather than a hobby. Therefore, any mining receipts (ie mining related fees or rewards) may be taxable.

In limited circumstances, a person's mining activity may amount to merely a hobby.

Remuneration paid in cryptocurrency

[BR Pub 19/01](#), "Income tax — salary and wages paid in crypto-assets", confirmed the view that where an employee was paid part of their regular remuneration in cryptocurrency, this would be subject to PAYE. As such the FBT rules would not apply. [BR Pub 19/02](#), "Income tax — bonuses paid in crypto-assets", considered the payment of an amount of cryptocurrency to an employee as an incentive or bonus and concluded that such "bonus" payments come within the meaning of "salary or wages" and are therefore also "PAYE income payments" and subject to the PAYE rules.

[BR Pub 21/01](#) and [BR Pub 21/02](#) are revised rulings of [BR Pub 19/01](#) and [BR Pub 19/02](#) (above), necessary as the Commissioner was aware that some aspects of the arrangements ruled on and the commentary in [BR Pub 19/01](#) and [BR Pub 19/02](#) might be inconsistent with the Wages Protection Act 1983 and the Minimum Wage Act 1983, and this was addressed. However, the income tax treatment in the rulings remained the same and the Commissioner continues to be bound by the original rulings for arrangements entered into before their withdrawal.

Subsequently, [BR Pub 23/04](#), "Income tax – salary and wages paid in cryptoassets" replaced [BR Pub 21/01](#), with no changes to the ruling, and applies from 2 December 2022 to 30 November 2027.

[BR Pub 23/05](#), "Income tax – bonuses paid in cryptoassets" replaced [BR Pub 21/02](#), with no change to the view that when a bonus or an incentive paid in cryptoassets it will be a "PAYE income payment" for income tax purposes and the payer will have PAYE obligations. [BR Pub 23/05](#) also applies from 2 December 2022 to 30 November 2027.

For a discussion of these rulings, see [¶3-198](#).

[BR Pub 23/06](#), "Income tax – employer-issued crypto-assets provided to an employee", considers how FBT applies where cryptocurrency issued by an employer is provided to an employee. For a discussion of this ruling, see [¶21-436](#).

[BR Pub 23/07](#), "Income tax – application of the employee share scheme rules to employer issued crypto-assets provided to an employee", considers the income tax treatment of employer-issued crypto-assets provided to employees, where the crypto-asset issued is a share in the employer (ie provides an interest in the capital of the company), the employee is not required to pay market value for the crypto-asset and the crypto-asset is not provided under an exempt employee share scheme ([¶3-470](#)).

Tax treatment of cryptoassets received from blockchain forks and airdrops

Issues paper, [IRRUIP14](#), "Income tax – tax treatment of cryptoassets received from blockchain forks and airdrops" discusses whether the receipt and subsequent disposal of cryptoassets received from a blockchain hard fork or an airdrop are taxable. Following consultation on the issues paper, 2 Questions We've Been Asked were released:

- # [QB 21/06](#), "Income tax – tax treatment of cryptoassets received from an airdrop", and
- # [QB 21/07](#), "Income tax – tax treatment of cryptoassets received from a hard fork".

Terminology used in the items includes:

Blockchain: A blockchain is a type of distributed ledger technology, providing a digital record of transactions that is shared and maintained by users across the network.

Hard fork: As the rules relating to the functioning of each type of virtual currency are established by the underlying protocol that is shared by all of the users of that token, most changes to how the token functions requires a change to that protocol. These might be for example changes that would improve the speed at which transactions can be processed by changing how much information can be included in each block on the chain. These changes are known as forks in the chain and require users to update the protocol software they are running. In order to implement a fork, a majority of users running the protocol must agree to the change. There are 2 main types of fork:

- # A **hard fork** (sometimes also referred to as a “chain split”) changes the protocol code to create a new version of the blockchain alongside the old version, thus creating a new token that operates under the rules of the amended protocol while the original token continues to operate under the existing protocol.
- # A **soft fork** also updates the protocol. However, it is intended to be adopted by all users on the network and thus no new coin is expected to be created.

Airdrops: Airdrops are the distributions of tokens without compensation (ie for free), generally undertaken with a view to increasing awareness of a new token (particularly amongst “influencers”) and to increase liquidity in the early stages of a new token project. For example, the purpose of an airdrop may be to:

- # increase the supply of a cryptoasset in the market
- # reward early investors or users, or
- # raise awareness of a new cryptoasset by distributing that cryptoasset to holders of other cryptoassets.

In summary, [QB 21/06](#) on the tax treatment of cryptoassets received from an airdrop provides the following:

“The receipt of airdropped cryptoassets is taxable where a person:

- # has a cryptoasset business;
- # acquired the cryptoassets as part of a profit-making undertaking or scheme;
- # provided services to receive the airdrop (and the cryptoassets are payment for the services provided); or
- # receives airdrops on a regular basis, and the receipt has hallmarks of income.

In other cases, the receipt is not taxable.

The disposal of airdropped cryptoassets is taxable where a person:

- # has a cryptoasset business;
- # disposed of the cryptoassets as part of a profit-making undertaking or scheme;
- # provided services to receive the airdrop; or
- # acquired the cryptoassets for the purpose of disposing of them.

In many cases, the disposal will be taxable. However, in some cases outlined in this item, airdropped cryptoassets may be passively acquired and will not be acquired for the purpose of disposal.”

The item considers the situation when a person passively acquires property, for example, by inheritance or gift, and acknowledges that in this case they generally do not have a purpose when acquiring that property. However, the item states that a person will not be regarded as a passive recipient where they have turned their mind to the acquisition or provided consideration. The item considers the situations where a person may have turned their mind to acquiring airdropped cryptoassets and also may not.

Generally, no deductions are available as no expenditure is usually incurred in acquiring airdropped cryptoassets (with the exception of transaction fees). However, deductions for the cost of the cryptoassets will be available where cryptoassets are taxed on receipt and also on disposal.

In summary, [QB 21/07](#) on the tax treatment of cryptoassets received from a hard fork provides the following:

“The receipt of cryptoassets from a hard fork is taxable where a person:

- # has a cryptoasset business; or
- # acquired the cryptoassets as part of a profit-making undertaking or scheme.

In other cases, the receipt is not taxable.

The disposal of cryptoassets that were received from a hard fork is taxable where a person:

- # has a cryptoasset business;
- # disposed of the cryptoassets as part of a profit-making undertaking or scheme;
- # acquired the cryptoassets for the purpose of disposing of them; or
- # acquired the original cryptoassets for the purpose of disposing of them (where the person receives the new cryptoassets through an exchange).

In most cases, the disposal will be taxable.”

Stolen cryptoassets

The tax treatment of stolen cryptoassets depends on whether the cryptoassets were treated as trading stock by the taxpayer, or not. Under general principles, a loss will only be deductible if the cryptoassets were held as revenue account property. You can only claim the loss if the stolen cryptoassets would have been taxable if you had sold them.

To support a deduction for stolen cryptoassets, a taxpayer needs to demonstrate:

- # the cryptoassets were stolen
- # they were trading stock, or evidence that any income from their sale would have been taxable
- # the lost cryptoassets have not been recovered

The loss arises in the income year the cryptoassets were stolen. If the stolen cryptoassets were trading stock, the value of the stolen cryptoassets are removed from the closing stock balance in the year they were stolen.

Where stolen cryptoassets are recovered, or compensation for the loss is received, and a loss has been claimed, the amount of compensation or value of the recovered cryptoassets must be returned as income in the income year that the cryptoassets are recovered or compensation (like insurance proceeds) is received.

Cryptoassets and the financial arrangements rules

The financial arrangements rules are broadly defined ([¶6-045](#)) which means that some types of cryptoassets could fall within the definition. IR recognises that application of the financial arrangements rules to cryptoassets could result in accrual taxation on large, unrealised gains and losses due to their volatile nature. Application of the rules would be difficult in practice. It was decided therefore to exclude cryptocurrency and options over cryptocurrency from the application of the financial arrangement rules, except where the arrangement is the economic equivalent of a debt arrangement.

Cryptocurrency is an excepted financial arrangement (s [EW 5\(3BA\)](#)), unless it meets the requirements in s [EW 5\(3BAB\)](#). The latter provision states that cryptocurrency will be a financial arrangement if ownership means the owner is entitled to receive amounts during the period of ownership that are determined by reference to the quantity or value of the cryptocurrency on a basis that is known to the owner in advance, and not by reference to business activity profits.

In addition, an option over cryptocurrency is also an excepted financial arrangement (s [EW 5\(13B\)](#)).

An arrangement is not excluded from the financial arrangements rules merely by the fact that a party to the arrangement is paid in a form of cryptocurrency instead of money.

Further reading

For a detailed discussion and examples, including the GST treatment of crypto-assets, see *Tax Information Bulletin* [¶345-103 Vol 34, No 5](#), June 2022 at 3 and [¶32-629](#).

Law: IT07 ss [EW 5\(13B\)](#), [YA 1](#) “cryptoasset”, “cryptocurrency” and “non-fungible token”

Last reviewed on 31 December 2025

Income from sale of patent rights or patent applications [¶5-222]

[¶5-222]

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An amount derived from the sale of patent rights or the sale of a patent application with a complete specification is income.

Special rules apply if the patent rights or patent applications are transferred under a relationship agreement (s [FB 8](#)).

For the rules on deducting expenditure incurred in relation to a patent, see [¶10-750](#).

The income derived from the sale of patent applications and patent rights is able to be spread evenly over the income year of sale and the following 2 years. This rule is intended to alleviate cashflow difficulties for vendors who sell patent rights for non-cash consideration (s [EI 4](#)).

Law: IT07 ss [CB 30](#), [EI 4](#), [FB 8](#)

Last reviewed on 31 December 2025

Income from unclaimed money [15-225]

[15-225]

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Many businesses hold money that is owing to another person. In New Zealand, the Unclaimed Money Act 1971 sets out rules that apply to holders of unclaimed money. The rules underwent a general reform in March 2021.

Generally, after a certain period, unclaimed money becomes payable to the Commissioner. However, the amount ceases to be unclaimed money (although the owner of the money may still be entitled to repayment) where the amount of unclaimed money does not exceed \$100 per owner (the person entitled to the money).

Holders have a choice between transferring amounts of \$100 or less to the Commissioner or putting them to another purpose (such as donating them to charity). Money applied for the benefit of the holder, or another use, will cease to be unclaimed money. However, this does not affect any claim that the owner of the money may have against the holder for repayment. Amounts retained by a holder that are not unclaimed money will be income in the hands of the fund holder.

Previously, the length of time required to pass before money was deemed unclaimed was either 6 or 25 years from the date of the owner's last interaction with the holder, depending on the type of funds. From 30 March 2021, a standard deeming period of 5 years applies to all amounts of money. To avoid engaging the deeming period, an owner must request information or provide instructions to the holder about the money, or another matter, within 5 years. To recognise modern forms of account interaction, "requesting information" or "providing instructions" will include, for example, customer interaction through internet banking (eg where a customer views their account balance online). An institutional approach is applied to account interaction, so that activity on one account is applied to all accounts the customer holds with the same institution. If the owner does not request information or provide instructions on any of their accounts, the money is deemed unclaimed and the deeming period commences from the date of the owner's last interaction with the money.

An exception applies to the standard deeming period for term deposits that are to be automatically reinvested on maturity. Where the deposit is the only investment a customer has with an institution, the 5-year deeming period will not commence until the second term (ie first rollover) of the renewing term arrangement. Once the deeming period starts and 5 years have passed with no interaction, the money will be deemed unclaimed money. However, to avoid breaking a deposit mid-term, a deposit is prevented from becoming unclaimed money before the end of a term.

Holders who have made reasonable efforts but have been unsuccessful in locating an owner may choose to pay money that has not yet become unclaimed to the Commissioner. Holders are encouraged to use their resources and the information they hold efficiently and to pursue avenues of contact they consider will be most productive. IR has stated it expects most holders would, in providing good customer service, make multiple attempts to contact the customer before the deeming period ends. The holder may, at its discretion, send a final notice to the customer once the funds become unclaimed, but this is not required.

Holders must provide the Commissioner with relevant information in their possession or control relating to the owner and the money within one month and 20 days of the end of their quarterly reporting period.

Holders were previously required to maintain a publicly available register of unclaimed money, but this requirement has been removed. Holders are instead encouraged to maintain sufficient internal records.

The reforms have made 3 categories of money received or held by the Commissioner unclaimable. These are amounts that:

- # have been unclaimed money for 25 years or more
- # have no identifying information, or
- # are \$100 or less.

Amounts that fall within these categories are removed from the list of unclaimed money by the Commissioner and may not be claimed by their owners. In each case, these amounts cease to be unclaimed money when they meet the requirements for delisting by the Commissioner. The Crown becomes the owner of this money.

Detailed transitional provisions apply for holders to take account of the change in timelines from the old deeming periods to the new 5-year deeming period.

Rulings

[BR Pub 17/01](#) and [BR Pub 17/02](#), provide guidance on when amounts of unclaimed money of less than \$100, received in the course of business, are derived as income. The rulings conclude that while money is held on trust and cannot be (and has not been) applied by the holder for their own (or anyone else's) benefit, it cannot be income of the holder. However, an unclaimed amount not held on trust will be derived when:

- # it has been applied by the holder for its own (or anyone else's) benefit, and
- # it is probable the amount will not have to be repaid (including situations where the amount is not legally recoverable).

Whether it is probable that an amount will not be repaid will depend on the particular business. Business records and accounting treatment are likely to be relevant to determining this.

If a holder has recognised a previously unclaimed amount as income and subsequently returns that amount to the owner, the holder will be entitled to a deduction under s [DA 1\(b\)](#).

The rulings apply indefinitely from the beginning of the 2017–18 income year.

Law: IT07 s [CB 1](#)

Last reviewed on 31 December 2025

Income from stolen money and property [¶5-227]

[¶5-227]

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An amount equal to the market value of property obtained without claim of right is income of a person in the income year in which the person obtains possession or control of the property. Generally, “claim of right”, in relation to any act, means a belief that the act is lawful, although that belief may be based on ignorance or mistake of fact or of any matter of law other than the enactment against which the offence is alleged to have been committed (s [YA 1](#)).

A deduction is allowed for restitution made to legal owners ([¶10-870](#)).

Law: IT07 ss [CB 32](#), [YA 1](#) (“[claim of right](#)”)

Last reviewed on 31 December 2025

Income from disposal of emissions units [¶5-228]

[¶5-228]

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Disposal of emissions units by sale

When a person disposes of an emissions unit the amount derived is assessable income of that person. An emissions unit is defined in s [YA 1](#) of the IT07 to mean a unit as defined in s 4(1) of the Climate Change Response Act 2002, ie a New Zealand unit or an approved overseas unit (or, before 23 June 2020, a Kyoto unit).

The tax treatment of transactions involving emissions units varies depending on the type of emissions unit. There are 4 types:

- # non-forestry
- # post-1989 forestry
- # pre-1990 forestry where land is held on capital account (and so falls outside the tax system), and
- # pre-1990 forestry where land is held on revenue account.

As can be seen from above, distinction is made between post-1989 forest land and pre-1990 forest land (as defined in s 4(1) of the Climate Change Response Act) when dealing with emissions units relating to forestry land.

Non-forestry

Non-forestry emissions units are generally dealt with on an accruals basis. The underlying objective of the legislation is to treat these transactions as revenue account transactions.

Post-1989 forest land

As units relating to post-1989 forest land are held on revenue account, the broad approach under the rules is that the acquisition costs of emissions units are deductible and any gains on their disposal are assessable. However, the position is complicated by the application of the cash basis of income recognition and specific timing and matching rules in the legislation.

Pre-1990 forest land

Transactions in relation to pre-1990 forest land are generally on capital account (unless the taxpayer holds the particular land on revenue account, for example, where the person is a land dealer or developer, in which case special rules apply).

A number of amendments were retrospectively introduced to deal with the securitisation of pre-1990 forest land emissions units through a sale and compulsory buy back transaction. This transaction is effectively a lease of the units in exchange for a loan. The transaction is treated as a financial arrangement with an attached excepted financial arrangement. The excepted financial arrangement is the assignment of the pre-1990 forest land emissions units by the holder to a person who is not an associated person (the lender) and the later assignment of the same or other New Zealand emissions units by the lender to the holder.

The financial arrangements rules apply to the “interest” component only. For example, the “interest” paid by the original unitholder will be the difference between the amounts they receive from assigning the units and the total amounts they pay the lender under the arrangement.

Under s [DB 17B](#), the lender is denied a deduction for the amount they have lent to the original holder of the units.

As the same amount of units is being returned, changes in the value of the emissions units are ignored. Under s [CX 54B](#), the amount that relates to the market value of such an emissions unit under a transfer of

the excepted financial arrangement is excluded income. In addition, the original unit and the returned unit are treated as having a value for the unit holder equal to the cost of the original unit for the unit holder under s [EW 52B\(4\)](#).

Any gain or loss made by the lender from subsequently selling the units to a third party and later purchasing replacement units is taxable. The lender is taxed on all proceeds from the sale of the units to a third party. Their cost base for the units sold is zero. However, the lender is able to deduct the cost of the replacement units acquired to meet their obligation to return units to the original holder.

Provided the requirements of the arrangement are fulfilled, the original owner is considered to hold the units throughout the arrangement. This non-recognition of a disposal by the original owner means the one-off tax free status of the units on disposal is preserved. Where the units are not returned on the date agreed, the arrangement is effectively unwound for tax purposes and the original disposal of the units is treated as an ordinary disposal on the date the arrangement began.

Surrender of units under the Climate Change Response Act 2002

If the emissions unit is surrendered to meet an obligation relating to post-1989 forestry land or pre-1990 forestry land held on revenue account, the unit is treated as being sold for zero.

If the emissions unit is transferred to the Crown under a forest sink covenant, the unit is treated as being sold for zero (s [CB 36\(4B\)](#)).

If the emissions unit is a post-1989 forest land emissions unit or a forest sink emissions unit but is surrendered to meet a liability that does not relate to post-1989 forest land or a transfer to the Crown under a permanent forestry scheme, it is treated as being sold for market value.

The surrender of a non-forest land unit is treated as being sold at market value if the unit was transferred under the government allocated emissions unit scheme (Pt 4, subpart 2 of the Climate Change Response Act, also known as a “free unit”) at a price of zero and the person surrenders the unit when it is valued at zero (s [CB 36\(7\)](#)).

In all other circumstances, surrender is treated as a sale for cost. This is because the business will have already received the deduction for the liability to surrender units on an accruals basis ([19-062](#)).

Conversion of units

If a person converts a New Zealand emissions unit (other than a forest land emission unit) into something else under the Climate Change Response Act 2002 (before 23 June 2020, a Kyoto unit), the person is treated as having sold the converted unit for:

- # the unit's value under s [ED 1\(7B\)](#) ([19-062](#)), if applicable, or
- # the unit's cost.

Note that amounts derived on the disposal of pre-1990 forest land emissions units, other than by surrender, are excluded income (s [CX 51B](#)). The rationale behind this provision is that the award of these types of emissions units is to compensate for the fall in the value of the land — this being a capital transaction it gives rise to excluded income.

The definition of “pre-1990 forest land emissions unit” in s [YA 1](#) ensures that transactions in emissions units that are transferred through certain entities as part of Treaty of Waitangi settlements still give rise to exempt income.

Allocation of free units

The allocation of free units is treated as income that is recognised on an accruals basis ([19-062](#)).

Interpretation statement

Interpretation statement [IS 25/13](#), "Income tax and GST – forestry activities registered in the Emissions Trading Scheme" sets out the income tax and GST issues arising for foresters who have their forestry activities registered in the Emissions Trading Scheme (ETS). The statement is accompanied by fact sheet [IS 25/13 FS](#). Figure 1 in [IS 25/13 FS](#) summarises the tax consequences for different types of emissions unit. [IS 25/13](#) also discusses in detail various specific issues that may arise in relation to emissions units held by foresters, including forestry rights agreements, repurchase arrangements, deregistration from the ETS, changing forestry activities and the application of the purchase price allocation rules to forestry transactions.

Interpretation statement [IS 25/24](#), "Income tax and GST – industries other than forestry registered in the Emissions Trading Scheme" provides guidance for the income tax and GST treatments of emission liabilities and emission units in all other industries (apart from forestry) registered in the ETS, including industrial processes, liquid fossil fuels, stationary energy, waste disposal, horticulture, agriculture and synthetic greenhouse gases (see Appendix of [IS 25/24](#) for detailed discussion of the industries and activities). [IS 25/24](#) also contains a number of examples to illustrate the application of the rules.

Law: IT07 ss [CB 36](#), [CX 51B](#), [CX 54B](#), [DB 17B](#), [EW 52B](#), [YA 1](#) ("emissions unit", "pre-1990 forest land emissions unit")

Last reviewed on 31 December 2025

Other income under subpart CB [¶15-230]

[¶15-230]

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The following amounts are also income from business or trade-like activities:

- # certain amounts from the disposal of land — ss [CB 6A](#) to [CB 23B](#) and Chapter 7
- # amounts from the sale of timber — ss [CB 24](#), [CB 25](#) and [¶128-014](#)
- # amounts from the disposal of certain shares by portfolio investment entities — s [CB 26](#) and [¶129-130](#)
- # income equalisation scheme income — s [CB 27](#) and [¶127-075](#), [¶127-085](#) and [¶127-120](#)
- # refunds and transfers from an environmental restoration account — s [CB 28](#) and [¶110-412](#)
- # amounts from the disposal of minerals — s [CB 29](#)
- # income from a look-through company — ss [CB 32B](#), [CB 32C](#) and [¶119-155](#)
- # amounts derived by mutual associations and their members — ss [CB 33](#), [CB 34](#) and [¶124-090](#)
- # income for partners from partnership — s [CB 35](#) and [¶123-040](#).

Last reviewed on 31 December 2025

Revenue derived from land [¶15-232]

[¶15-232]

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The income of any landowner includes rent, a fine, a premium or other revenues (including any payment for the goodwill of a business or the benefit of a statutory licence or privilege ([¶15-237](#))) when that income is derived from any lease, licence or easement affecting the land or from the grant of a right to take the profits of the land. Section [CC 1](#) should be read together with s [EI 7](#), which provides for the spreading of some of the income over the income year in which it is derived and the 5 subsequent income years ([¶15-115](#)).

Rent

On general principles, rental income is assessable income in the year in which it is received. There is no basis upon which the matching principle (ie the principle that recognition of income is matched with the deduction of expenditure ([¶15-075](#))) suggests adoption of the earnings method ([¶15-078](#)). This is unless the taxpayer is in the business of leasing. In this case, the rental income will be assessable income in the year in which it is derived.

As a general proposition, the holding of property for the derivation of rental income does not amount to the carrying on of a business. Nonetheless, it is possible, particularly with a company, that the derivation of rental income amounts to the carrying on of a business (*LD Nathan Group Properties Ltd v C of IR* ([1980](#)) [4 NZTC 61,602](#)). Deduction of the expenses incurred in the earning of that rental income is permitted even though the rental activities do not amount to the carrying on of a business. However, in some cases, if the Commissioner believes that the rental activities are not carried on with a wholly income-producing purpose, the deductions claimed may be limited.

Holiday houses

[QB 09/02](#), “Holiday houses — income tax treatment” responds to the question about the correct income tax treatment when an individual owns a holiday house and rents it out from time to time. IR stated that any rental income received was taxable under s [CC 1](#) and should be returned in the owner’s tax return for the income year in which it was derived. As discussed above, this provision taxes any rental income derived from the leasing or licensing of land (and land includes any house on that land), regardless of whether the activity amounts to a business or whether market rates are charged. The item also provided general guidance on the deductibility of expenses incurred in owning the holiday house.

However, with effect from the 2013–14 income year, mixed-use asset rules in subpart [DG](#) apply to apportion expenditure when a holiday home is used for both private and income-earning use and also left vacant for at least 62 days in the year ([¶10-035](#)). As a result, [QB 09/02](#) should no longer be relied upon. While rental income generally remains taxable under s [CC 1](#), the deductibility of expenditure incurred in owning the holiday house is now subject to apportionment under subpart [DG](#). In addition, under s [DG 21](#), if the amount of rental income derived for an income year is less than \$4,000, the owner may choose to treat the income as exempt income under s [CW 8B\(2\)](#) and effectively opt out of the apportionment rules. Any expenditure incurred in relation to the holiday home will then be non-deductible. The decision to opt out is made in each year and can change from year to year. Companies holding holiday homes cannot use the opt-out provisions.

Airbnb

Renting out a property through websites such as Airbnb has become increasingly common in New Zealand. Airbnb hosts may rent out an entire house or apartment or simply a part of their property (such as a single room or sleep out). As for other holiday home arrangements, a number of different tax scenarios can arise depending on the nature of the property, whether it is vacant for parts of the year and the ownership structure of the property.

Generally speaking, any income received for letting out a property or a room through Airbnb is subject to income tax. This is similar to renting out a residential rental property. As above, the mixed-use asset rules will apply if the property is used for both private and income-earning purposes and is also vacant for at least 62 days in the year, or the host can choose to treat the income as exempt income if the rental income is less than \$4,000 and expenditure will then be non-deductible.

The mixed-use asset rules will generally not apply if the property available for rent is a room or rooms within the host's home in which they live, as a person's home is not usually vacant for 62 days in an income year. If the mixed-use asset rules are not applicable, then expenditure has to be apportioned on a fair and reasonable basis. There are no set rules, and the apportionment method has to be determined on a case-by-case basis. The following general rules apply:

- # Expenses that relate solely to the Airbnb activity should generally be fully deductible (eg fees for advertising).
- # Expenses that relate to both income earning and private use have to be apportioned, typically based on the floor area of the property.
- # Factors such as the rate of occupancy also impact the apportionment calculation.

Inland Revenue statements

[IS 23/04](#), "The interest limitation rules and short-stay accommodation" considers how the interest limitation rules under subpart [DH](#) ([¶10-814](#)) apply to property used to supply short-stay accommodation. The statement only applies to natural persons and trustees that own property used for short-stay accommodation (being 4 consecutive weeks or less).

The statement is divided up according to the type of property being used as short-stay accommodation. These may be:

- # a person's holiday home — the interest limitation rules will apply, unless the holiday home qualifies as new build land ([¶10-818](#)) based on the fact that the property will qualify as disallowed residential property. The interest limitation rules override the ability to deduct interest under the mixed-use asset rules ([¶10-035](#)).
- # a person's main dwelling
- # a separate dwelling on the same land as a main home
- # a separate property only used as short-stay accommodation
- # a farm or lifestyle block

The degree to which interest is deductible, if at all, will depend on when the loan which incurs interest was drawn down or refinanced ([¶10-814](#)).

There are a number of items on the provision of short-stay accommodation by taxpayers, either in their own property or in a separate property, including:

- # [QB 19/09](#), "Can I register for GST if I supply short-stay accommodation to guests in my home or holiday home?"
- # Determination [DET 19/02](#), "Standard-cost household service for short-stay accommodation providers".
- # [IS 20/04](#), "Goods and services tax: GST treatment of short-stay accommodation" ([¶32-052](#)).
- # [QB 25/01](#), "Income tax – Which rules apply if I rent out my home, part of my home, or a separate dwelling on my property as short-stay accommodation?". [QB 25/01](#) replaces [QB 19/05](#).
- # [QB 25/02](#), "Income tax – Which rules apply if I have a dwelling I sometimes rent out as short-stay accommodation and also sometimes use privately?". [QB 25/02](#) replaces [QB 19/06](#).
- # [QB 25/03](#), "Income tax – How do the mixed-use asset rules apply if I provide short-stay accommodation?". [QB 25/03](#) replaces [QB 19/07](#).
- # [QB 25/04](#), "Income tax – How do the standard tax rules apply if I provide short-stay accommodation?". [QB 25/04](#) replaces [QB 19/08](#).

[QB 25/05](#), “Income tax – If property held in a trust is rented out for short-stay accommodation, who declares the income and what deductions can be claimed?”. [QB 25/05](#) replaces [QB 19/15](#) and [QB 19/16](#).

[QB 25/16](#), “Income tax – How do the income tax rules apply when a close company provides short-stay accommodation?”

The items look at a variety of scenarios in which short-stay accommodation is provided, including properties advertised on Airbnb and Bookabach.

The items confirm that amounts received for rental will be income. However, if the standard-costs approach in Determination [DET 19/02](#) ([¶15-695](#)) is adopted, the income will be exempt to the extent of the standard costs and only the excess income, if any, will need to be declared. If the person is unable, or chooses not, to use the standard costs approach, then all the income will be taxable, and deductions will be based on the actual costs related to earning the income. Apportionment of some of these expenses will be necessary, as they will also relate to the private use of the home.

If a separate dwelling on the same property as the person’s home is rented out for short-stay accommodation, different tax rules will apply depending on the situation. If the separate dwelling is only rented out and never used privately, all of its rental income will be taxable and all of the deductible expenses in relation to the dwelling may be claimed. If, in addition to sometimes renting out the dwelling, it is also sometimes used privately, the dwelling may be subject to either the “mixed-use asset” rules or the standard income tax rules.

The various items set out how to determine which rules apply to different situations and how to apply those rules in each situation. They are discussed in more detail at [¶15-695](#), [¶110-113](#) and [¶132-052](#).

Boarders

For the tax treatment of board payments received from a boarder, see [¶15-695](#).

Other revenues

In *Vector Ltd v C of IR* ([2014](#)) [26 NZTC ¶21-096](#), the High Court held that “other revenues” in s [CC 1\(2\)\(g\)](#) is not intended to tax amounts of a capital nature. It captures amounts that are income, but are not covered by s [CC 1\(2\)\(a\)](#) to [\(f\)](#). Whether s [CC 1](#) applied in the case before the court was therefore answered by determining whether the amounts at issue were of a capital nature or income. Briefly, the facts were that Vector, an electricity distribution company, owned 2 electricity distribution networks in the greater Auckland region. Transpower, who managed and operated the national electricity transmission grid in New Zealand, entered into an agreement with Vector to use Vector’s infrastructure to carry out upgrades. The agreement provided for Transpower to pay Vector for the Northern Easements and for the Southern Access Rights. The court held that the amounts were capital and s [CC 1](#) did not apply in this case. Through the agreement, Vector’s ability to use its asset was effectively permanently impaired. The payments were of a once and for all nature producing advantages to Transpower that were enduring. This factor clearly pointed towards the amounts being capital in nature.

On appeal, the Court of Appeal upheld the High Court decision, confirming the lower court was correct in finding that the term “other revenues” did not include amounts of a capital nature. The Court of Appeal also rejected the Commissioner’s alternative submission that in reality the consideration was disguised rent paid in advance as a lump sum. The Court confirmed there was effectively a permanent disposition of Vector’s property interests (*C of IR v Vector Ltd* ([2016](#)) [27 NZTC ¶22-065](#)).

Foreign rental property

The following 3 items address a range of tax issues a New Zealand tax resident individual may face if they own foreign residential rental property:

[IS 20/06](#), “Income tax – Tax issues arising from ownership of foreign residential rental property”

- # [IS 20/07](#), “Income tax – Application of the financial arrangements rules to foreign currency loans used to finance foreign residential rental property”, and
- # [FX 20/01](#), “Approval – foreign residential rental property amounts – currency conversion”.

The first item is an interpretation statement that provides high level summaries of the various tax issues that can arise for New Zealand tax resident individuals who own foreign residential rental property. The topics briefly covered in the statement include:

- # tax residency
- # recognition of income or expenditure
- # balance date differences
- # foreign exchange rates and conversion timing
- # the types of income that may arise (ie overseas rental income, income from the sale of the property, and financial arrangement income arising from foreign exchange gains)
- # expenses (eg repairs and maintenance, depreciation and interest deductions)
- # entitlement to foreign tax credits ([¶126-250](#)), and
- # other New Zealand tax obligations.

A number of examples are also included in the statement.

The second item provides more detailed guidance on when and how the financial arrangements rules apply to foreign currency loans that New Zealand tax resident individuals use to finance a foreign residential rental property ([¶16-213](#)).

The third item is an Approval that sets out a range of currency conversion methods that individuals with an interest in a foreign residential rental property can use to convert foreign currency amounts into NZ dollars ([¶126-035](#)).

Law: IT07 ss [CC 1](#), [CW 8B\(2\)](#), [DG 21](#)

Last reviewed on 31 December 2025

Tax treatment of goodwill [¶15-237]

[¶15-237]

[Click to open document in a browser](#)

Goodwill may be either personal, attaching to a business and dependent upon the personal relations between the proprietor and their customers, or local, attaching to the premises. Liability for income tax is largely dependent upon the category into which the goodwill payment falls. The documentation in relation to the goodwill will be important in this regard. In many instances, a payment of goodwill must be apportioned between the 2. See Case H66 [\(1986\) 8 NZTC 473](#).

Personal goodwill

An amount attributable to personal goodwill, such as that relating to a solicitor's or doctor's practice, is generally regarded as being on capital account (ie non-taxable). Trade names, trademarks, logos and the like are generally tied up with this concept of personal goodwill. See *FC of T v Just Jeans Pty Ltd* 87 ATC 4373.

Local and site goodwill

Goodwill is income when received by an owner of land from a lease, licence or easement affecting that land (eg the grant of a lease or sublease on the sale of a business). For a payment of goodwill to fall within this category, the payment must relate to the physical location of the business and not to personal factors, such as the business having been built up through reputation or service (*Romanos Motels Ltd v C of IR* [1973] 1 NZLR 435 (CA) and *Hawkless v C of IR* [\(1983\) 6 NZTC 61,646](#)). Amounts received for the goodwill of the lease of licensed premises, such as hotels or fast food outlets, are typical examples of goodwill included in assessable income.

Goodwill on sale of a lease

An owner of land is any person who owns an estate or interest in land, and so the definition includes a lessee. One implication is that any payment of goodwill received upon the grant of a sublease is assessable income of the lessee. Under s [CC 1](#), the total amount received is income in the year of receipt unless the person applies to have the amount spread over the income year in which it was derived and the 5 succeeding income years under s [EI 7](#) ([¶15-115](#)). For discussion on the deductibility of goodwill payments, see [¶10-502](#).

However, if the lessee sells or assigns the lease outright, the sale proceeds are a capital receipt, unless the vendor is a person who is in the business of dealing in leases, or if the vendor acquired the lease with a view to selling or otherwise disposing of it. The purchaser of the lease may be able to claim depreciation deductions in respect of any remaining goodwill as depreciable intangible property under the depreciation rules. However, no depreciation deduction may be available if the lease was transferred between associated persons ([¶13-440](#)).

Law: IT07 ss [CC 1](#)

Last reviewed on 31 December 2025

Tax treatment of lease inducement payments [¶5-242]

[¶5-242]

[Click to open document in a browser](#)

Lump sum inducement payments, ie rent-free periods, free fit-outs, etc, paid to prospective tenants as an inducement to enter into a lease have generally been regarded as a capital receipt to the tenant. However, this approach was put in doubt by *FC of T v Cooling* [90 ATC 4472](#). In that case, the Full Federal Court of Australia held that a lease incentive cash payment to induce a firm of solicitors to move office was assessable income.

Since a not insignificant purpose of the transaction was to obtain a commercial profit by way of the incentive payment, there was no reason why that profit should not be seen to be income according to ordinary concepts. A similar approach was adopted by the Full Federal Court in *Rotherwood Pty Ltd v FC of T* [96 ATC 4203](#).

Wattie decision

In *Wattie v C of IR* [\(1996\) 17 NZTC 12,712](#), the first rent inducement case to be decided in New Zealand, the High Court held that a lump sum inducement payment received by an accounting firm for moving into new premises was assessable as income in the year of receipt. The High Court determined that the lump sum inducement was a form of rent subsidy and represented assessable income in the hands of the taxpayers.

However, the Court of Appeal [\(\(1997\) 18 NZTC 13,297\)](#) rejected the High Court decision and held that the inducement sum was a capital item and was not taxable. It was not a form of rent subsidy. It was also not taxable as a profit or gain arising from the ordinary course of the firm's business.

The Privy Council [\(\(1998\) 18 NZTC 13,991\)](#) rejected the Commissioner's appeal from the Court of Appeal decision and confirmed that the inducement payment was capital in nature.

The approach of the Privy Council followed the traditional approach adopted by the courts to classifying whether a receipt or expenditure is of a capital or revenue nature ([¶5-031](#) and [¶10-075](#)). The lump sum nature of the payments, the nature of the advantages obtained and the substantial periods involved more than adequately established the expenditure as made for the acquisition of capital assets. Furthermore, in the absence of any special legislation to the contrary, a premium has always been recognised as capital rather than revenue in both New Zealand and the United Kingdom.

Legislative changes

In 2013, legislation was introduced to make both commercial lease inducement payments and lease surrender payments assessable and deductible.

Section [CC 1B](#) applies to lease inducement payments derived on or after 1 April 2013, in relation to a lease or licence entered, renewed, extended or transferred on or after that date. When a person (the payee) derives an amount as consideration for the agreement by the payee to the grant, renewal, extension or transfer of a right (the land right) that is a leasehold estate or a licence to use land, that amount is income of the payee under s [CC 1B](#). A timing rule in s [EI 4B](#) applies to spread the amount of income over the term of the lease.

Exceptions

Section [CC 1B](#), as originally enacted, did not apply to an amount derived by the payee as the holder of a land right and as consideration for the transfer of the land right to the payer. Thus, a lease transfer payment received by an assignor from an assignee for the assignment of an existing lease was not taxable under s [CC 1B](#) from 1 April 2013 until 31 March 2014. However, with effect from 1 April 2015, s [CC 1B](#) was amended to exclude Glasgow-type leases, which are renewable in perpetuity, and also to extend the

application of s [CC 1B](#) to include lease transfer payments. Although the charging provision is broad, most lease transfer payments will not be taxable by satisfying certain conditions. The intention is that only those transfer payments that are substitutable for taxable lease surrender payments in s [CC 1C](#) and taxable lease premiums in s [CC 1](#) will be taxable. A lease transfer payment will not be taxable if the following conditions are satisfied:

- # the payee is the holder of the land right (eg the exiting tenant)
- # the amount is consideration for the transfer of the land right to the person paying the amount (eg the new tenant)
- # the amount is not sourced from funds provided, by the owner of the estate in land from which the land right is granted, for purposes that include obtaining the surrender or termination of the land right, and
- # each of the payee and the person making the payment is not associated with the owner of the estate in land from which the land right is granted.

Section [CC 1B](#) also contains an exception for a tenant or licensee of residential premises. The amount is not considered income if the payee is a natural person and derives the amount as a tenant or licensee of residential premises whose expenditure on the residential premises does not meet the requirements of the general permission. As an individual tenant or a licensee of residential premises is not allowed a deduction for payments of rent because they do not meet the general permission in s [DA 1](#) and also the private limitation in s [DA 2\(2\)](#), this exception ensures a consistent tax treatment of income and deductions for such taxpayers. However, note that from 1 April 2015 the exception only applies where the payee is not associated with the owner of the estate in land from which the land right is granted.

An amount derived as a capital contribution is also excluded.

Following the Court of Appeal decision in *C of IR v Vector Ltd* ([\(2016\) 27 NZTC ¶122-065](#)) that the grant of a land right was not taxable under s [CC 1](#) as “other revenue” ([¶15-232](#)), the exclusion for a one-off payment for the grant of a permanent easement in former s [CC 1\(2C\)](#) was made redundant and the provision was repealed and moved to s [CC 1B](#) to clarify the position. However, doubts had also been raised about whether s [CC 1B](#) captured payments for the grant of a land right (despite the court in *Vector* noting that the amount in that case would have been caught by the section if it had existed at the time of the transaction). As a result, and following announcements made by the Minister of Revenue that the position would be clarified, further amendments were made to ensure that payments for the grant of a land right (such as a licence or a limited term easement) are taxable. This also ensures the relocated exclusion for a one-off payment for the grant of a permanent easement has its intended effect. The amendments apply retrospectively from 1 April 2013, but a savings provision was included for those who had filed a tax return or been given a binding ruling on the previous basis before 23 August 2019 (the date of the announcement by the Minister).

Timing rule

The timing rule in s [EI 4B](#) spreads the amount of the income under s [CC 1B](#) over the “spreading period”.

The “spreading period” means a period that:

- # begins with the commencement, or a renewal or extension, of the land right, and
- # ends before the earliest following date on which the land right may be terminated, or may expire, if not extended or renewed.

Thus, the spreading period is an initial fixed period determined at the grant, renewal or extension of the land right. If, later, there is a payment for a further renewal or extension of the land right, that payment would be spread over the new fixed renewal or extension period, as that period is regarded as a separate spreading period (see examples at [¶10-670](#)).

Where the income is derived before the end of the spreading period, the amount is allocated proportionately on a monthly basis over the remainder of the spreading period. As in most cases the lease inducement payment will be paid before the commencement of the spreading period, the amount will generally be spread over the entire spreading period. Note that even if the payment is made well before the spreading period commences, the amount is allocated in relation to the spreading period, and not when the amount is derived.

Where the income is derived at or after the end of the spreading period, the amount is allocated to the income year in which it is derived.

If the spreading period is more than 50 years, the amount is allocated evenly over the first 50 income years.

Ceasing to hold the land

If a person ceases to hold the relevant land right or the estate in land from which the land right is granted part way through the spreading period, an exception to the timing rules applies, allowing for a “wash-up” calculation. For income, if there is a remaining amount to be allocated under the main spreading provision in s [EI 4B\(3\)](#), the amount of income is allocated to an income year (the balance year) ending before the end of the spreading period if:

- # at the beginning of the balance year, the person holds the land right or the estate in land from which the land right is granted
- # in the balance year, the person ceases to hold the land right or the estate in land from which the land right is granted, and
- # the amount would be allocated under s [EI 4B\(3\)](#) to an income year ending before, or including the end of the spreading period, and after the balance year.

The timing rule in s [EI 4B](#) does not apply to an amount that is income under s [CC 1](#), which relates to income from land ([¶15-232](#)), or s [CG 8](#), which relates to capital contributions ([¶15-356](#)). The following example shows how the timing provision would apply to a lease inducement payment paid as a contribution towards the cost of a fit-out.

Example:

On 1 April 2025, a tenant receives a lease inducement payment of \$100,000 from their landlord to enter into a 12-year lease. The terms and conditions of the agreement require that the tenant must use the payment for a fit-out of their lease premises.

The tenant spends a total of \$300,000 on their fit-out in the 2025–26 income year. The tenant and the landlord both have a 31 March balance date.

The tenant

The tenant can either choose to return \$100,000 as income over the next 10 years, starting from the 2025–26 income year (under s [CG 8](#)), or reduce the cost base of the fit-out by \$100,000 (under s [DB 64](#)). Under the latter option, the tenant is only able to claim depreciation on the remaining \$200,000 of expenditure incurred on the fit-out.

The landlord

The landlord is allowed a deduction of \$100,000 under s [DB 20B](#), which is allocated under s [EI 4B](#) over the 12-year period from the 2025–26 to the 2035–36 income years inclusive (ie a deduction of \$8,333 is allocated to the landlord in each income year).

Based on an example from *Tax Information Bulletin* [¶1259-103 Vol 25, No 9](#), October 2013 at 30.

A lease inducement payment is deductible under s [DB 20B](#) ([¶110-670](#)).

Law: IT07 ss [CC 1B](#), [EI 4B](#)

Last reviewed on 31 December 2025

Tax treatment of lease surrender payments [15-247]

[15-247]

[Click to open document in a browser](#)

Section [CC 1C](#) provides that when a person (the payee) derives an amount as consideration for the agreement by the payee to the surrender or termination of a land right (a leasehold estate, but excluding Glasgow-type leases, which are renewable in perpetuity, or licence to use land), that amount is income of the payee. The payee must be:

- # the person who owns the estate in land from which the land right is granted, or
- # the person who owns the land right.

The section ensures, therefore, that a landlord who receives a surrender payment from a tenant will be taxed on that payment as will a tenant who receives a payment to exit a lease. The section does not apply to a residential tenant who is a natural person and not entitled to deduct their expenditure on the residential premises.

There is no specific timing provision for lease surrender payments and therefore the general provisions of the IT07 apply to determine when an amount is derived under s [CC 1C](#).

A matching deduction provision is contained in s [DB 20C](#) ([110-670](#)).

Law: IT07 ss [CC 1](#), [CC 1C](#)

Last reviewed on 31 December 2025

Mortgagee in possession must return income as mortgagor's agent [¶5-252]

[¶5-252]

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When a mortgagee exercises its rights to enter into possession of the land or other property that constitutes their security, pending a later sale, the mortgagee is deemed to be the agent of the mortgagor in respect of any income derived by the mortgagee from the security on behalf of the mortgagor. As the mortgagor's agent, the mortgagee must make a return of the income derived from the property and pay any tax owing.

Law: IT07 s [HD 10](#)

Last reviewed on 31 December 2025

Income derived under a covenant of repair [¶5-260]

[¶5-260]

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An amount derived by a lessor of land under a covenant of repair under a lease agreement is income of the lessor. The income is derived in the income year of receipt.

Spreading of income

The lessor may elect to allocate the income derived under a covenant of repair between the income year of receipt and any one or more of the following 4 income years. Any part of the receipt that is not allocated in the election is allocated to the fourth income year following the income year of receipt.

To spread the income, the lessor must give notice of this to the Commissioner. The notice must specify how the income has been allocated. Further, the notice must be made within the time required to file a tax return for the income year to which the income is allocated, or within a longer time if the Commissioner agrees. An election to spread the income cannot be revoked.

Lessor ceases to own the land

A special timing rule applies if:

- # the lessor has made an election to spread income derived under a covenant of repair to more than one income year, and
- # the lessor ceases to own the land to which the income relates before the end of the third tax year following the tax year in which the income was received.

In this case, if a part of the income has not been allocated, then that part is allocated to the income year in which ownership of the land ceases.

If the lessor ceases to own part of the land to which the income relates, the timing adjustment applies only to the income that relates to the part of the land that is no longer owned. The balance of the income derived is spread in accordance with the election.

Law: IT07 ss [CC 2](#), [EI 5](#), [EI 6](#)

Last reviewed on 31 December 2025

Income from financial arrangements [¶5-263]

[¶5-263]

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A person who is a party to a financial arrangement and who is treated as deriving income under the financial arrangements rules must include the amount derived as income. Briefly, income from all transactions defined as financial arrangements is treated on an accrual basis under subpart [EW](#). Under s [EW 2\(1\)](#), the timing and quantifying of income and expenditure under a financial arrangement is determined in accordance with the financial arrangements rules, ie those rules take precedence over any other provision. Generally, the financial arrangements rules aim to bring the taxation of income from debt instruments into line with recognised financial accounting principles. This results in a closer matching of revenue received and costs incurred by the person ([¶6-010](#)).

Law: IT07 ss [CC 3\(1\)](#), [EW 2\(1\)](#)

Last reviewed on 31 December 2025

Interest income and income from money lent [¶5-268]

[¶5-268]

[Click to open document in a browser](#)

All interest derived by a person is income. The financial arrangements rules may require income for tax purposes to be recognised on a yield to maturity basis. When this is not required (because the person is classified as a cash basis person under those rules), interest income is included in income as and when received. When the interest is payable on securities acquired during the income year, an apportionment may be made for the interest accrued up to the date of transfer but not paid between the transferor and the transferee.

Broadly, for a person's income, "interest" means a payment made to the person for money lent to any person. It does not matter that the payment is periodical. Further, how the payment is described or computed is not relevant to the question of whether a payment is "interest". Specifically excluded from the definition of "interest" for a person's income are a redemption payment and a repayment of money lent (ie principal). Although the definition excludes a redemption payment from the concept of interest, any such payment is still income ([¶5-282](#)). Since the definition covers all returns to the lender, with the exception of loan capital repayments, not only interest as such but also any premium is income derived by the lender ([¶5-272](#)).

For interest to be included in income, the return to the lender must be for money lent. This means that the definition of interest does not cover items that are incurred for any professional services performed in arranging or managing the loan transaction (ie legal fees, procuration fees, management fees or brokerage). The definition of "money lent" includes not only the usual borrowing transactions, such as the advancing or depositing of money and the giving of credit, but also in a case when money goes from a person to another person in consideration for that person's promise to pay the lender a greater amount. A transaction where the promise to pay is made by a person other than the person receiving the amount is caught within the definition of "money lent" if the person making the promise and the person in receipt of the amount are associated.

Example:

A pays B \$80 and receives a promise from C (B's husband) to pay \$100 in 3 months' time. The money lent to B is \$80.

Money goes from a person to another person when it is paid, distributed, or credited to, or dealt with in the other person's interest or behalf. The loan transaction is not confined, in other words, to the situation in which the loan funds are paid to the borrower. Also see [¶5-167](#), which discusses [QB 22/01](#), "Can a payment that compensates for the time value of money be taxable income if it is outside the statutory definition of 'interest'?", which clarifies the Commissioner's view on the High Court case of *C of IR v Buis*, as it relates to the interaction between the specific provision taxing interest and the provision taxing income under ordinary concepts.

Law: IT07 ss [CC 4](#), [YA 1](#) ("interest", "money lent")

Last reviewed on 31 December 2025

Interest income — bonus balloting shares and bank prizes [15-272]

[15-272]

[Click to open document in a browser](#)

Under the definition, most forms of interest are income unless specifically exempted. Interest received from a bank, finance company, building society, solicitors' mortgage company or a company on a debenture note, for example, is included in assessable income. The Commissioner also assesses a sum received upon early repayment of a mortgage on the footing that it is a lump sum in lieu of future interest. Also treated as interest is the value of any ballot prize arising from building society bonus balloting shares. Should the prize winner take the prize in the form of a mortgage loan, the cash equivalent is taken as the amount to be included in the recipient's income. If the prize is taken as cash, the income is allocated to the day on which the prize-winning bonus ballot is held. If the prize is taken as an advance, the income is allocated to the day on which the advance is made. If the advance is made in a series of advances, the income is allocated to the first day on which an advance is made.

Where a building society holds a competition for depositors that is not related to bonus balloting shares within s [CC 6](#), prizes received in relation to that competition are exempt from tax.

Interest income does not include the prize won by the holder of a bank (or similar) account. The prize relates to the competition and not the money lent. The right to participate in the competition, however, may be of some value and IR might seek to assess the value of that right.

Law: IT07 ss [CC 4](#), [CC 6](#)

Last reviewed on 31 December 2025

Debenture interest income [15-274]

[15-274]

[Click to open document in a browser](#)

Income from a debenture is taxed according to the type of debenture held. Interest payable under a debenture is treated as a dividend if it relates to profit-related (floating rate) debentures. Otherwise, an amount derived from a debenture is taxed in the hands of the recipient as interest under s [CC 4](#).

Law: IT07 ss [CC 4](#), [FA 2](#)

Last reviewed on 31 December 2025

Income — annuities [¶5-275]

[¶5-275]

[Click to open document in a browser](#)

Payments of an annuity are income of the recipient. An annuity generally is regarded as an annual payment made for a limited period or for the life of the grantee. It is difficult to distinguish between annuities in the nature of income and instalments of capital. However, as a general proposition, annual payments made in liquidation of a principal sum do not constitute an annuity, while annual payments are regarded as an annuity when there is no fixed sum or debt to be liquidated.

Example:

A taxpayer paid 6 annual premiums in return for an annuity based on those premiums paid plus interest. It was held that the premiums were not an annuity but were a repayment of what had been paid out. See *Perrin v Dickson* (1929) 14 TC 608.

Example:

Fixed cash payments made in consideration for the transfer of certain assets have been held to be income in the hands of the recipients. See *IR Commrs v Church Commrs for England* [1976] 2 All ER 1037.

An annuity that provides for the repayment of the purchase price (less any annuity already paid) is treated as a non-taxable capital receipt to the extent that it is a return of purchase money. In relation to an annuity certain, the Commissioner treats as taxable that portion that represents interest. An annuity certain is one that provides for a fixed number of payments irrespective of the death of the annuitant and the principal sum is always identified.

Law: IT07 s [CC 5](#)

Last reviewed on 31 December 2025

Income — benefit from money advanced in lieu of interest [15-279]

[15-279]

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The value of any benefit from money advanced will be income if all of the following criteria are satisfied:

- # a lender provides money to a borrower for use in a business that the borrower carries on in New Zealand, and
- # the borrower provides a tangible or intangible benefit to the lender that:
 - # is not interest, and
 - # may or may not be relief from an obligation, and
 - # may or may not be convertible into money, and
 - # the borrowing is a commercial transaction under which the borrower would have been liable to pay interest at the current commercial rate if the borrower had not provided the benefit.

Whether interest would have been payable is to be determined having regard to the nature and term of the loan. Examples of the types of benefit that may be income include the discharge, forgiveness or satisfaction of any obligation, liability or debt.

The amount of income assessable to the lender is the interest that the borrower would have been liable to pay if the money had been lent to the borrower at the current commercial rate of interest, reduced by any interest actually paid. What the rate of interest would be is determined with regard to the nature and term of the loan.

Example:

An interest-free loan made to a retirement village by a resident in return for reductions in tenancy charges would be subject to tax. The value assessable to the resident is a sum equal to the amount of interest receivable had that money been lent to the borrower at commercial rates of interest.

Law: IT07 s [CC 7](#)

Last reviewed on 31 December 2025

Use of money interest is income [¶5-281]

[¶5-281]

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Use of money interest (UOMI) payable by the Commissioner to a person for overpaid tax is income of the person.

Section [EF 4\(1\)](#) provides that UOMI payable by the Commissioner is allocated to the income year in which the Commissioner pays the interest.

Under s [CC 8\(3\)](#), UOMI is disregarded for the purposes of the financial arrangements rules.

Law: IT07 ss [CC 8](#), [DB 3B](#), [EF 4](#), [EF 5](#)

Last reviewed on 31 December 2025

Taxation of commercial bills [¶5-282]

[¶5-282]

[Click to open document in a browser](#)

A commercial bill is a financial arrangement. Therefore, a person who is a party to it will be subject to tax on it in accordance with the financial arrangements rules ([¶16-010](#)).

Briefly, a “commercial bill” includes:

- # a document creating or securing a legal or equitable security over goods (as defined in s [16](#) of the Personal Property Securities Act 1999) for the payment of money owing or to become owing
- # a bill of exchange (as defined in s [3](#) of the Bills of Exchange Act 1908)
- # a promissory note (as defined in s [84](#) of the Bills of Exchange Act), but not a banknote
- # a treasury bill
- # a document or agreement having substantially the same purpose or effect as an item referred to above, and
- # a share or interest in an item referred to above.

A commercial bill does not include a debenture or bond for the payment of a security issued by a body corporate. Also excluded is a security (whether legal or equitable) over an estate or interest in land.

Non-resident holders

A non-resident holder of a commercial bill derives income from the redemption or disposal of the bill when the non-resident must account for income and expenditure *other than* under the financial arrangements rules or the old financial arrangements rules (s [CC 8B](#)).

Law: IT07 ss [CC 8B](#), [YA 1](#) (“commercial bill”)

Last reviewed on 31 December 2025

Income — royalties [¶5-283]

[¶5-283]

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Any payment of a royalty is income of the recipient. The term is broadly defined in s [CC 9](#) of the IT07. It includes not only what are normally regarded as royalty payments but also payments for the supply of knowhow. Considerations such as whether the payment is periodical and how the payment is described and computed do not have a bearing on the character of the payment. So long as the payment is for any of the property or rights described in s [CC 9\(2\)](#), the payment constitutes a royalty to be included in the recipient's income. However, a distinction may be made between a payment for the right to use the property, or rights so described, and payment for the absolute assignment or sale of such rights. In the latter instance, payment for such rights is generally a capital receipt. See *DB Group Ltd v C of IR*; *DGB Productions Ltd v C of IR* (1996) 17 NZTC 12,446 per Doogue J at 12,450.

A difficult area is the distinction between payments for the supply of knowhow and payments for the supply of services. In the Commissioner's view, knowhow is an asset such as a product that is already in existence or substantially so. The supply of special skill and knowledge, on the other hand, to bring a product into existence may be regarded as representing the supply of services. Another practice followed by the Commissioner is to treat as a royalty the whole of any payment for the supply of knowhow and for services to be provided from time to time to enable the user to enjoy that knowhow. The Commissioner accepts that the services component does not give rise to a royalty when the services are clearly unconnected with the knowhow.

Example:

A New Zealand law firm undertook work for a number of overseas clients. Payment for the work was credited to the firm's New Zealand bank account. The taxpayer claimed an export incentive for "qualifying services" (under the former provision in s [158](#) of the Income Tax Act 1976) on the basis that the payments were received for the supply of "knowhow". The issue that had to be decided was whether the payments made by the overseas clients were for the supply of knowhow or for a service. The court held that technical knowledge and information encompassed the supply of professional legal services. Consequently, because the services were provided by the taxpayer to a non-resident outside New Zealand, the work was performed in New Zealand and payment was in New Zealand currency, the legal services provided by the taxpayer were eligible for the export incentive. See *Ricketts v C of IR* (1988) 10 NZTC 5,001.

Law: IT07 s [CC 9](#)

Last reviewed on 31 December 2025

Other income under subpart CC [¶5-285]

[¶5-285]

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The following amounts are also income from holding property (excluding equity):

- # receipts from the exploitation of a film, or the rights to a film — s [CC 10](#)
- # certain amounts from the disposal of a finance lease asset — ss [CC 11](#), [CC 12](#) and [¶6-700](#)
- # certain amounts paid after a hire purchase agreement ends — s [CC 13](#) and [¶6-740](#)
- # amounts of income for an IFRS lease — s [CC 14](#) and [¶10-675](#).

Last reviewed on 31 December 2025

Income — dividends [¶5-286]

[¶5-286]

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As a general proposition, any dividend is income of the recipient of that dividend (s [CD 1](#)). Sections [CD 3–CD 20](#) set out what distributions will constitute dividends for tax purposes. Sections [CD 22–CD 37](#) set out what is not a dividend. Sections [CD 38–CD 44](#) provide the calculation rules. Section [CD 53](#) deals with the prevention of double taxation. For a discussion of the dividend provisions, including the treatment of inter-corporate dividends, see [¶16-550](#) onwards.

Note that from 1 April 2020, for the 2020–21 and later income years, it has been clarified that a dividend, other than a non-cash dividend, is allocated to the income year in which the person receives the dividend.

Further, see [¶16-582](#) and [IS 24/09](#): “Income tax — Overdrawn shareholder loan account balances”, which considers the common tax implications of an overdrawn shareholder current account for a close company along with practical examples.

Investment society dividends

Dividends paid by certain building societies and credit unions are income (ss [CD 1](#) and [YA 1](#) (“[investment society dividend](#)”)).

Law: IT07 ss [CD 1](#), [YA 1](#) (“[dividend](#)”, “[investment society dividend](#)”)

Last reviewed on 31 December 2025

Income under share-lending arrangements [¶5-288]

[¶5-288]

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Any replacement payments derived under a share-lending arrangement are income under s [CD 54](#). Any share-lending collateral derived under a share-lending arrangement is excluded income under s [CX 54](#).

For share sales under a share-lending arrangement entered into on or after 30 March 2025, s [EA 5](#) allocates income from disposal of an original share under a share-lending arrangement to the following income year if the identical share is acquired during that later income year.

Specific share-lending rules were introduced to allow “qualifying” share-lending transactions to be taxed on the basis of economic substance (a loan) rather than legal form (a sale of shares). Returning share transfers that meet certain criteria (being share-lending arrangements) are taxed as if they were loans and not disposals of shares. Returning share transfers that do not qualify as share-lending arrangements are taxed as disposals of shares. For a discussion of what constitutes a qualifying share-lending transaction and a returning share transfer, see [¶17-116](#). For deductions, see [¶10-660](#).

Although share-lending arrangements are treated as if they were loans for tax purposes, they are excepted financial arrangements ([¶6-065](#)). Share-lending arrangements also fall outside the rules contained in s [GC 1](#) (Sale or other disposition of trading stock for inadequate consideration) and subpart [ED](#) (Valuation of excepted financial arrangements) ([¶33-146](#), [¶9-060](#) and [¶9-065](#)).

When a replacement payment is made under a share-lending arrangement, the share user must provide the share supplier with a replacement payment statement in accordance with s [30B](#) of the Tax Administration Act 1994 (TAA).

An anti-avoidance provision ensures that taxpayers do not attempt to structure transactions that fall outside the returning share transfer definition (s [GB 49](#)).

For further discussion and examples of the operation of the share-lending rules, see [¶185-120](#) at 86.

Law: IT07 ss [CD 54](#), [CX 54](#), [GB 49](#), [YA 1](#) (“share-lending arrangement”); TAA s [30B](#)

Last reviewed on 31 December 2025

Employment income [¶5-290]

[¶5-290]

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Certain amounts derived by a person in connection with the person's employment or service are income of the person. The amounts are:

- # salary or wages or an allowance, bonus, extra pay, or gratuity
- # expenditure on account of an employee that is expenditure on account of the person
- # the value of accommodation referred to in ss [CE 1B](#) to [CE 1E](#) — [¶3-420](#)
- # a benefit received under an employee share scheme — [¶3-470](#)
- # directors' fees
- # compensation for loss of employment or service, and
- # any other benefit in money.

The definition of "salary or wages" is discussed in [¶3-016](#). The definition of "expenditure on account of an employee" is discussed in [¶3-018](#). An "employee" is defined in s [YA 1](#) of the IT07 ([¶3-011](#)). Refer also to the distinction between employees and independent contractors discussed at [¶3-376](#).

Employers have an obligation to deduct PAYE in respect of employment income that is salary or wages or an extra pay ([¶3-012](#)).

With effect from 1 April 2019, an "unrepaid PAYE income overpayment" is included within employment income. To be an unrepaid PAYE income overpayment, the amount must first be a PAYE-related overpayment, meaning it was paid to an employee in error, the employee not being entitled to it, or be an advance payment to which the employee does not subsequently become entitled. The amount must also have originally been paid as salary or wages, an extra pay or a schedular payment (and note that if it is an unrepaid PAYE income overpayment then it will be treated in the same way). A PAYE-related overpayment will not be an employment-related loan for FBT purposes ([¶21-340](#)).

To be an unrepaid PAYE income overpayment, the amount must also not have been repaid to the employer, be repayable under an agreement that has not been breached, or be recoverable under s [248](#) of the Accident Compensation Act 2001. To the extent any of these things have occurred, the amount will not be included in employment income. An amount of exempt income is not included.

Law: IT07 ss [CE 1](#)–[CE 7](#), [RD 8B](#)

Last reviewed on 31 December 2025

Attributed income from personal services [¶5-293]

[¶5-293]

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Specific anti-avoidance rules in ss [GB 27–GB 29](#) aim to prevent higher income earners from diverting personal services income to other associated entities such as companies and trusts.

Under the attribution rules, the amount of income that is derived by the associated entity of a taxpayer who provides personal services is attributed (income) to that taxpayer after the deduction of allowable expenditure. The income is allocated to the income year in which it is attributed.

Following the Supreme Court's decision in *Penny and Hooper v C of IR* ([\(2011\) 25 NZTC ¶20-073](#)) IR issued Revenue Alert RA 11/02, which dealt with the issue of diverting personal services income by structuring revenue earning activities through an associated entity such as a trading trust or company and the circumstances when IR will consider this arrangement is tax avoidance. It replaced Revenue Alerts RA 08/01 issued in March 2008 and RA 10/01 issued in June 2010.

[RA 11/02](#) was itself replaced when it was re-issued as Revenue Alert [RA 21/01](#) on 29 March 2021 ahead of the increase in the top marginal tax rate on 1 April 2021 ([¶33-325](#)).

Law: IT07 ss [CE 8](#), [GB 27–GB 29](#)

Last reviewed on 31 December 2025

Restrictive covenants and exit inducement payments [15-297]

[15-297]

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Restrictive covenants

Note: The [Taxation \(Annual Rates for 2024–25, Emergency Response, and Remedial Measures\) Bill](#) proposes an amendment to ensure that the sale of business exclusion applies when a person sells all their shares in a company carrying on a business despite the other shareholders not selling their shares.

Restrictive covenant payments are income to the recipient.

This rule applies to payments made to employees (including prospective employees), office holders and independent contractors. If the payment is made to another person (ie not the person subject to the restrictive covenant), the payment is still income of the person subject to the restrictive covenant. The provision applies when a person gives an “undertaking” that restricts the person’s ability to perform services. The undertaking need not be legally enforceable for this rule to apply. If the payment is made to an employee, PAYE must be deducted at the rate for extra pays and ACC earner’s levy must also be deducted.

An exception exists for restrictive covenant payments made on the sale of a business or part of a business if it can be operated separately. All of the following criteria must be satisfied for this exception to apply:

- # the amount is derived by person A as a result of the sale of a business by person A or an associated person to person B
- # person A or the associated person and person B agree in writing that the transaction is a sale of a business
- # the amount is consideration for an undertaking by person A not to provide goods or services in competition with the goods or services that person B provides from the business, and
- # person A does not provide services to person B after the sale of the business (except temporary services that are incidental to the sale).

The exception may also apply to the sale of all the shares in a company if the company (or another company that is wholly owned — whether directly or indirectly — by the company) is carrying on a business. In this case, person B in the above criteria means the company that carries on the business ([13-465](#)).

Anti-avoidance

A specific anti-avoidance provision under s [GB 30](#) exists for arrangements that have an effect of avoiding the application of the restrictive covenant rule. In this case, the Commissioner may treat:

- # an amount provided under the arrangement as an amount to which the restrictive covenant rule applies, and
- # a person affected by the arrangement as the person who gave the undertaking.

An example of an arrangement that may be subject to this provision is an arrangement that involves a collateral arrangement to dispose of property.

Exit inducement payments

Exit inducement payments are sometimes paid by a prospective employer to an employee to induce them to leave their existing position and accept a new position. Section [CE 10](#) deems any amount derived by a person for loss of a vocation, position or status, or for leaving a position to be income ([13-460](#)).

Law: IT07 ss [CE 9](#), [CE 10](#), [GB 30](#)

Last reviewed on 31 December 2025

Income protection insurance [¶15-300]

[¶15-300]

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Amounts derived under an income protection insurance policy, where the person's employer was liable to pay or contribute to the policy's premium, will be income to the person.

For deductibility of insurance premiums, see [¶10-540](#).

Law: IT07 s [CE 11](#)

Last reviewed on 31 December 2025

Income — accident compensation payments [¶5-302]

[¶5-302]

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All payments of weekly compensation made by the ACC under the Accident Compensation Act 2001 (ACA) that are not recoverable under s 248 of the ACA are income under s [CF 1\(1\)\(a\)](#) of the IT07. Weekly compensation includes compensation for loss of earnings, or loss of potential earning capacity, and compensation for the spouse or partner, child, or other dependant of a deceased claimant. In addition, payments for attendant care (as defined in [Sch 1 cl 12](#) of the ACA) and a personal service rehabilitation payment under the ACA are also income under s [CF 1\(1\)\(a\)](#).

Compensation payments paid under the ACA that are specifically stated to be exempt from income tax are set out at [¶5-653](#).

Accident compensation payments are included in income in the year in which they are derived. Persons entitled to accident compensation may receive payment outside the income year in which their entitlement arose. The issue then becomes when such payments are derived for income tax purposes. See Case F157 (1984) 6 NZTC 60,350, Case H24 (1986) 8 NZTC 246, Case N9 (1991) 13 NZTC 3,075 and Case S9 (1995) 17 NZTC 7,084. As most employees operate on a cash basis, ACC payments are derived when they are received, and the payments may not be spread over the period between the earlier year of entitlement and the year of payment. This position has been confirmed by TRA Case 2/2021 (2021) 30 NZTC ¶6-001 which held that backdated ACC weekly compensation is taxed on a cash basis (ie in the year of receipt) in accordance with s [BD 3\(2\)](#).

Law: IT07 s [CF 1\(1\)\(a\)](#), [\(2\)](#)

Last reviewed on 31 December 2025

Income — ACC personal service rehabilitation payments [¶15-303]

[¶15-303]

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An ACC personal service rehabilitation payment is a payment made by the ACC to an injured claimant to enable personal care to be provided to the claimant. Those services may be provided by an independent caregiver or under contract to the ACC. These payments fall within the definition of an accident compensation payment and are income of a claimant. The payments are schedular payments, so that ACC withholds 10.5% of the payment made to the claimant.

There is an exemption from income tax if the total of the personal service rehabilitation payments paid to a claimant in the income year (including reimbursement payments of backdated personal service rehabilitation payments) does not exceed the payments the person makes to a provider in that or an earlier income year. In effect, if a claimant applies all their payments from ACC to obtain attendant care, no income tax obligation arises for the claimant.

A provider who receives personal service rehabilitation payments from an ACC claimant will include those payments as income as well as the amount of any tax credit allowed in respect of those payments. The provider is given a tax credit under s [LB 7](#) for the amount of tax deducted by ACC from the payment, provided the payment is not a reimbursement payment. This ensures that the provider's annual gross income figure is accurate for the tax year. If the payment is a reimbursement payment, the recipient ACC claimant will be given the tax credit under s [LB 7](#).

If an ACC claimant is paid a personal service rehabilitation payment by ACC but does not use all that payment to acquire personal care, then that payment is treated as income to the claimant for tax purposes ([¶13-180](#)). A deduction is available for the amount paid to a provider. The claimant can then seek a tax credit for the amount of any tax withheld in respect of the balance of the personal service rehabilitation payment retained by the claimant under s [LB 8](#) ([¶10-112](#)).

Law: IT07 ss [CE 12](#), [CF 1\(1\)\(a\)](#), [\(2\)](#), [CW 35](#), [CZ 36](#), [LB 7](#), [LB 8](#), [YA 1](#) (“[personal service rehabilitation payment](#)”)

Last reviewed on 31 December 2025

Income — education grants [15-305]

[15-305]

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An education grant is income to the recipient. An education grant is a basic grant or an independent circumstances grant under regulations made under s 645 of the Education and Training Act 2020 (before 1 August 2020, s 303 of the Education Act 1989). However, any scholarship or bursary (other than those mentioned above) in respect of the recipient's attendance at an educational institution is exempt income (s [CW 36](#) and [15-633](#)).

Law: IT07 ss [CF 1\(1\)\(b\)](#), [\(2\)](#), [CW 36](#)

Last reviewed on 31 December 2025

Income — New Zealand superannuation and main benefits [15-307]

[15-307]

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All payments of New Zealand superannuation, main benefits, veterans' pensions and weekly compensation under the Veterans' Support Act 2014 are income.

New Zealand superannuation means New Zealand superannuation payable under Pt 1 of the New Zealand Superannuation and Retirement Income Act 2001.

New Zealand superannuation does not include:

- # portable New Zealand superannuation (ie New Zealand superannuation paid or payable overseas under any of s 26(2)(a) or (b) or 31 of the New Zealand Superannuation and Retirement Income Act 2001 or s 380 (orders adopting reciprocity agreements) of the Social Security Act 2018, or
- # certain funeral grants, the accommodation supplement, a special benefit or a disability allowance paid or payable under any of ss 65 (accommodation supplement), 85 (disability allowance), 90 (funeral grants, see *also* regulations made under s 427), and 96 (temporary additional support) of the Social Security Act 2018.

A main benefit is any of the following benefits paid under the Social Security Act 2018:

- # sole parent support
- # emergency benefit
- # youth payment
- # supported living payment
- # jobseeker support, and
- # young parent payment.

A main benefit also includes main benefit equivalent assistance, which is special assistance granted under the COVID-19 New Zealanders Stranded Overseas Support Programme (NZSOS Programme) that corresponds to any of the benefits set out above.

A veteran's pension is a veteran's pension, other than a portable veteran's pension, paid or payable under Pt 6 of the Veterans' Support Act 2014. It also includes veteran's pension equivalent assistance granted under the NZSOS Programme.

Note that a payment of weekly compensation under the Veterans' Support Act 2014 is made under subpart 5 of Pt 4 of that Act.

Law: IT07 ss [CF 1\(1\)\(c\)](#), [\(e\)](#), [\(h\)](#), [YA 1](#) ("[portable New Zealand superannuation](#)", "[portable veteran's pension](#)", "[veteran's pension](#)", "[veteran's pension equivalent assistance](#)")

Last reviewed on 31 December 2025

Income — paid parental leave [¶5-311]

[¶5-311]

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A person's income includes all payments of parental leave made under Pt [7A](#) of the Parental Leave and Employment Protection Act 1987.

Paid parental leave is administered through IR. Form IR880 must be completed by the employee and the income and work details must be confirmed by the employer, the employee's chartered accountant or tax advisor, or a Justice of the Peace, and the form must then be filed with IR before the end of parental leave or before resignation.

Law: IT07 s [CF 1\(1\)\(f\)](#)

Last reviewed on 31 December 2025

Income — earnings compensation [¶5-313]

[¶5-313]

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A person's income includes all payments of earnings compensation under the Compensation for Live Organ Donors Act 2016.

Law: IT07 s [CF 1\(1\)\(fb\)](#)

Last reviewed on 31 December 2025

Income — pensions [¶5-315]

[¶5-315]

[Click to open document in a browser](#)

All pensions are income. Essentially, a pension takes the form of recurring gains and, as such, almost invariably constitutes income liable to tax unless otherwise expressly exempted from income tax. The most common form of pension income is New Zealand superannuation. This is deemed to be a form of salary or wages, enabling the deduction of PAYE tax deductions from payments of it.

The concept of taxable pensions includes certain gratuitous payments. These are payments that the person or the person's parent, child, spouse, civil union or de facto partner (present or former) or dependant receives in consideration of past services to the payer. The gratuitous payment is to be included within the assessable income of the recipient. This treatment does not apply when an employer makes a payment to a person as a result of the death of that person's parent, child, spouse, civil union or de facto partner (present or former) or dependant. To be exempt, payment must be made within 12 months of the date of death.

From 1 April 2014, a cohesive set of rules apply to most interests in, and income from, foreign superannuation schemes (s [CF 3](#) and [¶5-317](#)).

The rules do not apply to periodic pensions or annuities. These continue to be taxed as they were before 1 April 2014 — ie taxed on receipt at the person's marginal tax rate. In addition, s [CD 36B](#) provides that an amount paid by a company that is a foreign superannuation scheme will not be a dividend if it is derived by the person as a pension ([¶16-733](#)).

The rules have also clarified that the definition of a foreign superannuation scheme does not include overseas social security schemes. Such schemes make payments similar to New Zealand Superannuation and it is considered appropriate that they be treated under the normal tax rules that apply to New Zealand pensions, and not under either the FIF rules or the rules in s [CF 3](#).

QWBA, [QB 21/01](#), "Income tax – Monthly retirement payments from the United Nations Joint Staff Pension Fund", concludes that, in general, monthly retirement payments received by retired United Nations (UN) staff members from the United Nations Joint Staff Pension Fund (UNJSPF) will be taxed as pensions. The 2 exceptions to this general rule are:

- # where the retired UN staff member's interest in the UNJSPF is covered by the FIF rules, or
- # the transitional residency rules apply ([¶15-700](#)).

Note that the payments are not exempt under the income tax exemption for diplomatic and consular officers ([¶15-685](#)).

Law: IT07 ss [CF 1\(1\)\(g\)](#), [\(2\)](#), [YA 1](#) ("pension")

Last reviewed on 31 December 2025

Taxation of interests in foreign superannuation schemes

[15-317]

[15-317]

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Before 1 April 2014, the rules for taxing New Zealand residents on their foreign superannuation were complex and difficult to understand. Some superannuation interests were subject to tax on accrual under the FIF rules and others depended on the legal structure of the foreign scheme, eg whether it was a company or trust. With effect from 1 April 2014, a cohesive set of rules applies for interests in, and income from, foreign superannuation schemes.

The rules apply to interests in a foreign superannuation scheme that are not FIF superannuation interests. A FIF superannuation interest is an interest in a foreign superannuation scheme where either the person has applied the FIF rules to the interest in a return filed before 20 May 2013 and continues to apply those rules, or the interest was acquired when the person was resident in New Zealand. FIF superannuation interests remain subject to the FIF rules after 1 April 2014. Interests in foreign superannuation schemes that are not FIF superannuation interests, and are therefore subject to the new rules, are excluded from the FIF rules ([126-125](#)).

Note that the situation when a New Zealand resident person acquires an interest when they are non-resident or treated under a DTA as being resident in another country was clarified by retrospective legislation. The new rules, rather than the FIF rules, apply in that situation. In addition, the assessable period begins when the person first becomes New Zealand resident and is not treated under any DTA as resident in a foreign country. It was also clarified that where a person first acquires an interest in a foreign superannuation scheme while non-resident and continues to contribute to the scheme while New Zealand resident, the person is taxed under the foreign superannuation rules, rather than the FIF rules, in relation to the whole interest (ie there is no need to apportion their interest in the scheme between the 2 sets of rules). These clarifications apply from 1 April 2014, the start date of the new rules.

The amendments also introduced the concept of a “low-value FIF superannuation interest”. Under the FIF rules, a person has no FIF income or loss if the total cost of their interests in FIFs is less than \$50,000. An individual could therefore own a foreign superannuation interest they acquired while they were a New Zealand tax resident and be below the \$50,000 FIF threshold, so that neither the new rules for foreign superannuation interests nor the FIF rules would apply to them. They would therefore potentially be in the same situation that the new rules were enacted to provide for.

The change for “low-value FIF superannuation interests” addresses this concern by ensuring that the schedule method in the foreign superannuation rules applies to lump-sum withdrawals (and transfers to New Zealand or Australian superannuation schemes) made from a foreign superannuation interest that was acquired while a taxpayer was a New Zealand resident, where the taxpayer has less than \$50,000 of FIF interests. The amendments for “low-value FIF superannuation interests” apply from 1 April 2015.

In general, therefore, provided the interest in the foreign superannuation scheme was acquired when the person was non-resident, the interest is subject to the rules from 1 April 2014.

The rules in s [CF 3](#) apply when a New Zealand resident derives a benefit from an interest in a foreign superannuation scheme (defined as a “foreign superannuation withdrawal”), unless that benefit is a pension or annuity. Section [CF 3\(2\)](#) treats that foreign superannuation withdrawal as income of the person if it is in the form of:

- # an amount (ie cash withdrawal or other lump sum) derived as a member or beneficiary of the scheme
- # a withdrawal and reinvestment (ie transfer) of an interest from a foreign superannuation scheme into a New Zealand superannuation scheme, including KiwiSaver
- # a withdrawal and reinvestment (ie transfer) from a foreign superannuation scheme (outside Australia) to an Australian superannuation scheme, or
- # a withdrawal and reinvestment as an interest of another person (ie a disposal or assignment).

Rollover relief is available where a withdrawal and immediate reinvestment occurs as a result of a relationship break-up, or upon the death of the transferor, but only where the transferee is a New Zealand resident and the surviving or former spouse or partner of the transferor.

Note that a consequential amendment was made to the rollover relief provisions to provide that both the transferor and the transferee will need to be New Zealand residents and not treated as resident in a foreign country under any DTAs for roll-over relief to be provided.

Transfers from one foreign scheme to another foreign non-Australian scheme will generally not be taxable.

An exemption also applies for withdrawals in the first 4 years after a person becomes resident under s [CW 28B \(15-648\)](#).

Schedule method

After the 4-year exemption period, a person's tax liability on a withdrawal will generally be calculated using the "schedule method", which provides that a particular fraction (based on how long the person has been a New Zealand resident before making the withdrawal) is applied to the withdrawal to determine the person's taxable income. The applicable fraction is set out in [Sch 33](#). This method approximates the tax that would otherwise have been paid on accrual while the person was resident in New Zealand, in conjunction with an interest charge that recognises the payment of tax has been deferred.

A person's assessable withdrawal amount under the schedule method is calculated using the following formula provided in s [CF 3\(10\)](#):

$$(\text{super withdrawal} \# \text{contributions left}) \times \text{schedule year fraction}$$

where:

super withdrawal is the amount of the foreign superannuation withdrawal (ie the lump sum)
contributions left is a deduction for recognised contributions made for or on behalf of the person while the person is a New Zealand tax resident, provided the contributions satisfy all of the following conditions under s [CF 3\(19\)](#):

- # at the time the contribution is made, the person must be a New Zealand resident and treated as such under all applicable DTAs
- # the contribution is made by the person or the person's employer, or for the benefit of the person
- # the contribution must be required by the rules of the scheme (ie not a voluntary contribution), and
- # employer contributions must be subject to employer superannuation contribution tax or FBT.

In addition, a contribution may only be deducted once under the schedule method and, for a given lump sum, the amount of contributions deducted may not exceed the value of the lump sum in calculating the assessable withdrawal amount. Only recognised contributions made during the assessable period before the distribution time can be deducted.

schedule year fraction is the appropriate fraction given in [Sch 33](#). The fraction to use is identified by calculating the number of income years that begin in the person's assessable period, before the person receives the lump sum. This is the number of income years that begin after the person becomes a New Zealand tax resident and after their 4-year exemption period ends. Where this number is zero, the fraction for year one is used.

The effect of counting a person's years of residence from the end of the exemption period is to treat them as being non-resident during the exemption period. Thus, gains that accrue during those 4 years are not clawed back and are not taxed under the schedule method.

For an example, see *Tax Information Bulletin* [1264-104 Vol 26, No 4](#), May 2014 at 22.

Formula method

An alternative method of calculating actual gains derived while the person is New Zealand resident — the “formula method” — is also available for amounts received from “foreign defined contribution schemes” where certain requirements are met. An interest factor is applied to the value of the gains to compensate for the use-of-money benefit.

To be eligible to use the formula method, the following requirements must be met:

- # the scheme is a foreign defined contribution scheme (a foreign superannuation scheme that operates on the principle of allocating contributions to the scheme on a defined basis to individual members)
- # the person has sufficient information about the value of the scheme and contributions made to apply the formula
- # the person must not have received a withdrawal (other than a pension or annuity) before 1 April 2014
- # the person, or their spouse or partner if the person received the interest from them, must not have used the schedule method for the interest in the scheme, and
- # the person must choose to use the formula method.

Distributed gain

The necessary calculations for the formula method begin with determining the distributed gain under s [CF 3\(12\)](#) as follows:

$$(\text{super withdrawal} \times \text{calculated gains fraction}) \# \text{other gains}$$

where:

super withdrawal is the amount of the foreign superannuation withdrawal

other gains is the total amount of *distributed gain* calculated under this formula for *previous* foreign superannuation withdrawals received in the assessable period before this lump sum distribution (If this is the first lump sum for the person in relation to that foreign superannuation interest, then other gains is equal to zero.)

calculated gains fraction is the greater of zero and the result given by the formula in s [CF 3\(14\)](#) as follows:

$$(\text{predistribution} + \text{withdrawals} \# \text{value} \# \text{contributions}) \div \text{predistribution}$$

where:

predistribution is the value of the person's interest in the scheme immediately before they made their foreign superannuation withdrawal

withdrawals is the total amount of previous foreign superannuation withdrawals the person has received from their foreign superannuation scheme made during their assessable period before this current distribution

value is the value of the person's interest in the scheme at the beginning of their assessable period (thus, after any exemption period)

contributions is the amount of recognised contributions under s [CF 3\(19\)](#) made to the scheme during the person's assessable period before the distribution time. To be a recognised contribution the contribution must satisfy the requirements of s [CF 3\(19\)](#), discussed above under the schedule method.

If the formula for the calculated gains fraction provides a negative result, the person must enter zero for the *calculated gains fraction* term in the formula for the *distributed gain* in s [CF 3\(12\)](#). The result is that losses cannot be offset against other income in the person's income tax return.

Once a person has calculated their *calculated gains fraction* and their *distributed gain* in relation to their lump sum, they are then required to calculate their assessable withdrawal amount. This calculates the appropriate amount of interest to be charged on the amount of taxable New Zealand gains to account for the deferral benefit that the person obtains by not paying tax on accrual. This interest is calculated at the same rate as

the average growth of the person's superannuation interest over the number of years of New Zealand tax residence.

Assessable withdrawal amount

The assessable withdrawal amount is calculated as follows:

$$\text{gain} \times (\text{grow rate} \# 1) \times \text{tax rate} \times (\text{assessable years} \# 1) + \text{gain}$$

where:

gain is the amount of the *distributed gain* calculated under the formula in s [CF 3\(12\)](#) above

tax rate is the tax rate referred to in row 1 of table 1 of [Sch 6](#), being the top prescribed investor rate for taxing investments in multi-rate portfolio investment entities

assessable years is the greater of 1 and the number of tax years beginning in the assessable period and before the distribution time

grow rate is determined under the formula in s [CF 3\(17\)](#), as follows:

$$(\text{accrued total} \div \text{value})^{(1 \div \text{assessable years})}$$

where:

accrued total is:

— the sum of:

the value of the interest in the scheme immediately before the distribution time, and

the total amount of previous foreign superannuation withdrawals made during the assessable period before the distribution time,

— reduced by the value of recognised contributions under s [CF 3\(19\)](#) made to the scheme before the distribution time

value is the value of the person's interest in the scheme at the beginning of the assessable period

assessable years is as above.

The final result is the person's assessable withdrawal amount, which is to be included as income in the person's income tax return.

Example:

Graham migrates to New Zealand with an interest in a foreign superannuation scheme and becomes a New Zealand tax resident on 17 April 2011. His exemption period is 17 April 2011 to 30 April 2015. During Graham's exemption period, he withdraws a lump sum amount of NZ\$50,000 from his scheme on 20 November 2014.

Graham's interest in his foreign superannuation scheme is worth NZ\$100,000 when his assessable period begins on 1 May 2015. Graham withdraws a lump sum amount of NZ\$60,000 from his scheme on 23 June 2025. His scheme is worth NZ\$180,000 immediately before the lump sum withdrawal.

On 9 November 2030, Graham's foreign superannuation interest is worth NZ\$150,000 and he transfers the full amount into a New Zealand superannuation scheme. Graham has made no contributions to the scheme while he has been New Zealand-resident.

The withdrawal on 23 June 2025 and transfer on 9 November 2030 fall within the definition of "foreign superannuation withdrawal" and are received during Graham's assessable period, so Graham must calculate his tax liability under s [CF 3](#). However, the withdrawal on 20 November 2014 is exempt income as it is received during his exemption period.

23 June 2025 withdrawal

To calculate his *assessable withdrawal amount* in relation to his withdrawal made on 23 June 2025, Graham must first calculate his *distributed gain* and *calculated gains fraction*. For the *calculated gains fraction*, Graham uses \$180,000 for the *predistribution* term as this is what his interest in his foreign superannuation scheme was worth immediately before he made the withdrawal. For the *value* term, he uses \$100,000 as this was the value of Graham's interest in the scheme at the beginning of his assessable period. Graham has made no contributions and has not yet received any other foreign superannuation withdrawals during his assessable

period, so both *contributions* and *withdrawals* are zero. Graham does not include the withdrawal he received during his exemption period on 20 November 2014 in *withdrawals*, because it was not received during his assessable period.

His *calculated gains fraction* under s [CF 3\(14\)](#) is therefore:

$$\frac{\$180,000 + \$100,000 \# \$0}{\$180,000} = \frac{4}{9}$$

Graham then uses this to calculate his *distributed gain* under s [CF 3\(12\)](#) in relation to the \$60,000 lump sum:

$$(\$60,000 \times 4/9) \# 0 = \$26,666.67$$

The *other gains* term is zero because Graham has not received any other lump sums that were taxed under the formula method.

Now that Graham has his *distributed gain*, he uses this to calculate his assessable *withdrawal amount*.

First, Graham calculates his *grow rate* under s [CF 3\(17\)](#).

To do this he must first identify his *accrued total*. His *accrued total* is \$180,000 because his scheme was worth \$180,000 immediately before the lump sum was withdrawn. He has not received any other foreign superannuation withdrawals during his assessable period, nor has he made any contributions to the scheme. Graham uses \$100,000 for the *value* term (the value of his interest at the beginning of his assessable period). Ten tax years have begun in his assessable period so far, so the number of *assessable years* is ten.

Graham's *grow rate* is:

$$\frac{(\$180,000)^{1/10}}{\$100,000} = 1.060540482$$

In calculating his assessable *withdrawal amount*, Graham is required to use the top prescribed investor rate and makes use of the *distributed gain* amount he calculated earlier. As above, his number of *assessable years* is ten.

Graham's assessable *withdrawal amount* is:

$$(\$26,666.67 \times 0.060540482 \times 0.28 \times 9) + \$26,666.67 = \$30,734.99$$

Graham includes \$30,734.99 as assessable income in his IR 3 return for the 2025–26 tax year (the year in which he received the lump sum). The remaining \$29,265.01 of the \$60,000 withdrawal is exempt income.

Graham pays tax based on \$30,734.99 of included income, rather than on the full amount of his foreign superannuation withdrawal of \$60,000.

9 November 2030 transfer

Graham's transfer of the remainder of his interest in his foreign superannuation scheme into a New Zealand scheme is a taxable event. Graham continues to use the formula method for this second foreign superannuation withdrawal.

As before, the *value* term is still \$100,000 but *predistribution* is now \$150,000. Graham has still not made any contributions to his foreign superannuation scheme, so *contributions* is still zero. Graham includes \$60,000 in the *withdrawals* term to account for his lump sum withdrawal made on 23 June 2025.

Graham's *calculated gains fraction* under s [CF 3\(14\)](#) is therefore:

$$\frac{\$150,000 + \$60,000 \# \$100,000 \# \$0}{\$150,000} = \frac{11}{15}$$

Graham uses this to calculate his *distributed gain* under s [CF 3\(12\)](#) as follows:

$$(\$150,000 \times 11/15) \# 26,666.67 = \$83,333.33$$

Graham then calculates his assessable *withdrawal amount* using the formulas in s [CF 3\(16\)](#) and [\(17\)](#). Graham's *accrued total* is the value of his fund immediately before the transfer plus the value of his first withdrawal (\$150,000 + \$60,000). Graham uses \$100,000 for the term *value*. At the time of the transfer on 9 November 2030, 15 tax years have begun during Graham's assessable period, so Graham uses 15 for the term *assessable years*.

Graham's *grow rate* is:

$$\frac{(\$150,000 + 60,000)^{1/15}}{\$100,000} = 1.05070618$$

Using the results for the *grow rate* and *distributed gain*, and assuming that the top prescribed investor rate is 28%, Graham's assessable *withdrawal amount* is:

$$(\$83,333.33 \times 0.05070618 \times 0.28 \times 14) + \$83,333.33 = \$99,897.35$$

Graham therefore includes \$99,897.35 as assessable income in his IR 3 return for the 2030–31 tax year. Graham pays tax on that amount, rather than on the full value of the transfer of \$150,000.

Example from *Tax Information Bulletin* [¶264-104 Vol 26, No 4](#), May 2014 at 26.

To the extent that the foreign superannuation withdrawal is not taxable under the relevant method in s [CF 3](#), it will be exempt income under s [CW 28C](#) ([¶15-648](#)).

Note also that if a person derives an amount as a foreign superannuation withdrawal from a company that is a foreign superannuation scheme, the amount is not a dividend ([¶16-733](#)).

Historic non-compliance with FIF rules

When the FIF rules ceased to apply from 1 April 2014, any historic non-compliance under the FIF rules was overridden if the person used the formula or schedule method for lump-sum withdrawals and transfers made on or after 1 April 2014, if the person's assessable period began before 1 April 2014. This is provided for in s [CF 3\(22\)](#) to ensure that the person was not double taxed.

Note, however, s [CF 3\(22\)](#) only applies when a person receives foreign superannuation withdrawals. If there was historic FIF non-compliance, but the person did not receive any foreign superannuation withdrawals and only received a pension, there was no corresponding provision to override the FIF non-compliance. This problem applied to people who mistakenly included their pension income in their tax return before 1 April 2014 when they should have complied with the FIF rules, as well as those who started to receive a pension after 1 April 2014.

To resolve this problem, s [EZ 32G](#) was introduced to override non-compliance under the FIF rules in 2 situations. The first is where the person derived no payments from their foreign superannuation interest before 1 April 2014 and receives only pension payments from 1 April 2014. The second situation is when the person received only pension payments from the foreign superannuation scheme before 1 April 2014 and included all of these pension payments in their income tax returns for the appropriate income years by the due date for each of those returns.

Law: IT07 ss [CF 3](#), [CW 28B](#), [CW 28C](#), [CZ 21B](#), [EZ 32G](#), [YA 1](#) ("FIF superannuation interest", "foreign superannuation scheme", "foreign superannuation withdrawal", "superannuation scheme"), [Sch 33](#)

Last reviewed on 31 December 2025

Income from remission of a specified suspensory loan [15-320]

[15-320]

[Click to open document in a browser](#)

An amount remitted to a person on a specified suspensory loan is income. Briefly, a specified suspensory loan is a loan granted by a public authority that is:

- # granted to a person for a business carried on by that person, and
- # designated by the public authority as a specified suspensory loan.

A public authority means every department or instrument of the Executive Government of New Zealand and includes:

- # the Public Trust
- # the Māori Trustee
- # the New Zealand Lottery Grants Board, the Office of the Clerk of the House of Representatives, the Ombudsman, the Parliamentary Commissioner for the Environment, and the Parliamentary Service
- # the Official Assignee, other than in their capacity as a trustee, and
- # the Christmas Island Phosphate Commission,

but does not include a mixed-ownership enterprise.

The income derived is allocated equally over 3 income years: the income year of remission and the following 2 income years. Alternatively, the person may choose to allocate some or all of the amount remitted to one of the income years that is within the 3-year spreading period. If the person ceases to carry on the business for which the specified suspensory loan was granted, the income that is allocated to a later income year must be returned in the year that business ceased.

Law: IT07 ss [CF 2](#), [YA 1](#) (“[public authority](#)”)

Last reviewed on 31 December 2025

Depreciation recovery income [¶5-330]

[¶5-330]

[Click to open document in a browser](#)

An amount of depreciation recovery income is income under s [CG 1](#) ([¶13-300](#)).

Law: IT07 s [CG 1](#)

Last reviewed on 31 December 2025

Income — remission of expenditure or debt [¶5-340]

[¶5-340]

[Click to open document in a browser](#)

Remitted amounts

A remission or cancellation of a person's liability (in whole or in part) is income if:

- # the person is allowed a deduction for a liability in an income year that is later remitted or cancelled
- # the remission or cancellation is not a dividend, and
- # the person is not required to calculate a base price adjustment.

The income is allocated to the income year in which the remission or cancellation occurs.

Briefly, for the purposes of the income provision, a liability is remitted or cancelled if:

- # the person is discharged from a liability without fully adequate consideration
- # the person is released from a liability under the Insolvency Act 2006, except by being discharged from bankruptcy or fully released from provable debts under [Pt 5](#), other than subpart 1, of the Insolvency Act
- # the person is released from a liability under the Companies Act 1993 or the laws of a foreign country
- # the person is released from a liability by a deed or agreement of composition with the person's creditors, or
- # a liability is irrecoverable or unenforceable through lapse of time.

Group loss companies

Section [CG 2](#) does not apply to a group loss company if:

- # the group loss company has previously made a tax loss available to another company in the same group of companies under the loss grouping rules, and
- # the group loss company in the same group of companies as the group profit company has unsatisfied liabilities for deductible expenditure included in those past tax losses made available under the loss grouping rules, and
- # the group loss company in the same group of companies is liquidated, or
- # either the group profit company or the group loss company has left the group and for both cases, the group loss company is insolvent, in receivership or in liquidation at that time.

Instead, ss [CG 2C](#), [CG 2D](#) and [CG 2E](#) apply in those circumstances. These provisions confirm the long-standing policy that the grouping of tax under the loss grouping rules is contingent on the group loss company fully satisfying its liabilities relating to past deductible expenditure included in the group loss company's tax losses. If the sections apply, the group profit company derives income equal to the amount of certain unsatisfied liabilities of the group loss company.

Section [CG 2C](#) applies if the group loss company has been struck off the register of companies. Section [CG 2D](#) applies if the profit company and the group loss company are no longer part of the same group of companies and:

- # the group profit company has received the benefit of group tax losses from the group loss company, and
- # at the time either company leaves the group, the group loss company is insolvent, in receivership or has been placed in liquidation (but not yet struck off the register of companies).

Section [CG 2E](#) provides for the application of ss [CG 2C](#) and [CG 2D](#) in situations when loss companies have losses representing a combination of paid and unpaid expenditure and when they have apportioned losses to more than one group company.

Bad debts recovered

If a person receives an amount for a bad debt for which the person has been allowed a deduction, the amount received is income.

Law: IT07 ss [CG 2](#), [CG 2C](#), [CG 2D](#), [CG 2E](#), [CG 3](#)

Last reviewed on 31 December 2025

Income — recovered expenditure or loss [15-342]

[15-342]

[Click to open document in a browser](#)

If a person is allowed a deduction for expenditure or loss and some or all of that expenditure or loss has been recovered, the amount recovered is income of the person to the extent of the deduction. This rule applies if the amount recovered is not income under any other provision of the IT07. Further, this rule applies whether the recovery is obtained through insurance, indemnity or otherwise.

The income is allocated to the later of:

- # the income year in which expenditure or loss is incurred, or
- # the income year in which the amount is recovered.

Hole in the profits compensation

The hole in the profits principle requires that compensation received for the loss of income be regarded as income. This taxation of compensation money has been supported on the ground that it takes its character from the income it replaces.

Example:

Land purchased by a taxpayer for subdivision was compulsorily acquired. The compensation paid to the taxpayer was assessed to tax because the profits of the subdivision would have been taxed. The one replaced the other. See *Duff v C of IR* (1982) 5 NZTC 61,131 (CA). (A disposal for the purposes of the taxation of land transactions under subpart CB specifically includes compulsory acquisition (17-025).)

See also *IR Commrs v Newcastle Breweries Ltd* (1926) 12 TC 927, *KR Greenslade Ltd v C of IR* (1986) 8 NZTC 5,197, *FC of T v GKN Kwikform Services Pty Ltd* 91 ATC 4336, Case S104 (1996) 17 NZTC 7,662 and Case T47 (1998) 18 NZTC 8,319.

Law: IT07 s [CG 4](#)

Last reviewed on 31 December 2025

Income — recovered employer superannuation contributions [15-343]

[15-343]

[Click to open document in a browser](#)

If an employer is allowed a deduction for an employer's superannuation contribution to a superannuation scheme for their employee's benefit and the contribution is recovered or the employer receives a benefit from the superannuation scheme, the amount recovered or received is income of the employer to the extent of the deduction. The income is allocated to the income year in which the amount is recovered or received.

Law: IT07 s [CG 5](#)

Last reviewed on 31 December 2025

Income — refund of expenditure [¶5-344]

[¶5-344]

[Click to open document in a browser](#)

A refund of expenditure previously allowed as a deduction from income may constitute income in the hands of the recipient.

Example:

A racing club received a refund of totalisator duty previously allowed as a deduction. The refund was of an income nature; it was intended to assist and supplement the club in conducting its racing activities. See *Cromwell Jockey Club v C of IR* (1954) 6 AITR 188.

Example:

The assessment of amounts received by way of a refund does not apply when the payment received does not replace an earlier revenue outgoing. See *John Anderson Ltd v C of IR* [\(1985\) 7 NZTC 5,029](#).

Last reviewed on 31 December 2025

Income — insurance, indemnity or compensation for interruption or impairment of business activities [¶5-345]

[¶5-345]

[Click to open document in a browser](#)

Section [CG 5B](#) was introduced to amend the timing of income from the proceeds of business interruption insurance in the wake of the Canterbury earthquakes, effective 4 September 2010.

The section applies when a person receives an amount of insurance, indemnity or compensation for an interruption or impairment of business activities resulting from an event.

The part of the insurance, indemnity or compensation attributable to income (the replaced income) that the person would have derived if not for the event is income of the person. Under s [CG 5B\(3\)](#), that income is allocated to the later of:

- # the income year to which the replaced income relates
- # the earlier of the income year in which the amount is received and the income year in which the amount is reasonably able to be estimated.

Note that even before the legislation, New Zealand case law supported the view that a loss of profits insurance recovery should be attributed to the income year to which the recovered amount relates, rather than the year of receipt. See, for example, the Court of Appeal decision in *Egmont Co-operative Dairies Ltd (in liq) v C of IR* [\(1996\) 17 NZTC 12,536](#).

An amendment made in 2019 has clarified that a person who has been assigned the right to receive compensation proceeds from an interruption or impairment of business activities is taxed in the same way that the assignor would have been taxed. This ensures loss of earnings insurance proceeds are taxable in all circumstances, including when the rights to receive these proceeds are assigned to another company. The amendment applies retrospectively from the beginning of the 2011–12 income year, subject to a savings provision to protect taxpayers who had taken a tax position on the basis of the former wording in the period ending on 26 June 2019.

Law: IT07 s [CG 5B](#)

Last reviewed on 31 December 2025

Income — insurance, indemnity or compensation for trading stock [¶5-346]

[¶5-346]

[Click to open document in a browser](#)

Part of an amount of insurance, indemnity or compensation received for the loss or destruction of, or damage to:

- # trading stock, or
- # anything acquired, manufactured or produced for a purpose that is ancillary to a business of manufacturing or producing goods for sale or exchange

is income if the person is allowed a deduction (not being a deduction for depreciation loss) in an income year for the cost of the asset. The income amount is the part of the receipt that is attributable to the asset, and it is allocated to the income year in which it is received.

Law: IT07 s [CG 6](#)

Last reviewed on 31 December 2025

Income — purchase and subsequent disposal of leased asset [¶5-348]

[¶5-348]

[Click to open document in a browser](#)

The lessee of plant who later acquires the plant and resells it at a profit, or an associated person of the lessee who acquires the asset and disposes of it for a consideration exceeding that for which that person acquired it, may be taxed on the transaction. The amount to be included within the lessee's income is the lesser of the profit made and the aggregate of the rent paid for the plant. Effectively, the deductions previously allowed are cancelled out. The leased asset may be any plant, machinery, motor vehicle, equipment or temporary building. The person must, of course, have been allowed a deduction for any rent paid in respect of the asset.

If the leased asset has been acquired or sold or otherwise disposed of by the lessee or associated person together with other assets, the total consideration must be apportioned between the leased asset and the other assets in accordance with their market values. If the leased asset has been disposed of for a consideration that is less than its market value, the asset is deemed to have realised its market value.

These principles apply irrespective of whether the lessee was required under the lease agreement to acquire the leased asset.

Example:

TP Ltd leased a truck for 4 years at an annual rental of \$5,000. The company then acquired the truck for \$15,000 and sold it for \$25,000. The company's income is the lesser of:

	\$
profit on the trade-in (\$25,000 # \$15,000), or	10,000
lease deductions (\$5,000 × 4)	20,000
Gross income	10,000

These provisions are designed to negate the benefit of the deductibility of lease payments when those payments are subsequently recouped by acquisition and resale of the asset at a profit. Different rules apply when the lease is one designated as a finance lease ([¶6-700](#)).

Transfer of leased asset under relationship agreement

The recharacterisation provisions do not apply when the leased asset is transferred under a relationship agreement. This means that no tax liability is created for the transferor. A tax liability does, however, arise in the hands of the transferee when they subsequently dispose of the asset. The amount included in the transferee's income is the amount by which the proceeds of sale exceeds the transfer value. For that purpose, the transfer value is the book value of the asset at the beginning of the tax year in which the asset is transferred or the cost price of the asset if the transferor acquired the asset in the same year it is transferred under the relationship agreement.

If the transferee disposes of the leased asset without consideration or for less than its market value, the sale price is deemed to be the asset's market price. There is a limit on the amount included in the transferee's income. The amount included in income is the smaller of the excess calculated in the above manner and the total amount of the deductions allowed to the transferor in calculating their income.

Profit made by lessor and passed back to lessee

Some lease agreements provide that, upon termination of the lease, the leased asset will be sold by the lessor and the lessee will receive any ensuing profit or be responsible for the loss, as appropriate. As the lessee does not acquire title to the asset, the clawback rule in s [FA 5](#) does not apply. In this situation, the profit is income of the lessee. See *John Anderson Ltd v C of IR* ([1985](#)) [7 NZTC 5,029](#).

Law: IT07 ss [CG 7](#), [FA 5](#), [FB 19](#)

Last reviewed on 31 December 2025

Clawback of deductions for aborted or failed applications for patents, resource consents or plant variety rights [¶5-352]

[¶5-352]

[Click to open document in a browser](#)

With effect from the 2014–15 income year, where a deduction has been allowed under any of s [DB 19](#), [DB 37](#) or [DB 40BA](#) for an aborted or failed application for a patent or grant of a resource consent or plant variety rights, those deductions are clawed back as income if the taxpayer subsequently disposes of the abandoned application property or uses it in another application ([¶10-750](#), [¶10-760](#) and [¶10-860](#)).

With effect from 1 April 2015 for the 2015–16 and later income years, s [DB 37](#) has been extended to allow deductions for aborted or failed applications for design registration. As a consequence, s [CG 7B](#) has also been extended to claw back such deductions as income if the property is disposed of or used in another application ([¶10-750](#)).

Law: IT07 s [CG 7B](#)

Last reviewed on 31 December 2025

Clawback of deductions for capitalised development expenditure [¶5-354]

[¶5-354]

[Click to open document in a browser](#)

With effect from 1 April 2015 for the 2015–16 and later income years, provisions allow a deduction for capitalised development expenditure on derecognised non-depreciable intangible assets. As part of these provisions, s [CG 7C](#) claws back as income such deductions where the intangible asset is disposed of or is rerecognised for financial reporting purposes ([¶10-850](#)).

Law: IT07 s [CG 7C](#)

Last reviewed on 31 December 2025

Capital contributions treated as income [¶5-356]

[¶5-356]

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A capital contribution, for the purposes of s [CG 8](#), means an amount that:

- # is paid by a person (the payer) to the recipient under an agreement between them
- # is paid by the payer other than in their capacity of settlor, partner or shareholder of the recipient
- # is not income of the recipient, ignoring ss [CC 1B](#) and [CG 8](#)
- # is expressly paid under the agreement as a contribution for capital contribution property, and
- # if the agreement is a contract of insurance, indemnity or compensation, is paid in relation to an interruption or impairment of business activities.

Effectively a capital contribution is similar in nature to a subsidy for capital expenditure.

Capital contribution property means:

- # depreciable property owned or to be acquired
- # a farming, horticultural, aquacultural or forestry improvement for which expenditure is or would be deductible under s [DO 4](#), [DO 11](#), [DO 12](#) or [DO 13](#)
- # a listed horticultural plant or land for which expenditure is or would be deductible under s [DO 5](#) or [DO 6](#)
- # a listed horticultural plant or land to the extent to which some but not all expenditure for replacement plants is deductible under s [DO 6](#).

Recipients of a capital contribution have a choice either to treat the contribution as income spread over 10 years on a straight-line basis, or to reduce their depreciation base or their expenditure under subpart [DO](#). See [¶10-200](#) for discussion of the latter option provided for by s [DB 64](#).

Recognition of the capital contribution as income is the default treatment. This means an election must be made by a taxpayer to apply the exception under s [DB 64](#).

Note that with s [CC 1B](#) taxing lease inducement payments from 1 April 2013 ([¶15-242](#)), a contribution for fit-out costs may be taxable under both ss [CC 1B](#) and [CG 8](#). However, IR has confirmed that the tax treatment of amounts already subject to s [CG 8](#) does not change. The amount is included in income only once (s [BD 3\(6\)](#)) and the timing rule for lease inducement payments in s [EI 4B](#) does not apply to an amount that is income under s [CG 8](#). For an example of how the 2 provisions should work together in practice, see [¶15-242](#).

Law: IT07 ss [CG 8](#), [DB 64](#), [YA 1](#) (“capital contribution”, “capital contribution property”)

Last reviewed on 31 December 2025

Other income under subpart CG [¶5-358]

[¶5-358]

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The following recovered amounts are also income under subpart CG:

previously allowed deductions in relation to high-priced bloodstock on the sale or export of the bloodstock from New Zealand without first being raced or used for breeding in New Zealand — ss [CG 8B](#) and [CG 8C](#) and [¶27-305](#)

previously allowed deductions for aircraft engine maintenance on the disposal of the aircraft engine or aircraft — s [CG 9](#) and [¶10-127](#).

Last reviewed on 31 December 2025

Income — adjustment for trading stock, livestock and excepted financial arrangements [¶5-366]

[¶5-366]

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The following items held by a person at the end of an income year are income:

- # the closing value of trading stock
- # the closing value of livestock, and
- # the closing value of excepted financial arrangements or share-lending rights that are revenue account property.

At year-end, trading stock, livestock and excepted financial arrangements that are revenue account property are valued in accordance with subparts [EB](#), [EC](#) and [ED](#) of the IT07 respectively.

Law: IT07 s [CH 1](#)

Last reviewed on 31 December 2025

Income — adjustment for goods and services tax [¶5-369]

[¶5-369]

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A GST input tax deduction made on a return-by-return basis for a change in use of goods and services from a non-GST purpose to a GST-purpose ([¶32-088](#)) is income. The income is allocated to the income year in which the input tax deduction is claimed. However, this does not apply to one-off GST adjustments arising when an asset used mostly for private or exempt purposes is applied permanently to 100% taxable purposes. In this case, the GST adjustment reduces the depreciation base price of the asset.

Law: IT07 s [CH 5](#)

Last reviewed on 31 December 2025

Other income under subpart CH [¶5-372]

[¶5-372]

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The following amounts are also income from adjustments:

- # unexpired amounts of expenditure — s [CH 2](#) and [¶10-052](#)
- # unpaid amounts of expenditure on employment income — s [CH 3](#) and [¶10-292](#)
- # adjustments for changes to accounting practice — s [CH 4](#) and [¶5-097](#)
- # adjustments for leases that become finance leases and certain operating leases — s [CH 6](#) and [¶6-700](#)
- # adjustments for certain avoidance arrangements — s [CH 7](#)
- # adjustments for non-market transactions — s [CH 8](#)
- # adjustments for interest apportionment on thin capitalisation — ss [CH 9](#), [CH 10](#), [CH 10B](#) and [¶26-620](#)
- # adjustments for Te Pou Tupua expenditure — s [CH 11](#)
- # income from a hybrid mismatch arrangement under subpart [FH](#) — s [CH 12](#) and [¶26-650](#).
- # income from feasibility expenditure clawback — s [CH 13](#) and [¶10-440](#)

Last reviewed on 31 December 2025

Income from voluntary activities [¶5-374]

[¶5-374]

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Generally, amounts derived by a person from voluntary activities are taxable income to that person, unless the amounts received are reimbursement payments for expenditure actually incurred by the volunteer ([¶3-455](#)).

Law: IT07 ss [CO 1](#), [CW 62B](#)

Last reviewed on 31 December 2025

Multi-rate PIE income attributed to investors [15-378]

[15-378]

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A person's income includes any amount of attributed PIE income. Attributed PIE income is that income attributed to an investor in a multi-rate PIE. The income is derived by the person in the income year of that person that includes the PIE's income year end for that attributed income. For investors who satisfy the requirements of s [CX 56](#), the PIE attributed income will be excluded income ([129-145](#)).

Law: IT07 ss [CP 1](#), [CX 56](#)

Last reviewed on 31 December 2025

Attributed CFC income [¶5-382]

[¶5-382]

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A person's income includes all attributed CFC income. CFC refers to a controlled foreign company. Attributed CFC income is generally income attributed from a foreign company in accordance with ss [EX 1–EX 27](#) of the IT07. Special rules set out when attributed CFC income arises and how it is calculated ([¶126-042](#)).

Law: IT07 ss [CQ 1](#), [CQ 2](#), [CQ 3](#)

Last reviewed on 31 December 2025

FIF income [¶5-384]

[¶5-384]

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Note: The [Taxation \(Annual Rates for 2025–26, Compliance Simplification, and Remedial Measures\) Bill](#) proposes an amendment to clarify that short selling foreign shares would be treated in a similar way to short selling New Zealand shares. That is the gain/loss from the short selling arrangement would generally be fully taxable/deductible under ordinary revenue account property rules rather than being subject to the FIF rules.

A person's income includes all FIF income. FIF refers to a foreign investment fund. The FIF rules apply to non-resident investment vehicles where New Zealand residents hold interests that do not qualify as CFCs. The FIF rules are set out in ss [EX 28–EX 72](#) of the IT07. Special rules set out when FIF income arises and how it is calculated ([¶26-110](#)).

Law: IT07 s [CQ 4–CQ 6](#)

Last reviewed on 31 December 2025

Voluntary payments may be income [¶5-390]

[¶5-390]

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A voluntary payment may be income to the recipient when it can be viewed as an addition to trading receipts.

Example:

Wool compulsorily acquired from a farmer was sold at a higher than expected price by the government. The farmer received an additional voluntary payment from the government that was held to be assessable for tax purposes. See *FC of T v Squatting Investment Co Ltd* [1954] AC 182.

A voluntary payment is not income when it is paid because of the personal qualities of the recipient ([¶5-189](#)).

Example:

A solicitor received a gift of \$10,000 from a client. This amount was not assessable since it was referable to the personal attitudes of the donor and donee. See *Scott v FC of T* ([1966](#)) 117 CLR 514.

Last reviewed on 31 December 2025

Taxation of compensation proceeds and lump sum settlement payments [15-396]

[15-396]

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A taxpayer may receive compensation, damages or insurance proceeds. An amount of this type that is received for loss or damage to trading stock and anything acquired, manufactured or produced for a purpose ancillary to a business of manufacturing or producing goods for sale or exchange is income ([15-346](#)). There is, however, no clear-cut rule in relation to other insurance proceeds and compensation and damages payments. Generally, compensation received for the loss, or loss of use, of a capital asset is regarded as of a capital nature and not taxable.

Example:

A company was required to stop mining fireclay because it ran under a railway line. The compensation paid was a capital receipt because it was paid for the sterilisation of a capital asset. See *Glenboig Union Fireclay Co Ltd v IR Commrs* (1921) 12 TC 427.

In contrast, when compensation or damages are received in respect of the loss of profits, the receipts will be income.

Example:

Mr TP was a shipowner who had recovered damages from repairers of a ship for failing to complete the overhaul of the ship within the stipulated time. The damages were assessed by reference to the estimated profits which the ship would have earned had it been trading during the excess time taken for the overhaul. The court held that the damages were assessable income of the taxpayer. See *Burmah Steam Ship Co Ltd v Commrs of IR* (1931) 16 TC 67.

For discussion of when compensation for loss of business profits is derived, see [15-345](#).

Lump sum settlement payments

Interpretation statement, [IS 20/01](#), "Income tax — treatment of the receipt of lump sum settlement payments", considers how the Commissioner will treat a lump sum payment received under a settlement agreement for claims that (if successful) would have resulted in receipts of both a capital and revenue nature. Note that [IS 20/01](#) replaced [IS 16/04](#), but did not make any changes except to correctly attribute the quote in [68] of the statement.

Whether a settlement payment is taxable depends on what it is paid for — in this case, what was given up in return for the payment — and its nature in the hands of the recipient. It is essential to first determine what a payment is for before determining whether apportionment is necessary.

The item discusses the suggestion that 2 High Court of Australia decisions, *McLaurin v FCT* (1961) 12 ATD 273 and *Allsop v FCT* (1965) 14 ATD 62, are authority for the proposition that, if an undissected settlement payment includes both capital and revenue amounts, the whole amount will be treated as capital. To the extent that *McLaurin* and *Allsop* stand for this proposition, the Commissioner's view is that they would not be followed in New Zealand. Rather, where possible, New Zealand courts would seek a reasonable basis for apportioning a lump sum.

Given this, where a single undissected sum is received, it should be apportioned between its capital and revenue elements where possible. Any apportionment must be made on an objective basis. The starting point for determining an appropriate apportionment will be the settlement agreement and any related documents. Where necessary, the circumstances surrounding the agreement and other relevant evidence should be considered. The onus of proof is on the taxpayer to show the apportionment is appropriate.

The item states that in the rare circumstance where the payment cannot be appropriately apportioned, the amount must be considered as a whole. In the Commissioner's view, generally, where an amount cannot be apportioned, the full amount will be income.

Last reviewed on 31 December 2025

Interest element in compensation [¶5-409]

[¶5-409]

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In determining whether an interest element contained in a payment of compensation or damages is income or capital, the terms of the award or settlement become relevant. Generally, when interest is payable in addition to the amount of the claim, the interest element is income.

Example:

A farmer was awarded compensation together with interest by the government for compulsorily acquired land. The interest was to be calculated from the date on which the land was acquired until actual payment was received by the farmer. The interest was held to be assessable income. See *Marshall v C of T* [1953] NZLR 335.

Example:

Land was compulsorily acquired for £28,000. An interest component was to run from the date of possession until the date of the payment of the compensation. The amount paid in excess of the £28,000 was regarded as assessable income. See *Public Trustee v C of IR* [1960] NZLR 365.

Last reviewed on 31 December 2025

Compensation for agency cancellation [¶5-414]

[¶5-414]

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Compensation for the loss of an agency is a capital receipt if the agency constitutes the substratum of the recipient's business.

Example:

A company repairing ships of a shipping company received a payment regarded as a capital receipt when the shipping company was liquidated. See *Barr Crombie & Co Ltd v IR Commrs* (1945) 26 TC 406.

On the other hand, compensation is income when the recipient holds several agencies and the loss of one is a normal trading risk. See *IR Commrs v Fleming & Co (Machinery) Ltd* (1952) 33 TC 57. A payment to a company as consideration for the variation and partial surrender of its rights under a long-term supply and marketing contract was held to be a payment of capital and not assessable.

See also *C of IR v Thomas Borthwick & Sons (Australasia) Ltd* [\(1992\) 14 NZTC 9,101](#).

Last reviewed on 31 December 2025

Trade tie arrangements [¶5-419]

[¶5-419]

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A number of cases have dealt with the situation of service station proprietors entering into agreements with oil companies whereby they agree to sell the products of one company exclusively (trade ties). Each agreement is different and must be considered on its merits. However, as a general rule, if a service station proprietor has converted from a multi-brand trader to an exclusive product retailer and this conversion involves a substantial alteration to the profit-making structure or nature of the business, a lump sum received from an oil company as consideration for a trade tie of a reasonably long period is capital. This rule would also apply to sums expended on improvements or on the provision of capital assets of the person. If no essential change is made to the nature or structure of the business and the tie is not of a term sufficiently long to impart a capital character, payments to the service station proprietor may be treated as revenue in nature: *Birkdale Service Station Ltd v C of IR*; *C of IR v Birkdale Service Station Ltd* (2000) 19 NZTC 15,981 (CA). An important finding in that case was that the service station proprietors were not selling a capital asset, namely the freedom to deal with whomever they chose, because to remain in business as petroleum retailers they had no choice but to enter into the tie agreements. Further, they had already been trading with the products of only one supplier. See ¶5-031 and *Maney & Sons de Luxe Service Station Ltd v C of IR* [1967] NZLR 41.

Interpretation statement [IS0056](#) "Tax treatment of payments received by petrol retailers in return for trade ties" sets out IR's views on the capital or revenue nature of trade tie payments received by petrol retailers. The interpretation statement lists the following factors as relevant to the inquiry:

- # Whether the retailer has given up anything significant in return for the tie and, in particular, whether it has made structural alterations to its overall business operation.
- # The length of the trade tie.
- # The correct accounting treatment.

Further, it is the Commissioner's view that the presence or absence of a dedicated use to which a receipt must be put is not determinative of the character of the receipt. It is the totality of the circumstances in which the payment is received that must be considered.

Last reviewed on 31 December 2025

Personal insurance compensation [¶5-425]

[¶5-425]

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The tax treatment of insurance moneys received in cases in which key employees or directors are insured depends upon the purpose for which the insurance is taken out. It would seem that, if the particular policy taken out was a life or endowment policy, and it is not an accident policy, that fact would necessarily point to the proceeds of the policy being a capital receipt in the hands of the recipient ([¶3-185](#)).

An extended disablement insurance policy provides for payment of a weekly income in the event of disablement of the person insured. The payments are calculated according to an estimate of income lost, and continue until the person insured recovers, dies or reaches a specified age. Since the payments are to compensate for a loss of potential income, IR regards payments under such policies as income derived by the person insured. See *FC of T v DP Smith* [81 ATC 4114](#). However, the premium paid should be deductible ([¶10-540](#)).

Last reviewed on 31 December 2025

Assessable gifts [¶5-430]

[¶5-430]

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Interpretation statement on gifts

As a general rule, gifts are non-taxable receipts (¶5-026). There are circumstances where this general rule may not apply. Interpretation statement, [IS 23/11](#), “Income tax: Income – when gifts are assessable income” and accompanying fact sheet [IS 23/11 FS](#) provide guidance on the circumstances in which gifts are assessable income.

While a gift is not usually subject to income tax, there are circumstances in which a gift is taxable income to the recipient. Specific examples of when a gift may be subject to income tax include those received:

- # from a business (s [CB 1](#))
- # as a result of carrying on or carrying out a profit-making activity (s [CB 3](#))
- # in connection with employment (s [CE 1](#)), and
- # when undertaking a voluntary activity (s [CO 1](#)).

A gift may also be income under ordinary concepts and therefore subject to income tax under s [CA 1\(2\)](#). The statement applies both to monetary gifts and to non-monetary gifts that are convertible to money.

The statement does not apply to gifts that may be subject to FBT ([¶21-425](#)) or gifts that are not subject to income tax but may be family scheme income for the purposes of Working for Families tax credits ([¶12-125](#)).

Business or profit-making activity

A gift that a person makes as a mark of affection, esteem or respect for an individual (even if actually received by a non-individual) is a “mere gift” and is not business income or income from a profit-making activity. Gifts are business income or income from a profit-making activity where the payment can be attributed to the activities or specific work the recipient has carried out.

A gift that is unexpected or unsolicited supports a conclusion that a gift is not business income.

Employment income

Case law indicates that the following features may indicate a gift is employment income:

- # The amount of the payment reflects the extent of any services provided.
- # The payment is made in the hope of future services or to encourage further efforts by employees.
- # The recipient’s employment agreement contemplates the payment.
- # The payment is, or may be in the future, recurring rather than a one-off.
- # The payment is related to duties that are expected of the employee (although if an employee willingly does something beyond their usual duties and is paid for that, the range of duties is enlarged to encompass it).
- # The payments are commonplace as a matter of practice in the occupation, profession or industry.
- # The gift is one commonly provided to the holder of a position or office that has a degree of continuance and independence from the current incumbent.

For commentary on gifts, tips and gratuities made to employees, see [¶3-450](#).

Voluntary activities

A gift is treated as income under s [CO 1](#) when the gift and the volunteer’s activity have a sufficient connection. That is when the gift is “a product of” or “in connection with” the person’s voluntary activity. Similar considerations as those discussed under “employment income” apply to voluntary activities.

Income under ordinary concepts

A gift that would be assessable income under ordinary concepts is subject to income tax.

Last reviewed on 31 December 2025

Introduction to exempt income [¶5-593]

[¶5-593]

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In s [BD 1](#), income is classified as exempt income, excluded income, non-resident foreign sourced income or assessable income. For income to be exempt it must first be income, see *C of IR v Brierley* ([1990](#)) [12 NZTC 7,184 \(CA\)](#).

Many items are expressly exempted from income tax. Amounts that are exempt income are located in subpart [CW](#) of the IT07. Under s [DA 2\(3\)](#) any expenditure that is incurred in deriving exempt income is unable to be deducted for tax purposes. This rule is called the *exempt income limitation*.

In addition, many classes of person are exempt on all or some of the income they receive. There is a third category of income that may be called exempt income in the broad sense. This category covers items such as capital payments that are neither income according to ordinary concepts nor deemed to be taxable. This category is not truly described as exempt income because the items were never income in the first place in order that they might become exempted.

Example:

A company could not be exempt from income tax unless, but for that exemption, it would have been liable for income tax. See *Australian Mutual Provident Society Ltd v C of IR* [1961] 3 All ER 1051.

Law: IT07 subpart [CW](#), ss [BD 1\(2\)](#), [DA 2\(3\)](#)

Last reviewed on 31 December 2025

Exempt income — amounts exempt from tax [¶15-598]

[¶15-598]

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#Note: The Taxation (Annual Rates for 2025–26, Emergency Response, and Remedial Measures) Bill proposes a new s CW 61B to provide that the gross income derived by a natural person from the supply of excess electricity generated at a dwelling is exempt income.

The following are wholly or partially exempt from tax under subpart [CW](#):

- # Accident Compensation Corporation personal service rehabilitation payments paid to a claimant and used for rehabilitation — [¶15-653](#)
- # Accommodation — [¶3-425](#)
- # Allowance for additional transport costs — [¶3-445](#)
- # Allowances and benefits — [¶15-630](#)
- # Amateur games and sports bodies — [¶24-130](#)
- # Amounts from Australian complying superannuation schemes reinvested in KiwiSaver schemes — [¶29-270](#)
- # Annuities from Crown bank accounts — an annuity granted by the Executive Council of New Zealand and paid from the Crown Bank Account is exempt income, provided it is not designated as being subject to tax — s [CW 30](#)
- # Annuities under life insurance policies — an annuity paid under a life insurance policy offered or entered into in New Zealand by a life insurer or paid under a life insurance policy offered or entered into offshore by a New Zealand resident life insurer is exempt income. This exemption does not apply to an annuity that is excluded income of a superannuation fund — s [CW 4](#)
- # Avoidance arrangements — amounts treated as exempt income under ss [GA 1](#) and [GB 23](#) — s [CW 63](#)
- # Certain employee benefits after an emergency event — s [CZ 23B](#) and [¶15-715](#)
- # Certain subdivisions of land — s [CW 3C](#) and [¶7-300](#)
- # Charitable bequests — income derived by a deceased's administrator or executor from property left to a charity. The exemption will only apply if the income in question, if derived by a charitable trust, society or institution, would have been exempt from income tax under the other exemptions for a charity — s [CW 43](#)
- # Charities: business income — [¶24-200](#), [¶24-210](#)
- # Charities: non-business income — [¶24-240](#)
- # Community housing entities — [¶24-132](#)
- # Community trusts — [¶24-133](#)
- # Compensation payments — [¶15-653](#)
- # Deferred military pay for active service — [¶15-658](#)
- # Disability support payments — [¶15-655](#)
- # Disposal of companies' own shares — [¶16-700](#)
- # Distinctive work clothing — [¶3-430](#)
- # Distributions from a complying trust other than beneficiary income — [¶25-360](#)
- # Dividend derived from foreign company — [¶16-800](#)
- # Dividend paid by a qualifying company — [¶19-115](#)
- # Dividend within New Zealand wholly-owned group — [¶16-800](#)
- # Dividend derived by council-controlled organisation holding companies — [¶16-800](#)
- # Employee reimbursement and expenditure on account — [¶3-435](#)
- # Employee share schemes — [¶3-471](#)
- # Exemption under other Acts — [¶15-685](#) and [¶15-690](#)
- # Foreign-sourced amounts derived by a New Zealand resident trustee — [¶25-100](#) and [¶25-310](#)
- # Foreign superannuation withdrawals — [¶15-648](#)
- # Forestry companies and Māori investment companies — interest derived from a qualifying debenture — [¶28-050](#)

- # Forestry companies established by Crown, Māori owners and holding companies — [¶28-050](#)
- # Forestry rights — Treaty of Waitangi claim settlements — [¶28-021](#)
- # Forestry encouragement agreements — income advanced under a forestry encouragement agreement is exempt income. Also, in some cases, interest under the agreement that a person is relieved from paying is exempt income — s [CW 2](#)
- # Friendly societies — [¶24-131](#)
- # Funeral trusts — [¶24-134](#)
- # Gaming-machine income derived by a gaming-machine licensed operator who complies with the Gambling Act 2003 — s [CW 48](#)
- # Governor-General's income — the allowance, benefits and privileges of the Governor-General is exempt income — s [CW 16](#) and [¶3-016](#)
- # Herd improvement bodies — [¶24-139](#)
- # Interest: farm mortgages — 50% of the interest derived from a mortgage securing a loan made by a seller of a farm is exempt income if the Rural Banking and Finance Corporation of New Zealand approves the mortgage and the Corporation gives the Commissioner notice of the approval and each variation. This exemption does not apply to an absentee, a company, a Māori authority, a public authority, a trustee liable for income tax under subpart [HC](#) and s [HZ 2](#), or to an unincorporated body. A person deriving exempt interest cannot also claim a tax credit for the interest under the home vendor mortgages tax credit provisions — s [CW 6](#)
- # Interest: foreign-sourced — [¶5-613](#)
- # Interest: paid by the Commissioner under s [84](#) of the KiwiSaver Act 2006 — s [CW 62](#)
- # Interest: post-war credits — wholly exempt from income tax — s [CW 5](#)
- # Jurors' and witnesses fees (but not expert witnesses) — wholly exempt from income tax — s [CW 26](#)
- # Life reinsurance outside New Zealand — a life reinsurance claim derived by a life insurer to the extent to which deductions for premiums are denied — s [CW 59C](#)
- # Loans to New Zealand Government — [¶5-628](#)
- # Local authorities — [¶5-610](#), [¶16-800](#), [¶24-035](#) and [¶24-040](#)
- # Local and regional promotion bodies — [¶24-035](#) and [¶24-137](#)
- # Maintenance payments — child support or spousal maintenance under the Child Support Act 1991 and a payment in the nature of maintenance out of money belonging to a person's current or former spouse, civil union partner, or de facto partner is exempt income — s [CW 32](#)
- # Māori authority distributions — [¶24-311](#)
- # Military and police service in operational areas — [¶5-658](#)
- # Minors' income to a limited extent — [¶11-035](#)
- # Mixed-use assets — [¶5-635](#)
- # New Zealand companies operating in Niue — income derived by certain New Zealand companies that is derived wholly or mainly from Niue or from a Niue development project is exempt income. A dividend derived by certain persons from a New Zealand company that derives its income wholly or mainly from Niue is also exempt income — s [CW 59](#)
- # New Zealand Railways Corporation restructure — s [CW 65](#)
- # Niue International Trust Fund — income derived or distributed by the trustees — s [CW 59B](#)
- # Non-resident aircraft operators — income derived by a non-resident engaged in air transport to or from New Zealand to the extent to which the Commissioner determines that a New Zealand resident operator would be correspondingly exempt from income tax under the laws of the country in which the non-resident operator is based — s [CW 56](#)
- # Non-resident companies involved in certain petroleum exploration and development activities — [¶28-135](#)
- # Non-residents' proceeds from the sale or other disposal of shares or options that were acquired under a venture investment agreement — s [CW 13](#)
- # Overseas experts and trainees — [¶3-292](#) and [¶5-638](#)
- # Overtime and work-related meal payments and certain sustenance allowances — [¶3-448](#)
- # Partners: amounts of exempt income arising under subpart [HG](#) — s [CW 55B](#)
- # Pensions — [¶5-643](#)
- # Public authorities — [¶5-605](#)
- # Public purpose Crown-controlled companies — [¶5-606](#)

- # Qualifying foreign equity investors' proceeds from the sale or other disposal of certain shares or options — [¶26-438](#)
- # Rebate of fees paid by a FIF — if a person with an attributing interest in a FIF receives a rebate of fees from another person to whom the FIF paid fees and the person is not allowed a deduction for the fees and their FIF income or loss is not calculated using the comparative value method — s [CW 55BAB](#)
- # Religious society members — the value of personal board, lodging and other basic personal necessities received by members of a religious society or order for whom it is their sole occupation and in which the conditions of service are such that no monetary or other rewards are payable in respect of these services — s [CW 25](#)
- # Relocation payments — [¶13-446](#)
- # Scholarships and bursaries — [¶15-633](#)
- # Scientific or industrial research bodies — [¶24-135](#)
- # Services for members of Parliament — amounts for certain travel, accommodation, and communication services referred to in the Members of Parliament (Remuneration and Services) Act 2013 and provided to a member of Parliament, a qualifying electoral candidate or any family member of such a person, and travel entitlements of a former member of Parliament or Prime Minister, and international travel or accommodation and communication services provided to a member of the Executive are exempt income — s [CW 31](#)
- # Short-term visits of non-residents — [¶13-291](#), [¶13-292](#) and [¶26-420](#)
- # Stake moneys — [¶27-305](#)
- # Standard-cost household services — [¶15-695](#)
- # Certain subdivisions of land — s [CW 3C](#) and [¶7-300](#)
- # TAB and racing clubs — [¶24-136](#)
- # Tertiary education institutions — income derived by a tertiary education institution that is established or continued under subpart 3 or 4 of Pt 4 of the Education and Training Act 2020 (before 1 August 2020, established under Pt 14 or 15A, or subpart 1 of Pt 10 of Sch 1 of the Education Act 1989) and has not been disestablished under that Act and that is not carried on for the private pecuniary profit of any individual, or its subsidiary — [¶24-275](#)
- # Te Urewera Board income — s [CW 40B](#)
- # Tokelau International Trust Fund — income derived or distributed by the trustees — s [CW 59B](#)
- # Transitional residents — certain income derived by transitional residents is exempt — [¶15-700](#)
- # Veterinary services bodies — [¶24-139](#)
- # Visiting crew of pleasure craft — [¶15-640](#)
- # Visiting entertainers and sportspersons — [¶26-485](#)
- # Volunteer workers — [¶13-455](#)
- # Withdrawals from certain Australian superannuation funds which are reinvested in other Australian superannuation funds in the same income year — s [CW 29](#)
- # certain employee benefits for the North Island flooding events — s [CZ 23B](#) and [¶15-715](#).

Law: IT07 subpart [CW](#)

Last reviewed on 31 December 2025

Exempt income derived by public authorities [¶5-605]

[¶5-605]

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Any amount derived by a public authority is exempt income (s [CW 38\(2\)](#)). However, this general rule is subject to several exclusions, noted below.

Section [CW 38\(1\)](#) specifically provides that an amount derived from a sinking fund relating to a public authority's debt is exempt income.

A “[public authority](#)” means every department or instrument of the Executive Government of New Zealand and includes:

- # the Public Trust and the Māori Trustee
- # the Christmas Island Phosphate Commission
- # the New Zealand Lottery Grants Board
- # the Office of the Clerk of the House of Representatives
- # the Ombudsman
- # the Parliamentary Commissioner for the Environment
- # the Parliamentary Service, and
- # the Official Assignee, other than in their capacity as a trustee,

but does not include a mixed-ownership enterprise.

For the purposes of s [CW 38](#), “public authority” also includes the Reserve Bank of New Zealand.

In *C of IR v Medical Council of New Zealand* ([1997](#)) [18 NZTC 13,088](#), the Court of Appeal found that although the Medical Council was established exclusively for charitable purposes and was exempt from tax, it was not an instrument of the Executive Government and therefore not a public authority qualifying for the exemption.

Exclusions

However, the general exemption in s [CW 38\(2\)](#) does not apply to the following public authorities:

- # Public Trust
- # any public authority to the extent to which it is a superannuation scheme
- # any State enterprises
- # any Crown Research Institute
- # a Fund investment vehicle as referred to in s 59A of the New Zealand Superannuation and Retirement Income Act 2001
- # with effect from 14 December 2019, a VCF investment vehicle as referred to in s 25 of the Venture Capital Fund Act 2019, and
- # a company that is treated as being wholly owned by the Crown under s [HR 4B](#) (Activities relating to New Zealand Superannuation Fund and Venture Capital Fund).

Mixed-ownership enterprises ([¶24-020](#)) are also excluded from the exemption.

In addition, an amount derived by a trustee for a public authority constituted as a trust:

- # does not enjoy the exempt income status under s [CW 38\(2\)](#) if that amount is retained and included in trustee income of the trustee, but
- # is exempt income if that amount is distributed to a beneficiary that itself is exempt from income tax in relation to that distribution.

To the extent that the income of a public authority is liable to tax, it is taxable at the same rate that applies to a resident company (Sch [1](#) pt [A](#) cl [2](#) of the IT07).

Law: IT07 ss [CW 38](#), [YA 1](#) (“public authority”), [Sch 1](#)

Last reviewed on 31 December 2025

Exempt income derived by public purpose Crown-controlled companies [¶5-606]

[¶5-606]

[Click to open document in a browser](#)

With effect from 18 March 2019, certain Crown-controlled companies have been given their own income tax exemption. The qualifying “[public purpose Crown-controlled companies](#)” are listed in Sch [35](#) to the IT07. Also included are wholly-owned subsidiaries of the companies listed in Sch [35](#) if the subsidiary’s primary purpose is the carrying out of a public policy objective of the government. An Order in Council mechanism facilitates amendments to this schedule. The changes effectively reinstate the tax outcome the companies had before a Crown Law interpretation reduced who qualified as a “public authority”. Schedule [35](#) includes the following companies:

- # City Rail Link Limited
- # Crown Infrastructure Partners Limited
- # Crown Regional Holdings Limited
- # Education Payroll Limited
- # New Zealand Green Investment Finance Limited
- # Ng#puhi Investment Fund Limited
- # Rau Paenga Limited
- # Research and Education Advanced Network New Zealand Limited
- # Southern Response Earthquake Services Limited
- # T#maki Redevelopment Company Limited
- # T#maki Regeneration Limited
- # The Network for Learning Limited.

Law: ITA ss [CW 38B](#), [YA 1](#) (“[public purpose Crown-controlled company](#)”), Sch [35](#)

Last reviewed on 31 December 2025

Exempt income derived by local authorities [¶5-610]

[¶5-610]

[Click to open document in a browser](#)

Any amount derived by a local authority is exempt income, except where the amount is:

- # income that a local authority derives as a trustee, other than an amount distributed to a beneficiary that itself is exempt from income tax in relation to that distribution
- # an amount (other than rates or dividends) derived by a local authority from:
 - # any council-controlled organisation linked by ownership or control to the local authority, other than from a hospital operating as a charitable activity for the local authority ([¶24-035](#)), or
 - # an organisation linked by ownership or control to the local authority that is an energy or port company, or subsidiary of a port company (and that would be a council-controlled organisation in the absence of s 6(4) of the Local Government Act 2022).

However, a local authority is taxable on all income (eg rent, management fees and dividends) derived from a council-controlled organisation, an energy company or a port company (trading subsidiaries of a local authority). A council-controlled organisation itself is taxable.

An amount derived from a sinking fund relating to a local authority's debt is specifically provided to be exempt income.

Local authorities are effectively liable for tax on any income that they derive from entities that are under their control. They are subject to tax at the rate of 28¢ in the dollar. See [sch 1 pt A cl 2](#) of the IT07. See [¶5-200](#) for discussion of *C of IR v Wellington Regional Stadium Trust* ([\(2005\) 22 NZTC 19,445 \(CA\)](#)) which considered whether the trust, in holding events at the Wellington Stadium, was operating a trading undertaking for the purpose of making a profit.

For tax purposes, a "local authority" means a local authority of any of the classes specified in the Local Government Act 2002, and includes a number of other boards and authorities established by various Acts; for example, the Canterbury Museum Trust Board and the Auckland Regional Transport Authority (s [YA 1](#), definition of "[local authority](#)").

Dividends derived by Council-controlled organisation holding companies are exempt (s [CW 10B](#) and [¶16-800](#)).

Law: IT07 ss [CW 39](#), [YA 1](#) ("[local authority](#)"), [sch 1](#)

Last reviewed on 31 December 2025

Exempt income — foreign-sourced interest [¶5-613]

[¶5-613]

[Click to open document in a browser](#)

Interest derived from a country or territory outside New Zealand is exempt income if the person deriving the interest was not resident in New Zealand during the period for which the interest was payable and the interest was exempt from tax under the laws of the foreign country. Further, the foreign tax in question must be substantially the same as income tax imposed under the IT07.

This exemption applies to a person taking up residence in New Zealand who subsequently receives a payment of interest that accrued before the person became resident in New Zealand and was exempt in the country of source. The country of source need not have been the country in which the person formerly resided. Exempt interest received in New Zealand from a foreign country by a person who is not resident in New Zealand when the interest is payable is not liable for income tax in New Zealand.

Law: IT07 s [CW 7](#)

Last reviewed on 31 December 2025

Exempt income — loans to government by non-residents [15-628]

[15-628]

[Click to open document in a browser](#)

Income (in the form of interest or redemption payments) of a non-resident is exempt from tax if it is payable out of New Zealand and is derived from or in relation to money lent to the New Zealand Government or to any local or public authority.

With respect to a loan made to a local or public authority, the following criteria must be satisfied for the exemption from income to apply:

- # the money is lent for the purposes of a non-commercial activity carried on in New Zealand by the local or public authority, and
- # the New Zealand Government has approved the exempt status of the interest or redemption payment.

Law: IT07 s [CW 8](#)

Last reviewed on 31 December 2025

Exempt income — allowances and benefits [15-630]

[15-630]

[Click to open document in a browser](#)

The types of allowances and benefits that are exempt income are summarised below:

- # monetary benefits under the Social Security Act 2018, but not main benefits, or a payment of New Zealand superannuation equivalent assistance or veteran's pension equivalent assistance (see below)
- # accident compensation payments of the following types:
 - # a payment for treatment or rehabilitation
 - # an independence allowance
 - # a funeral grant
 - # a survivor's grant, and
 - # a childcare payment
- # a payment under s 363, 386AAG or 386B of the Oranga Tamariki Act 1989
- # participation allowances
- # disabled workshop payments (see below)
- # amounts derived by a trustee of a trust created for victims of thalidomide or distributions to beneficiaries from the trust, and
- # amounts derived by a trustee of the New Zealand Agent Orange Trust or distributions to beneficiaries from the trust.

Exclusions from exempt income

Monetary benefits under the Social Security Act 2018 are exempt income. However, main benefits (ie sole parent support, emergency benefit, supported living payment, jobseeker support, young parent payment, youth payment or main benefit equivalent assistance) are excluded from being exempt income. These amounts are income ([15-307](#)).

Disabled workshop payments

Disabled workshop payments are payments made to a disabled person for undertaking therapeutic activities in a sheltered workshop or in a similar workshop if the average amount paid in a tax year is no more than \$50 per week. The average amount paid is calculated by taking the total income derived from the therapeutic activities for the year and dividing that total by the number of weeks in the tax year that the disabled person worked in the sheltered workshop.

Example:

Mr TP is a disabled person who receives \$60 per week for 20 weeks and \$36 per week for 15 weeks. His average weekly income would be:

	\$		\$
20 weeks @ \$60	1,200		
15 weeks @ \$36	<u>540</u>		
	1,740		
Average weekly earnings—	1,740 ÷ 35	=	<u>49.71</u>

Mr TP's earnings would be exempt from tax because they average less than \$50 per week.

When the income from the workshop exceeds \$50 per week, the whole of the income is taxable. There is no provision for exempting only the first \$50 per week.

Law: IT07 s [CW 33](#)

Last reviewed on 31 December 2025

Exempt income — scholarships and bursaries [¶5-633]

[¶5-633]

[Click to open document in a browser](#)

Any scholarship or bursary for a person's attendance at an educational institution is exempt income. The exemption does not apply to a basic grant or an independent circumstances grant under regulations made under s 645 of the Education and Training Act 2020, which are included within the definition of "salary or wages" and constitute income and are taxable at source.

The essential issue when considering the status of an allowance is to determine the true character of the allowance, judged in relation to the recipient.

Example:

A trainee teacher allowance was held to be exempt. The court regarded the allowance as a bursary because they were paid to, and received by, the student to assist in their education and for the purpose of sustaining the student while furthering their education. The fact that conditions as to service for a period after graduation were attached to the arrangement did not make the payments any less a bursary. See *Reid v C of IR* (1983) 6 NZTC 61,624.

Where a person is not employed by their prospective employer at the date of the commencement of an agreement for assistance, an allowance may be treated as exempt income.

Example:

The taxpayer, a financial analyst, received a grant of financial assistance from a government department to enable him to complete his university studies. The grant was exempt from income tax as the true flavour of the agreement was the provision of financial assistance to enable the taxpayer to complete his studies. The taxpayer was not employed by the department at the date on which the agreement for assistance commenced. The taxpayer came to be employed under an entirely separate employment contract at a later date. See Case P23 (1992) 14 NZTC 4,166.

This exemption may not apply in relation to an employee who receives payments from their employer while attending university full-time to complete a degree.

Example:

A taxpayer agreed with his employer (the Post Office) to undertake university study to complete an accountancy degree in return for study leave on full pay. Payments made to the taxpayer had to be repaid to the employer if he resigned before fulfilling all terms of the agreement. The court held that the payments were taxable as they had been made principally to secure the taxpayer's services once he had completed his studies. Assistance to the taxpayer in his education was a secondary purpose only. See *C of IR v Drew* (1988) 10 NZTC 5,060. See also Case T46 (1998) 18 NZTC 8,311.

Commissioner's statement

Interpretation statement [IS 15/01](#): "Income tax — tax exempt scholarships and bursaries — s [CW 36](#)", considers the requirements for a payment to be exempt under s [CW 36](#). The statement confirms that the payment's true character must be looked at and states that this is established by looking at the agreement that gives rise to the payment and the surrounding circumstances. There is no single rigid test, but the courts consider the relationship between the payer and payee, the contractual basis for the payment, the conditions of the agreement and what the payee is required to provide in return for the payment. For the exemption to apply, the scholarship or bursary must be made for the dominant purpose of assisting with the recipient's education. Some of the other points made in the statement are as follows:

- # The amount must first be income of the recipient. Not all scholarships and bursaries are income.
- # The amount cannot be a basic grant or an independent circumstances grant under regulations made under s 303 of the Education Act 1989. [Note that, with effect from 1 August 2020, this provision has been replaced by s 645 of the Education and Training Act 2020.]

The amount is a scholarship or bursary. A bursary is a sum of money, or its equivalent, granted to a person meeting certain criteria (often needs-based) to assist with their education. A scholarship is a sum of money, or its equivalent, granted to a person to enable them to pursue their studies where the person is selected on merit or other rational criteria.

A special relationship between the payer and the recipient may make it harder to demonstrate that the primary purpose of a payment is to assist with the recipient's education because there can be competing reasons for making the payment.

The bursary or scholarship may be granted on the condition that the recipient is required to provide services for, or on behalf of, the payer. This may not prevent a payment from being a bursary or scholarship so long as the true character of the payment is to assist the recipient's education and the payment is not primarily for the payer's benefit. If a payment is equivalent to an amount previously paid as salary or wages, this suggests the payment is simply a re-characterisation of salary or wages and not a scholarship or bursary. The existence of a bonding arrangement between the payer and the recipient may not prevent the payment being a scholarship or bursary. However, if all of the payment is to be repaid if the contract is cancelled, this may indicate it is not a scholarship or bursary.

The scholarship or bursary is for attendance at an educational institution. An "educational institution" under s [CW 36](#) is a society or organisation founded for the sole or main purpose of the promotion of education and that actively provides that education. Education involves the imparting of knowledge through a systematic formal course of learning. "Attendance at" can be physical presence at the location where the course is being held, being enrolled and pursuing an educational course offered if it involves requirements other than physical presence, or a combination of both.

Law: IT07 s [CW 36](#)

Last reviewed on 31 December 2025

Exempt income — private use of mixed-use assets [¶5-635]

[¶5-635]

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Mixed-use asset rules in subpart [DG](#) apply to apportion expenditure when land, boats or aircraft are used for both private and income-earning purposes. Section [CW 8B\(3\)](#) provides that income derived by a person for private use of a mixed-use asset is exempt income. Private use for these purposes is described in s [DG 4\(1\)](#). In addition, where the amount of income derived from the mixed-use asset in an income year is less than \$4000, the person may choose to treat the income as exempt income under (ss [CW 8B\(2\)](#) and [DG 21\(1\)](#)) and effectively opt out of the apportionment rules. Any expenditure will then be non-deductible. The decision to opt out is made in each year and can change from year to year. Companies cannot choose to opt out of the apportionment rules.

See [¶10-035](#) for discussion of the mixed-use asset rules.

Law: IT07 ss [CW 8B](#), [DG 21](#)

Last reviewed on 31 December 2025

Exempt income — overseas experts and trainees [¶15-638]

[¶15-638]

[Click to open document in a browser](#)

To qualify for an income tax exemption, a visiting expert or trainee must be in New Zealand under any of the following arrangements entered into by the government of New Zealand:

- # the Commonwealth Education Scheme
- # a programme of the United Nations, or any specialised agency of the United Nations, for cultural, economic, educational, expert, professional or technical assistance
- # arrangements for training Samoan, Cook Islands, Niuean or Tokelauan public servants or other residents of those islands, or
- # any other arrangement with another government or international organisation that is similar in principle to the above arrangements.

The purpose of the visit must be for at least one of the following: providing professional or expert advice or assistance, teaching or lecturing, making investigations, or receiving education, training or experience.

This exemption applies only to income received by a non-resident person from personal services performed on behalf of a non-resident employer or from a payment of maintenance, an allowance, a bursary or scholarship provided for or paid to that person. The exemption does not, in its terms, extend to other income such as interest and dividends that the visitor might also receive while in New Zealand. When determining whether the person is a non-resident, their presence in New Zealand under the government assistance arrangement is ignored and the “183-day rule” ([¶1-120](#)) does not apply.

Law: IT07 s [CW 22](#)

Last reviewed on 31 December 2025

Exempt income — non-resident crew members performing services in New Zealand [¶5-640]

[¶5-640]

[Click to open document in a browser](#)

Income derived by a non-resident crew member from services performed in New Zealand for a non-resident in relation to a pleasure craft (see below) while it is in New Zealand is exempt from tax if all of the following conditions are met:

- # the crew member is not present in New Zealand for more than 365 days in any 2-year period
- # the crew member is not in New Zealand unlawfully for immigration purposes
- # the pleasure craft is a temporary import (within the meaning of s [136](#) of the Customs and Excise Act 2018), and
- # the pleasure craft is not directly or indirectly owned (whether wholly or partly) by a New Zealand resident or a controlled foreign company.

In determining a crew member's residency, the "183-day rule" ([¶1-120](#)) does not apply.

Briefly, a "pleasure craft" is a ship that is not offered or used for hire or reward, and is used exclusively for:

- # the owner's pleasure or as the owner's residence, or
- # recreational purposes by the members of a club, beneficiaries of a trust, or members of an incorporated society that owns the ship.

The following types of ship are specifically excluded:

- # a ship used by an institution, hotel, motel, place of entertainment or other establishment or business to provide transport or sport or recreation
- # a fishing ship or a ship normally used to carry passengers or cargo for hire or reward that is used for pleasure
- # a ship used or operated by any club, incorporated society or trust for non-recreational purposes or by a business.

Law: IT07 s [CW 21](#)

Last reviewed on 31 December 2025

Exempt income — overseas pensions and certain war service or disability pensions [¶5-643]

[¶5-643]

[Click to open document in a browser](#)

Pensions from overseas

There are limited exemptions from income tax for some pensions received from overseas. Income derived by any person from an overseas pension is exempt to the extent to which it is subject to an arrangement under s 190 of the Social Security Act 2018.

Recipients of UK social security pensions may elect to have their pension paid into a special bank account. The Department of Work and Income will then draw down the overseas pension and will pay the pensioner an amount equivalent to the full rate of New Zealand superannuation or veteran's pension to which they are entitled. Section [CW 28](#) applies to exempt the overseas pension from tax when paid into the special bank account. However, the equivalent amount of New Zealand superannuation, veteran's pension or main benefit remains subject to tax. The Department of Work and Income will deduct PAYE from the amount it pays.

Portable New Zealand superannuation and portable veteran's pension are also exempt from income tax. See also [¶5-663](#) regarding payments received from registered superannuation schemes.

War service or disability pension

Certain war service or disability pensions are exempt from income tax. Pensions granted under the Veterans' Support Act 2014 (other than weekly compensation paid under subpart 5 of Pt 4 of that Act, and any veteran's pension), ie economic pensions, pensions for spouses of forces members, war service pensions or war veteran's allowances, are exempt.

A veteran's pension is not exempt income. A veteran's pension is a veteran's pension, other than a portable veteran's pension, paid or payable under Pt 6 of the Veterans' Support Act 2014.

However, a portable veteran's pension is exempt. A portable veteran's pension is a veteran's pension paid or payable overseas under s 182 or 191 of the Veterans' Support Act 2014 or s 19 of the Social Welfare (Reciprocity Agreements, and New Zealand Artificial Limb Service) Act 1990.

Also exempt are other pensions or allowances granted by any government relating to war or to disability attributable to or aggravated by service in the armed forces or the police.

[QB 18/12](#), "Are war pensions paid under the Dutch ABVP Scheme exempt from tax?", confirmed that war pensions, as well as allowances, paid under the Dutch (Benefit Act for Victims of Persecution 1940–1945) Scheme are exempt income and are not taxed in New Zealand.

Inland Revenue's policy

The income tax exemption does not apply to ordinary long-service (veteran's) pensions or to superannuation. However, where a long-service military pension has been increased because of a pensioner's war services, the amount of the increase is treated as a pension granted for war service and is exempt income.

Death is regarded as a disablement for this purpose. Accordingly, if a pension is specifically awarded to a dependant because the death of a relative is attributable to their service in the naval, military, air, or police forces, the pension is exempt income.

If the pension is payable regardless of whether the death or disability is attributable to service in one of the specified forces and is in the nature of a normal service pension, it remains taxable.

See *Tax Information Bulletin* [¶513-104 Vol 5, No 13](#), June 1994 at 3.

Law: IT07 ss [CW 28](#), [YA 1](#) (“portable veteran’s pension”, “veteran’s pension”)

Last reviewed on 31 December 2025

Exempt income — foreign superannuation withdrawals [15-648]

[15-648]

[Click to open document in a browser](#)

From 1 April 2014, new rules apply to tax New Zealand residents on interests in, and income from, foreign superannuation schemes. The rules bring to tax a portion of lump sum withdrawals and transfers from foreign superannuation schemes on receipt, rather than on an accruals basis under the foreign investment fund rules as was previously the case ([15-317](#)).

As part of these rules, s [CW 28B](#) provides for an exemption for withdrawals within the first 4 years of residency, similar to that for transitional residents. However, unlike the transitional resident rules, there is no requirement for a person to be non-tax resident for a minimum period to qualify for an exemption period. Thus, the exemption period is available to new migrants and returning New Zealanders alike. Also, unlike the transitional resident rules, it is not possible to opt out of the exemption period.

Under s [CW 28B](#), a foreign superannuation withdrawal will be exempt income of the person if the person is a New Zealand resident and the withdrawal is derived in the “exemption period”. The exemption period commences on the date the person becomes a New Zealand resident and ends on the earlier of:

- # the end of the period of 48 months beginning after the end of the month in which the person becomes resident
- # the date the person becomes non-resident again.

If a person becomes a New Zealand resident as a result of meeting the 183-day rule in s [YD 1\(3\)](#), the exemption period starts on the first day they are New Zealand resident (the first day of the 183-day period under s [YD 1\(4\)](#)), but does not end until 48 months after they actually triggered the 183-day rule (ie on their 184th day in New Zealand).

To have an exemption period for an interest in a foreign superannuation scheme, the person must:

- # not have a previous exemption period
- # have acquired the interest as a non-resident, and
- # own the interest as a non-resident until becoming resident.

Where a foreign superannuation withdrawal is derived outside the exemption period, ie within the assessable period, a portion of the amount received will be taxable under one of 2 methods provided for in s [CF 3](#) ([15-317](#)). Section [CW 28C](#) provides that the part of the foreign superannuation withdrawal that is not taxable under the relevant method is exempt income.

Law: IT07 ss [CF 3\(4\)–\(6\)](#), [CW 28B](#), [CW 28C](#), [YA 1](#) (“foreign superannuation scheme”, “foreign superannuation withdrawal”, “superannuation scheme”)

Last reviewed on 31 December 2025

Exempt income — compensation payments [¶5-653]

[¶5-653]

[Click to open document in a browser](#)

A payment relating to incapacity for work is exempt income. This means a payment of one of the following kinds made to a person because they are, or another person is, incapacitated for work:

- # a payment from a friendly society, or
- # a payment from any sick, accident or death benefit fund to which the person was a contributor when the period of incapacity began, or
- # a payment under a policy of personal sickness or accident insurance, or an accident insurance contract, not calculated according to loss of earnings or profits, or
- # an impairment payment made under subpart 4 of Pt 4 of the Veterans' Support Act 2014,

but excluding:

- # in the case of a payment under any of the first 3 bullet points above, payments of compensation made under s 188(1)(a) of the Accident Insurance Act 1988 before its repeal in 2000, for loss of earnings or loss of potential earning capacity relating to work-related personal injury and also weekly compensation paid under the Accident Insurance Act 1988 that is not recovered or recoverable, and
- # in the case of a payment under the third bullet point above, weekly compensation paid under the Accident Compensation Act 2001 that is not recovered or recoverable under s 248 of that Act.

The following compensation payments are also exempt income:

- # payments under the Workers Compensation Act 1956
- # payments under the Criminal Injuries Compensation Act 1963
- # approved distributions to ex-prisoners of war held in German concentration camps in World War 2
- # payments under German or Austrian laws to the victims of National Socialist persecution
- # payments under sch 1 of the Crown Forest Assets Act 1989 (excluding cl 3(b)), and
- # certain payments under the Maori Reserved Land Amendment Act 1977, being compensation payments, solatium payments or payments to lessors for the purchase of leases under the Act (excluding interest paid under s 23 of the Act). See also *Tax Information Bulletin* [¶102-104 Vol 10, No 2](#), February 1998 at 2.

Personal service rehabilitation payments (including backdated payments) paid to an ACC claimant under the Accident Compensation Act, where those payments are fully on-paid to another person to meet the cost of social rehabilitation services provided by the person to the claimant, are also exempt income to the claimant.

Law: IT07 ss [CW 34](#), [CW 35](#)

Last reviewed on 31 December 2025

Exempt income — disability support payments [15-655]

[15-655]

[Click to open document in a browser](#)

Where a person receives a direct funding disability support payment — this being a payment made by Health New Zealand, the Māori Health Authority, the Ministry for Disabled People, or the Ministry of Health to a disabled person, a person on their behalf, or their carer, to purchase disability support services — the payment will be treated as exempt income. “Disability support services” is defined in s 4 of the Pae Ora (Health Futures) Act 2022.

Law: IT07 s [CW 52B](#)

Last reviewed on 31 December 2025

Exempt income — military or police services personnel — operational area pay and allowances and deferred pay [¶5-658]

[¶5-658]

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Operational area pay and allowances — s CW 23

The pay and allowances derived by a member of the New Zealand Defence Force or the police for serving in an operational area is exempt income. The exemption applies to the extent to which the payments are related to a period of service in an operational area. The exemption does not apply to a regular force gratuity or a bonus or bounty for re-engagement in a regular force.

An operational area is defined as an area to which the Minister of Defence has ordered deployment of New Zealand Defence Force members for a specific mission and that the Chief of Defence delineates for that mission.

The Ministerial committee has been granted the ability to exempt other amounts of income paid to members for being in an operational area in addition to the usual operational allowance. The Ministerial committee consists of the Prime Minister, the Minister of Defence, the Minister of Police, the Minister of Finance and the Minister of Foreign Affairs.

Deferred military pay — s CW 24

Deferred military pay granted or paid under the Defence Act 1990 for a person's service in the New Zealand armed forces in an active service area is exempt income. For the exemption to apply, the Minister of Defence, with the agreement of the Minister of Finance, must declare the pay to be deferred military pay. An active service area is an area outside New Zealand that is designated as an active service area by the Minister of Defence, with the agreement of the Minister of Finance.

Law: IT07 ss [CW 23](#), [CW 24](#)

Last reviewed on 31 December 2025

Exempt income — superannuation fund benefits [15-663]

[15-663]

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All payments made by registered superannuation schemes to their members, whether in the form of a pension or lump sum, are tax exempt. This is because tax is paid at the trustee level ([129-410](#)).

Last reviewed on 31 December 2025

Rewards from customer loyalty programmes not income [15-683]

[15-683]

[Click to open document in a browser](#)

IR has issued a number of binding product rulings for various customer loyalty programmes. In general, the Commissioner's view is that the accumulation and redemption of points for rewards under these programmes is not income for tax purposes. For example, [BR Prd 09/09](#) in relation to the redemption of Air New Zealand air points dollars and [BR Prd 02/10](#), issued in respect of the Mico Wakefield Ltd customer trade loyalty programme.

Last reviewed on 31 December 2025

Income tax exemption for diplomats and consular officers [15-685]

[15-685]

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There are exemptions from New Zealand income tax for diplomatic personnel serving in New Zealand. The Diplomatic Privileges and Immunities Act 1968 gives effect to the 1961 Vienna Convention on Diplomatic Relations and grants exemptions for foreign envoys, Commonwealth representatives and persons connected with them. The Consular Privileges and Immunities Act 1971 incorporates part of the Vienna Convention on Consular Relations and confers exemptions for consular staff. Income received by honorary consular officers from the foreign government on account of the exercise of consular functions is exempt from New Zealand income tax.

There is no exemption for staff recruited locally by an embassy, legation or other representative of a foreign government. Such staff are required to account for tax deductions from their remuneration.

QWBA [QB 21/01](#), "Income tax – Monthly retirement payments from the United Nations Joint Staff Pension Fund" concludes that, while emoluments received by United Nations (UN) staff in active service to the UN are exempt from New Zealand income tax, monthly retirement payments from the UN Joint Staff Pension Fund (UNJSPF) are not. In general, monthly retirement payments received by retired UN staff members from the UNJSPF will be taxed as pensions ([15-315](#)).

Law: IT07 s [CW 64](#)

Last reviewed on 31 December 2025

Other bodies exempt from income tax [¶5-690]

[¶5-690]

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A number of other statutes specifically exempt certain income from income tax. Most of the exemptions in this category are governmental or quasi-governmental bodies. Generally, the enabling statute of the particular body contains an exemption from income tax. Some of the more common exemptions in this category include the following bodies:

- # ACC
- # Arts Council of New Zealand Toi Aotearoa
- # Broadcasting Commission
- # Broadcasting Standards Authority
- # Earthquake Commission
- # Historic Places Trust
- # Hillary Commission for Sport, Fitness and Leisure
- # Lotteries Commission
- # Maori Education Foundation
- # Museum of New Zealand Te Papa Tongarewa Board
- # National Library Trustees
- # New Zealand Fire Service Commission
- # Royal New Zealand Foundation for the Blind
- # Royal Society of New Zealand
- # Sport and Recreation New Zealand, and
- # Te Taura Whiri i Te Reo Māori (Māori Language Commission).

Law: IT07 s [CW 64](#)

Last reviewed on 31 December 2025

Exemption for standard-cost household services [¶5-695]

[¶5-695]

[Click to open document in a browser](#)

Overview

There is an exemption for amounts derived by natural persons from providing services that the Commissioner determines under s 91AA of the TAA are standard-cost household services. The Commissioner has determined that home-based childcare ([DET 09/02](#) referred to below), private boarding services ([DET 19/01](#) referred to below), short-stay accommodation ([DET 19/02](#) referred to below) and homeshare care ([DET 09/01](#) referred to below) are standard-cost household services. In broad terms, an amount derived from providing a standard-cost household service is exempt income if:

- # the amount is exempt income under a determination made for a standard-cost household service (see further below), or
- # the person may be treated under a determination for a standard-cost household service as incurring costs that are greater than or equal to the amount of income and the person does not claim a deduction for any costs actually incurred in providing the standard-cost household service.

The policy intent is to reduce compliance costs for persons providing these services.

Determinations

The Commissioner may determine that a service is a standard-cost household service if all of the following conditions are satisfied:

- # the service is provided by natural persons
- # the service requires the use of each taxpayer's domestic accommodation in activities that commonly occur in a family household
- # the Commissioner considers that the determination would result in a significant reduction in compliance costs for providers of the service without:
- # inappropriate risk to Crown revenue
- # inappropriate demands on the resources of the Commissioner in enforcing the determination, and
- # undue inaccuracy in the costs of providing the service for a significant number of service providers.

For the purpose of calculating the income tax liability of a person who derives an amount from a standard-cost household service, the Commissioner may determine:

- # the requirements for the exemption of income derived from providing the standard-cost household service
- # a figure for a cost or costs that may be treated as being incurred by a taxpayer in deriving this type of exempt income
- # a method that a taxpayer may use to calculate a figure for a cost or costs that may be treated as being incurred in deriving this type of exempt income
- # a figure for a cost or costs that may be treated as being incurred by a taxpayer in deriving income from providing the standard-cost household service
- # a method that a taxpayer may use to calculate a figure for a cost or costs that may be treated as being incurred by the taxpayer in deriving income from providing the standard-cost household service, and
- # the requirements for the application of a determination in respect of the above.

The Commissioner has the power to vary, rescind, restrict or extend the determination made. The determination may specify the income years in which it applies.

A standard-cost household service determination must be published in a publication chosen by the Commissioner within 30 days of it being made. The publication will usually be the *Tax Information Bulletin*. Historically they were published in the *New Zealand Gazette*.

A person who derives an amount from providing the standard-cost household service may then elect whether to use the figures or methods in the Commissioner's determination.

A person who applies the determination must not use any figure for an additional cost of providing the standard-cost household service if the type of additional cost is included in the determination.

Childcare providers

Determination [DET 09/02](#): "Standard-Cost Household Service for Childcare Providers" applies to all natural persons who are not registered for goods and services tax (GST) and who have provided childcare services in their own home in accordance with the Education (Home-Based Care) Order 1992. This determination applies to the 2008–09 and subsequent income years until it is replaced but is subject to an adjustment based on the annual movement of the Consumers Price Index, as at 31 March each year.

Briefly, the determination sets the variable standard cost of providing childcare in a person's home. The cost components of the amount set are outlined in Appendix A of the determination. The determination also sets out the annual fixed standard cost for administration and record-keeping. A formula is provided for the calculation of the fixed standard cost for domestic accommodation, depending on whether the person owns or rents their home. Also, if the person receives an accommodation supplement, the amount calculated under the formula will be reduced by the amount of the accommodation supplement. All costs are GST-inclusive. The variable standard cost and the fixed standard cost for administration and record-keeping are reviewed each year for the movement of the All Groups Consumers Price Index as at 31 March.

For the 2024–25 income year, the variable standard cost of providing childcare in the person's home is \$4.56 per hour per child. This is to cover the cost of fuel, electricity, food, wear and tear, laundry, first aid, educational resources, and outings and associated transport costs. The fixed standard cost for administration and record-keeping is \$446 per annum for a full 52 weeks of childcare services provided.

Boarding service providers

Determination [DET 19/01](#), "Standard-cost household service for private boarding service providers" replaced [DET 05/03](#) with effect from the start of the 2019–20 income year. The determination may be applied by natural persons who provide private boarding services in their domestic accommodation (ie the service provider's principal residence) for the 2019–20 and later income years. The determination does not apply where:

- # the person chooses not to apply it
- # the person's activities are the subject of any other determination relating to the provision of services that require the use of the domestic accommodation
- # the boarding services are provided as part of a GST-taxable activity of a registered person
- # the boarding service provider has more than 4 boarders at the same time at any time during the income year
- # the domestic accommodation is trust property, unless the host either paid all the costs represented by the annual housing standard-cost element for the income year or does not include the annual housing standard-cost element in their standard costs for the income year
- # the domestic accommodation is used to provide both a private boarding service and a short-stay accommodation service as defined in [DET 19/02](#) (see below), or
- # any deductions are claimed in relation to the use of the domestic accommodation in deriving income, for any time in the income year when the private boarding service is provided.

Family visitors and short-stay visitors accommodated without charge are not boarders.

The standard-cost household service is made up of 3 elements: the weekly standard-cost per boarder, the annual housing standard-cost and the annual transport standard-cost.

Briefly, the weekly standard-cost per boarder represents the direct cost of providing private boarding services (eg food, linen, laundry and cleaning services, power, internet, etc). The annual housing standard-cost represents the cost for the use of the domestic accommodation in providing the private boarding service (eg financing costs, rent, insurance, rates, and repairs and maintenance). The determination sets out a formula for calculating the annual housing standard-cost, which depends on whether a boarding service provider owns or rents their domestic accommodation. The annual housing standard-cost is reduced by the amount of any accommodation supplement received by the boarding service provider. The annual transport standard-cost represents the cost for the use of a motor vehicle in providing the private boarding service and is calculated by multiplying the kilometres travelled by the published kilometre rate. All costs are GST-inclusive. The weekly standard-cost per boarder is reviewed each year for the movement of the All Groups Consumers Price Index as at 31 March.

The weekly standard-cost component for the 2024–25 income year has been set at \$237 per boarder per week.

Worked examples of the application of [DET 19/01](#) are provided in Appendix C and Appendix D of the determination.

If the determination is used, actual costs cannot be used for expenditure covered by any of these elements, even if the standard-costs are not used for that particular element. If a taxpayer chooses to use the standard costs, income from providing the private boarding service will be exempt up to the amount of those costs. Income from providing the private boarding service will only need to be returned to the extent it exceeds the standard costs. Any additional costs related to providing the private boarding service cannot be deducted if they relate to an item covered by any of the elements comprising the standard costs.

Short-stay accommodation providers

Determination [DET 19/02](#), “Standard-cost household service for short-stay accommodation providers”, follows a similar concept to that for boarding service providers (see above). Standard nightly costs have been set for deductions for short-stay accommodation hosts who rent out rooms in their own home. The standard costs reflect the likely average costs incurred by short-stay accommodation hosts. The standard costs are \$63 a night if the host owns their home, and \$57 a night if the host rents their home, for the 2024–25 income year. If a host qualifies to use the rules, they can choose to use the standard nightly costs. This means they do not have to work out the actual costs they incurred (which would involve apportionment calculations). Income from short-stay accommodation guests up to the amount of the standard costs would not have to be declared. Hosts would only need to return income in excess of the standard cost amount.

The main criteria to be able to use the new rules are that:

- # the person does not rent out rooms in their home for more than 100 nights in the year (counting each room that is rented out separately)
- # the property is not held in a trust, or if it is they paid all of the costs for the year for the use of the property (eg mortgage interest or rent, insurance, rates, and repairs and maintenance)
- # the person does not provide the short-stay accommodation as part of a GST taxable activity
- # no other standard-cost determination applies to the accommodation
- # the person is a natural person.

Note that if a person cannot, or chooses not to, use the standard-cost approach in [DET 19/02](#), their deductions will be based on their actual costs. [QB 19/05](#), “What are my income tax obligations if I rent out my home or a separate dwelling on my property as short-stay accommodation?”, sets out how to calculate the percentage of mixed expenses (that relate to both the rental activity and private use) that is tax deductible in that situation ([¶10-113](#)).

Home share care providers

Determination [DET 09/01](#): “Standard-Cost Household Service for Home share Care Providers”, with application from the 2008–09 income year. This determination only applies to services provided by home share providers via the Presbyterian Support (Upper South Island) Home share programme operating in the Mid Canterbury area. The determination applies only to natural persons, being home share care providers, who provide a day activity programme for older people in their own domestic accommodation.

Law: IT07 ss [CW 61](#), [DA 2\(3\)](#), [YA 1](#) (“[standard-cost household service](#)”); TAA s [91AA](#)

Last reviewed on 31 December 2025

Exemption for transitional residents [¶15-700]

[¶15-700]

[Click to open document in a browser](#)

There is a temporary exemption from income tax for a foreign-sourced amount derived by a transitional resident. The exemption may be claimed only once. It excludes certain income from employment and personal services.

The exemption arose because the government wishes to assist New Zealand businesses seeking to attract skilled and knowledgeable individuals. The intended effect is for a person who has the status of a transitional resident to be treated as deriving income in the capacity of a non-resident.

The exemption period, which ends if a person becomes a non-resident, is for up to 4 years and one month (although note that, because of the application of the back-dating rule for determining residency, the period of transitional residency may in fact be longer than this – see example below).

A person is a transitional resident if:

- # they are a natural person
- # they are resident in New Zealand through acquiring a permanent place of abode, or through application of the 183-day rule ([¶11-120](#))
- # they did not satisfy the tax residence tests in s [YD 1\(2\)](#) or [\(3\)](#) and were not resident in New Zealand for a continuous period (the non-residence period) of at least 10 years immediately before meeting the residence tests
- # they were not a transitional resident at any time before the non-residence period, and
- # the period of transitional residence has not ended.

A person who satisfies these general requirements is a transitional resident. The period of transitional residence begins on the first day of residence in New Zealand under the permanent place of abode or 183-day test. Note that if the person becomes a New Zealand tax resident under the 183-day test, their tax residence will be back-dated under s [YD 1\(4\)](#) to the first of the 183 days of presence in New Zealand, and their transitional residence will start from that date.

The period of transitional residence ends on the earlier of:

- # the day the person nominates
- # the day before the person ceases to be a New Zealand resident, or
- # the last day of the 48th month after the month in which they acquired a permanent place of abode in New Zealand or satisfied the 183-day rule (ignoring the backdating rule in s [YD 1\(4\)](#)).

Note that the 10-year non-residence period is calculated without taking into account the back-dating rule in s [YD 1\(4\)](#). This ensures that people are not disqualified under the 10-year rule merely because of backdated residence under the 183-day test. For example, disqualification could apply if a person returned to live in New Zealand after the required non-residence period but had visited New Zealand for a holiday a few months before doing so.

Example 17 from [IS 25/16](#), “Tax residence” illustrates how the transitional residence period is calculated.

A foreign-sourced amount derived by a transitional resident is exempt income under s [CW 27](#) provided that the income is not:

- # employment income as described in s [CE 1](#) ([¶15-290](#)) in connection with employment or service performed while the person is a transitional resident
- # income from a supply of services.

The Commissioner has given examples of the types of income to which the exemption applies in *Tax Information Bulletin* [¶185-120 Vol 18, No 5](#), June 2006 at 105.

Electing not to be a transitional resident

A person who would otherwise be a transitional resident may elect not to be a transitional resident on and after a date nominated by the person. The election is irrevocable once made. Any election must be made before the due date for the filing of the income tax return for the income year during which the person wishes the election to take effect, unless the person applies for, and is allowed, a further time.

A person eligible to be a transitional resident who applies for Working for Families tax credits (under subparts [MA–MG](#) and [MZ](#)) is treated as having given notice to the Commissioner that they do not wish to be treated as a transitional resident.

Law: IT07 ss [CW 27](#), [HR 8](#)

Last reviewed on 31 December 2025

Treaty of Waitangi settlements [¶5-710]

[¶5-710]

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Interpretation statement “Income tax treatment of Treaty of Waitangi settlements” considers whether payments received by Māori claimant groups in settlement of Treaty of Waitangi claims and payments received from the Crown for funding settlement negotiations constitute assessable income. See *Tax Information Bulletin* [¶1610-103 Vol 16, No 10](#), November 2004 at 8. Briefly, the statement provides as follows:

- # Treaty settlement payments are neither income under s [CB 1](#) (amounts derived from any business) nor income under ordinary concepts in terms of s [CA 1\(2\)](#).
- # Where a Treaty settlement payment is delayed until settlement legislation is enacted, the payment is not income under s [CC 3](#).
- # Compensation paid under the Crown Forest Assets Act 1989 (except compensation based on market stumpage) is exempt income under s [CW 34\(1\)\(f\)](#). Compensation paid under that Act on the return of Crown forest land is not income under s [CA 1\(2\)](#), [CB 1](#), [CB 24](#), [CB 25](#) or [CB 29](#).
- # Funding for settlement negotiations provided through the Office of Treaty Settlements is neither income under ordinary concepts nor an amount derived from a business. Claimant funding is not a payment to which s [CX 47](#) applies because it is not provided in respect of any business carried on by claimant groups.

In [QB 09/01](#): “Payments made in addition to financial redress under Treaty of Waitangi settlements — income tax treatment” IR considers that post-settlement interest that is paid to compensate for a delay in payment of agreed financial redress under a Treaty settlement is a capital receipt and not taxable.

Last reviewed on 31 December 2025

Exempt income — employee benefits following an emergency event [¶5-715]

[¶5-715]

[Click to open document in a browser](#)

The [Taxation \(Annual Rates for 2024–25, Emergency Response, and Remedial Measures\) Act 2025](#) introduced a generic response to emergency events to improve IR's ability to provide timely tax relief such events. New subpart FP set out the various taxation reliefs available following the declaration of an emergency event. An "emergency event" is defined under s 3(1) of the TAA as an emergency as defined in s 4 of the Civil Defence Emergency Management Act 2002 that is declared an emergency under that Act, or subject to a power exercised under s 121 or 122 of the Biosecurity Act 1993.

Following an emergency event, employers may make ex-gratia welfare payments or benefits to their employees. From 1 April 2025, new s [CW 19B](#) provides that the following benefits or payments to an employee to alleviate the adverse effects of an emergency event are exempt income:

- accommodation benefits, or
- the first \$5,000 monetary remuneration that is not accommodation benefit.

For the exemption to apply the payment must meet the following requirements (s [FP 20](#)):

- # it is provided for the purpose of relief of employees from the adverse effects of an emergency event, and
- # it would otherwise be assessable income if not for this relief provision, and
- # it is derived in the 8-week period beginning on the first day of the relevant emergency event, and
- # it is not paid in substitution for wages or salary, and
- # it does not depend on the rank, position or seniority of the employee, and
- # if the employee is associated with the employer, it is also available to an unrelated full-time employee, and
- # the employer treats the income as being exempt income of the employee.

For a project of limited duration where the project is to restore the damaged caused by an emergency event and the distant workplace is in an emergency event are, new s [FP 22](#) extends the 3-year exemption for accommodation and related expenses to up to 5 years ([¶3-425](#)).

See [¶21-665](#) for discussion on the FBT exemption for benefits provided after an emergency event.

Before 1 April 2025, a similar exemption applied for payments of up to \$5,000 made to employees following the North Island flooding events in 2023 (s [CZ 23B](#)).

Law: IT07 ss [CW 19B](#), [FP 20](#), [FP 21](#), [FP 22](#), [CZ 23B](#), [YA 1](#) "emergency event"

Last reviewed on 31 December 2025

Introduction to excluded income [15-750]

[15-750]

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Some types of receipts or benefits are referred to as excluded income. To be excluded income, the amount in question must be listed in subpart [CX](#) (Excluded income) or [CZ](#) (Terminating provisions) of the IT07 and cannot be the person's non-resident foreign-sourced income. Excluded income is not taken into account when calculating a person's income tax liability (ie it is not included in the person's assessable income).

Any expenditure incurred in earning excluded income can be deducted under s [DA 1](#) providing it is not disallowed by one of the limitations included in s [DA 2](#).

Law: IT07 subpart [CX](#), subpart [CZ](#), s [BD 1\(3\)](#)

Last reviewed on 31 December 2025

Items of excluded income [15-755]

[15-755]

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The following amounts are excluded income:

- # goods and services tax (GST) — being output tax on goods and services supplied or GST refunds received — s [CX 1](#)
- # fringe benefits — s [CX 3](#) and [121-010](#)
- # certain public transport fares subsidised by an employer — s [CX 19C](#) and [121-655](#)
- # certain self-powered and low powered vehicles, and vehicle-share services provided by an employer — s [CX 19D](#) and [121-660](#)
- # amounts derived by a superannuation fund from an investment in a life insurance policy offered or entered into in New Zealand — s [CX 40](#) and [129-410](#)
- # certain income derived by New Zealand resident insurance underwriters from carrying on the business outside New Zealand — s [CX 41](#)
- # consideration derived from disposing of shares or trust interests in a controlled petroleum mining entity — s [CX 42](#) and [128-125](#)
- # farm-in expenditure of a petroleum miner or a mineral miner who is the farm-out party under a farm-out arrangement — s [CX 43](#), [128-060](#) and [128-125](#)
- # certain grants or subsidies or grant-related suspensory loans from a local authority or a public authority — s [CX 47](#) and [15-760](#)
- # certain payments by a public authority for funding of film and television productions — s [CX 48C](#)
- # superannuation contributions made by employers — s [CX 49](#) and [129-410](#)
- # payment by the Commissioner of an amount of a tax credit under subpart [MK](#) (KiwiSaver scheme and complying superannuation fund tax credits) — s [CX 50](#) and [129-250](#)
- # retirement scheme contributions made by an eligible contributor — s [CX 50B](#) and [129-320](#)
- # refunds of excess deposits to the main income equalisation account or the thinning operations income equalisation account — s [CX 51](#)
- # certain amounts derived from the disposal of a pre-1990 forest land emissions unit other than by surrender — s [CX 51B](#) and [15-228](#)
- # certain amounts derived from the disposal of fishing quota emission units other than by surrender — s [CX 51C](#)
- # refunds from a person's environmental restoration account — s [CX 52](#) and [110-412](#)
- # credits for inflation-indexed instruments that are a recovery of an earlier decrease that was previously debited to the lender — s [CX 53](#) and [15-055](#)
- # share-lending collateral derived under a share-lending arrangement — s [CX 54](#) and [15-288](#)
- # certain amounts derived on the transfer of an emissions unit under an excepted financial arrangement — s [CX 54B](#) and [15-228](#)
- # income derived by a portfolio investment entity (PIE), the Crown as owner of the New Zealand Superannuation Fund or the VCF, a Fund investment vehicle (as referred to in s 59A of the New Zealand Superannuation and Retirement Income Act 2001) or a VCF investment vehicle (as referred to in s 25 of the Venture Capital Fund Act 2019) that is treated as being wholly owned by the Crown under s [HR 4B](#), a company that is treated as being wholly owned by the Crown under s [HR 4B](#), or a life insurer from the sale of shares in a New Zealand company or an Australian listed company where the share is not a non-participating redeemable preference share — s [CX 55](#) and [129-130](#)
- # certain amounts derived by a foreign PIE equivalent from the disposal of a share or financial arrangement — s [CX 55B](#)
- # certain amounts of attributed PIE income derived by an investor (who is not a zero-rated investor) from an interest in a multi-rate PIE — s [CX 56](#) and [129-145](#)
- # distributions or dividends derived by an investor from a multi-rate PIE — s [CX 56B](#) and [129-145](#)
- # distributions or dividends derived by a resident investor (who is a natural person or trustee who has not included the amount as income in a return for the income year) from a listed PIE — s [CX 56C](#) and [129-145](#)

- # credits for fees attributed to investors by a multi-rate PIE if the payment is included as taxable income of the multi-rate PIE — s [CX 57](#) and [¶29-145](#)
- # amounts other than FIF income derived from an attributing interest in an FIF during a period in which a calculation method referred to in s [EX 59\(1\)](#) was used — s [CX 57B](#)
- # minor beneficiary income — s [CX 58](#) and [¶25-115](#)
- # beneficiary income subject to the corporate beneficiary rules — s [CX 58B](#) and [¶25-120](#)
- # taxable distributions derived from non-complying trusts — s [CX 59](#) and [¶25-360](#)
- # certain income derived by a consolidated group company from a transaction with another company in the same group — s [CX 60](#) and [¶20-040](#)
- # amounts treated as excluded income under the avoidance arrangement provisions of ss [GA 1](#) and [GB 23](#) — s [CX 61](#)
- # amounts treated as excluded income of partners resulting from the application of subpart [HG](#) — s [CX 62](#) and [¶23-050](#)
- # certain dividends derived from a company after it has ceased to be a look-through company — s [CX 63](#) and [¶19-230](#)
- # amounts treated as excluded income under subpart [FH](#) (Hybrid and branch mismatches of deductions and income from multi-jurisdictional arrangements) — s [CX 64](#) and [¶26-650](#).
- # amounts received under the clean car discount scheme — s [CX 47](#) and [¶5-770](#).

Law: IT07 subpart [CX](#)

Last reviewed on 31 December 2025

Excluded income — grants and subsidies [¶5-760]

[¶5-760]

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Certain government grants or subsidies paid to a person for a business that the person carries on are excluded income. To be excluded income, the payment must:

- # be made by a local authority ([¶5-610](#)), or a public authority ([¶5-605](#)), or a public purpose Crown-controlled companies (PPCCC)
- # be in the nature of a grant or subsidy, or be a grant-related suspensory loan, and
- # not be in the nature of an advance or loan (other than a grant-related suspensory loan), and
- # correspond to:
 - # expenditure the person incurs for which they would be allowed a deduction but for s [DF 1](#) (Government grants to businesses), or
 - # expenditure the person incurs in acquiring, constructing, installing or extending an asset for which the person would have an amount of depreciation loss but for s [DF 1](#).

A grant-related suspensory loan is a loan made by:

- # a public authority (excluding a specified suspensory loan that would, if remitted, be income of the person — [¶5-320](#)) and includes the term that the liability of the borrower may be wholly or partly remitted, or
- # the Rural Banking and Finance Corporation of New Zealand as an irrigation suspensory loan and designated as such, or
- # the Rural Banking and Finance Corporation of New Zealand as a West Coast drainage suspensory loan and designated as such.

The exclusion from income in s [CX 47](#) does not apply to:

- # grants made under the Agriculture Recovery Programme for the Lower North Island and Eastern Bay of Plenty, to the extent that the grant relates to expenditure incurred before the grant was received and for which a deduction would be allowed but for s [DF 1](#) (s [CX 47\(3\)](#)), or
- # a person who has chosen to exclude a grant payment to the extent to which it is made to the person for the person's business as a research and development growth grant, the payment is withheld until the conditions of the grant are satisfied, and in the absence of s [DF 1](#) the person would have been allowed a deduction for expenditure or depreciation loss to which the payment corresponds (s [CX 47\(4\)](#)).

The amount of a person's deduction for expenditure incurred that has been financed out of a grant or loan meeting the above criteria is restricted ([¶10-513](#)). This restriction and the exclusion from income of the amount of the loan places the person in a tax-neutral position.

Interpretation statement [IS 23/06](#), "Income tax – Government payments to businesses (grants and subsidies)", provides guidance on how the legislation applies to payments of grants and subsidies made to businesses. In summary, where ss [CX 47](#) and [DF 1](#) apply, the amount is not taxable and the expense which was funded is not deductible. The statement includes PPCCCs in the payers of grants and subsidies. A PPCCC is a company listed in Sch [35](#), or a company that is wholly owned by a company that is listed in Sch [35](#) and had a primary purpose of carrying out a public policy objective of the government.

The intent of the legislation, as mentioned above, is to make grants tax neutral. If the amount of the expense is greater than the amount received, then a deduction is allowed for any additional amount of expenditure.

For depreciable property, the cost base of the asset acquired with the funds is reduced by the value of the amount of the payment and the depreciation loss is calculated on the reduced cost of the asset.

The interpretation statement sets out cases when the grant provisions apply, when they do not and the Commissioner's considerations when the situation may be unclear.

Law: IT07 ss [CX 47](#), [DF 1](#), [YA 1](#) (“grant-related suspensory loan”, “public purpose Crown-controlled company”)

Last reviewed on 31 December 2025

Excluded income — clean car discount scheme [¶15-770]

[¶15-770]

[Click to open document in a browser](#)

A grant, subsidy or grant-related suspensory loan received from a local authority or a public authority is excluded income of the recipient of the grant under s [CX 47](#).

Clean car discount scheme

From 1 July 2021 until 31 December 2023, under the clean car discount scheme, a rebate will be paid, on application, to the first registered person of an eligible vehicle (or to a lessor where the first registered person of the vehicle is a lessee). IR has commented that the amount of a rebate under the scheme will either be a capital receipt or excluded income. An adjustment may be required to the cost of the vehicle for depreciation purposes ([¶13-520](#)).

Law: ITA 2007, s [CX 47](#)

Last reviewed on 31 December 2025